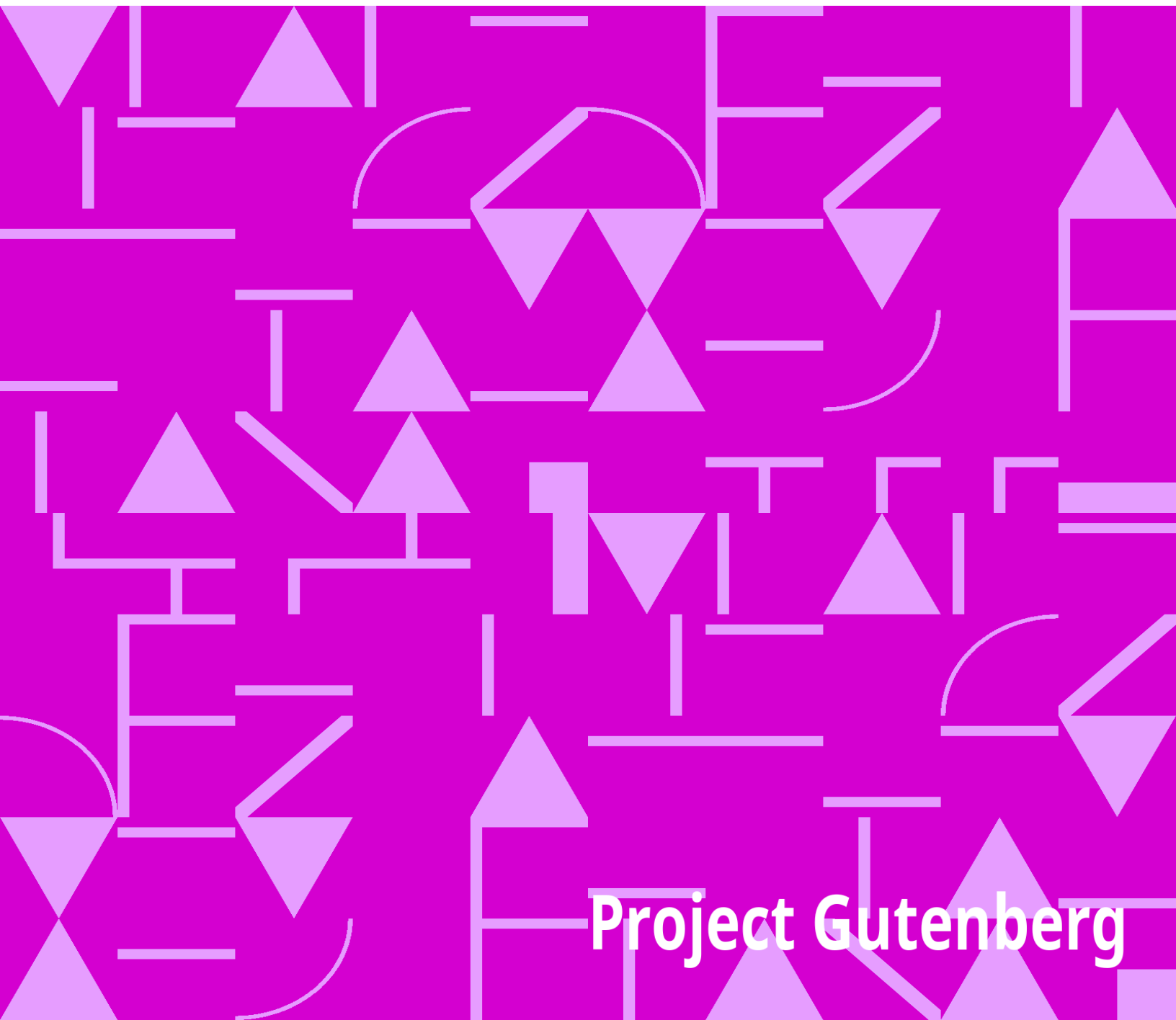


State of the Union Addresses of Barack Obama, 2009-2016

Barack Obama

The background of the lower half of the image is a vibrant magenta color. It is covered with a complex, repeating pattern of white geometric shapes. These shapes include various sizes of triangles (some pointing up, some down), horizontal and vertical lines, and curved segments that resemble parts of circles or arcs. The arrangement is dense and non-representational, creating a modern, architectural feel.

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The addresses are separated by three asterisks: ***

Dates of Addresses by Barack Obama in this eBook:

[February 24, 2009](#)

[January 27, 2010](#)

[January 25, 2011](#)

[January 24, 2012](#)

[February 12, 2013](#)

[January 28, 2014](#)

[January 20, 2015](#)

[January 12, 2016](#)

Address Before a Joint Session of the Congress

Barack Obama

February 24, 2009

Madam Speaker, Mr. Vice President, Members of Congress, the First Lady of the United States--she's around here somewhere: I have come here tonight not only to address the distinguished men and women in this great

Chamber, but to speak frankly and directly to the men and women who sent us here.

I know that for many Americans watching right now, the state of our economy is a concern that rises above all others, and rightly so. If you haven't been personally affected by this recession, you probably know someone who has: a friend, a neighbor, a member of your family. You don't need to hear another list of statistics to know that our economy is in crisis, because you live it every day. It's the worry you wake up with and the source of sleepless nights. It's the job you thought you'd retire from but now have lost, the business you built your dreams upon that's now hanging by a thread, the college acceptance letter your child had to put back in the envelope. The impact of this recession is real, and it is everywhere.

But while our economy may be weakened and our confidence shaken, though we are living through difficult and uncertain times, tonight I want every American to know this: We will rebuild, we will recover, and the United States of America will emerge stronger than before.

The weight of this crisis will not determine the destiny of this Nation. The answers to our problems don't lie beyond our reach. They exist in our laboratories and our universities, in our fields and our factories, in the imaginations of our entrepreneurs and the pride of the hardest working people on Earth. Those qualities that have made America the greatest force of progress and prosperity in human history, we still possess in ample measure. What is required now is for this country to pull together, confront boldly the challenges we face, and take responsibility for our future once more.

Now, if we're honest with ourselves, we'll admit that for too long, we have not always met these responsibilities as a Government or as a people. I say this not to lay blame or to look backwards, but because it is only by understanding how we arrived at this moment that we'll be able to lift ourselves out of this predicament.

The fact is, our economy did not fall into decline overnight, nor did all of our problems begin when the housing market collapsed or the stock market sank. We have known for decades that our survival depends on

finding new sources of energy, yet we import more oil today than ever before. The cost of health care eats up more and more of our savings each year, yet we keep delaying reform. Our children will compete for jobs in a global economy that too many of our schools do not prepare them for. And though all these challenges went unsolved, we still managed to spend more money and pile up more debt, both as individuals and through our Government, than ever before.

In other words, we have lived through an era where too often short-term gains were prized over long-term prosperity, where we failed to look beyond the next payment, the next quarter, or the next election. A surplus became an excuse to transfer wealth to the wealthy instead of an opportunity to invest in our future. Regulations were gutted for the sake of a quick profit at the expense of a healthy market. People bought homes they knew they couldn't afford from banks and lenders who pushed those bad loans anyway. And all the while, critical debates and difficult decisions were put off for some other time, on some other day. Well, that day of reckoning has arrived, and the time to take charge of our future is here.

Now is the time to act boldly and wisely to not only revive this economy, but to build a new foundation for lasting prosperity. Now is the time to jump-start job creation, restart lending, and invest in areas like energy, health care, and education that will grow our economy, even as we make hard choices to bring our deficit down. That is what my economic agenda is designed to do, and that is what I'd like to talk to you about tonight. It's an agenda that begins with jobs.

As soon as I took office, I asked this Congress to send me a recovery plan by President's Day that would put people back to work and put money in their pockets, not because I believe in bigger Government--I don't--not because I'm not mindful of the massive debt we've inherited--I am. I called for action because the failure to do so would have cost more jobs and caused more hardship. In fact, a failure to act would have worsened our long-term deficit by assuring weak economic growth for years. And that's why I pushed for quick action. And tonight I am grateful that this Congress delivered and pleased to say that the American Recovery and Reinvestment Act is now law.

Over the next 2 years, this plan will save or create 3.5 million jobs. More than 90 percent of these jobs will be in the private sector: jobs rebuilding our roads and bridges, constructing wind turbines and solar panels, laying broadband and expanding mass transit.

Because of this plan, there are teachers who can now keep their jobs and educate our kids, health care professionals can continue caring for our sick. There are 57 police officers who are still on the streets of Minneapolis tonight because this plan prevented the layoffs their department was about to make. Because of this plan, 95 percent of working households in America will receive a tax cut; a tax cut that you will see in your paychecks beginning on April 1st. Because of this plan, families who are struggling to pay tuition costs will receive a \$2,500 tax credit for all 4 years of college, and Americans who have lost their jobs in this recession will be able to receive extended unemployment benefits and continued health care coverage to help them weather this storm.

Now, I know there are some in this Chamber and watching at home who are skeptical of whether this plan will work, and I understand that skepticism. Here in Washington, we've all seen how quickly good intentions can turn into broken promises and wasteful spending. And with a plan of this scale comes enormous responsibility to get it right.

And that's why I've asked Vice President Biden to lead a tough, unprecedented oversight effort; because nobody messes with Joe. I--am I right? They don't mess with him. I have told each of my Cabinet, as well as mayors and Governors across the country, that they will be held accountable by me and the American people for every dollar they spend. I've appointed a proven and aggressive Inspector General to ferret out any and all cases of waste and fraud. And we have created a new web site called recovery.gov, so that every American can find out how and where their money is being spent.

So the recovery plan we passed is the first step in getting our economy back on track. But it is just the first step. Because even if we manage this plan flawlessly, there will be no real recovery unless we clean up the credit crisis that has severely weakened our financial system.

I want to speak plainly and candidly about this issue tonight, because every American should know that it directly affects you and your family's well-being. You should also know that the money you've deposited in banks across the country is safe, your insurance is secure, you can rely on the continued operation of our financial system. That's not the source of concern. The concern is that if we do not restart lending in this country, our recovery will be choked off before it even begins.

You see, the flow of credit is the lifeblood of our economy. The ability to get a loan is how you finance the purchase of everything from a home to a car to a college education, how stores stock their shelves, farms buy equipment, and businesses make payroll.

But credit has stopped flowing the way it should. Too many bad loans from the housing crisis have made their way onto the books of too many banks. And with so much debt and so little confidence, these banks are now fearful of lending out any more money to households, to businesses, or even to each other. And when there is no lending, families can't afford to buy homes or cars, so businesses are forced to make layoffs. Our economy suffers even more, and credit dries up even further. That is why this administration is moving swiftly and aggressively to break this destructive cycle, to restore confidence, and restart lending. And we will do so in several ways.

First, we are creating a new lending fund that represents the largest effort ever to help provide auto loans, college loans, and small- business loans to the consumers and entrepreneurs who keep this economy running.

Second, we have launched a housing plan that will help responsible families facing the threat of foreclosure lower their monthly payments and refinance their mortgages. It's a plan that won't help speculators or that neighbor down the street who bought a house he could never hope to afford, but it will help millions of Americans who are struggling with declining home values; Americans who will now be able to take advantage of the lower interest rates that this plan has already helped to bring about. In fact, the average family who refinances today can save nearly \$2,000 per year on their mortgage.

Third, we will act with the full force of the Federal Government to ensure that the major banks that Americans depend on have enough confidence and enough money to lend even in more difficult times. And when we learn that a major bank has serious problems, we will hold accountable those responsible, force the necessary adjustments, provide the support to clean up their balance sheets, and assure the continuity of a strong, viable institution that can serve our people and our economy.

Now, I understand that on any given day, Wall Street may be more comforted by an approach that gives bank bailouts with no strings attached and that holds nobody accountable for their reckless decisions. But such an approach won't solve the problem, and our goal is to quicken the day when we restart lending to the American people and American business and end this crisis once and for all.

And I intend to hold these banks fully accountable for the assistance they receive, and this time, they will have to clearly demonstrate how taxpayer dollars result in more lending for the American taxpayer. This time, CEOs won't be able to use taxpayer money to pad their paychecks or buy fancy drapes or disappear on a private jet. Those days are over.

Still, this plan will require significant resources from the Federal Government--and, yes, probably more than we've already set aside. But while the cost of action will be great, I can assure you that the cost of inaction will be far greater, for it could result in an economy that sputters along for not months or years, but perhaps a decade. That would be worse for our deficit, worse for business, worse for you, and worse for the next generation. And I refuse to let that happen.

Now, I understand that when the last administration asked this Congress to provide assistance for struggling banks, Democrats and Republicans alike were infuriated by the mismanagement and the results that followed. So were the American taxpayers; so was I. So I know how unpopular it is to be seen as helping banks right now, especially when everyone is suffering in part from their bad decisions. I promise you, I get it.

But I also know that in a time of crisis, we cannot afford to govern out of anger or yield to the politics of the moment. My job--our job is to solve the

problem. Our job is to govern with a sense of responsibility. I will not send-I will not spend a single penny for the purpose of rewarding a single Wall Street executive, but I will do whatever it takes to help the small business that can't pay its workers or the family that has saved and still can't get a mortgage. That's what this is about. It's not about helping banks; it's about helping people. [Applause]

It's not about helping banks; it's about helping people. Because when credit is available again, that young family can finally buy a new home. And then some company will hire workers to build it. And then those workers will have money to spend. And if they can get a loan too, maybe they'll finally buy that car or open their own business. Investors will return to the market, and American families will see their retirement secured once more. Slowly but surely, confidence will return and our economy will recover.

So I ask this Congress to join me in doing whatever proves necessary, because we cannot consign our Nation to an open-ended recession. And to ensure that a crisis of this magnitude never happens again, I ask Congress to move quickly on legislation that will finally reform our outdated regulatory system. It is time to put in place tough, new, commonsense rules of the road so that our financial market rewards drive and innovation, and punishes shortcuts and abuse.

The recovery plan and the financial stability plan are the immediate steps we're taking to revive our economy in the short term. But the only way to fully restore America's economic strength is to make the long-term investments that will lead to new jobs, new industries, and a renewed ability to compete with the rest of the world. The only way this century will be another American century is if we confront at last the price of our dependence on oil and the high cost of health care, the schools that aren't preparing our children and the mountain of debt they stand to inherit. That is our responsibility.

In the next few days, I will submit a budget to Congress. So often, we've come to view these documents as simply numbers on a page or a laundry list of programs. I see this document differently. I see it as a vision for America, as a blueprint for our future.

My budget does not attempt to solve every problem or address every issue. It reflects the stark reality of what we've inherited, a trillion-dollar deficit, a financial crisis, and a costly recession. Given these realities, everyone in this Chamber, Democrats and Republicans, will have to sacrifice some worthy priorities for which there are no dollars. And that includes me. But that does not mean we can afford to ignore our long-term challenges. I reject the view that says our problems will simply take care of themselves, that says Government has no role in laying the foundation for our common prosperity.

For history tells a different story. History reminds us that at every moment of economic upheaval and transformation, this Nation has responded with bold action and big ideas. In the midst of Civil War, we laid railroad tracks from one coast to another that spurred commerce and industry. From the turmoil of the Industrial Revolution came a system of public high schools that prepared our citizens for a new age. In the wake of war and depression, the GI bill sent a generation to college and created the largest middle class in history. And a twilight struggle for freedom led to a nation of highways, an American on the Moon, and an explosion of technology that still shapes our world. In each case, Government didn't supplant private enterprise; it catalyzed private enterprise. It created the conditions for thousands of entrepreneurs and new businesses to adapt and to thrive.

We are a nation that has seen promise amid peril and claimed opportunity from ordeal. Now we must be that nation again, and that is why, even as it cuts back on programs we don't need, the budget I submit will invest in the three areas that are absolutely critical to our economic future: energy, health care, and education.

It begins with energy. We know the country that harnesses the power of clean, renewable energy will lead the 21st century. And yet, it is China that has launched the largest effort in history to make their economy energy efficient. We invented solar technology, but we've fallen behind countries like Germany and Japan in producing it. New plug-in hybrids roll off our assembly lines, but they will run on batteries made in Korea. Well, I do not accept a future where the jobs and industries of tomorrow take root beyond

our borders, and I know you don't either. It is time for America to lead again.

Thanks to our recovery plan, we will double this Nation's supply of renewable energy in the next 3 years. We've also made the largest investment in basic research funding in American history, an investment that will spur not only new discoveries in energy but breakthroughs in medicine and science and technology.

We will soon lay down thousands of miles of power lines that can carry new energy to cities and towns across this country. And we will put Americans to work making our homes and buildings more efficient so that we can save billions of dollars on our energy bills.

But to truly transform our economy, to protect our security, and save our planet from the ravages of climate change, we need to ultimately make clean, renewable energy the profitable kind of energy. So I ask this Congress to send me legislation that places a market-based cap on carbon pollution and drives the production of more renewable energy in America. That's what we need. And to support that innovation, we will invest \$15 billion a year to develop technologies like wind power and solar power, advanced biofuels, clean coal, and more efficient cars and trucks built right here in America.

Speaking of our auto industry, everyone recognizes that years of bad decisionmaking and a global recession have pushed our automakers to the brink. We should not, and will not, protect them from their own bad practices. But we are committed to the goal of a retooled, reimagined auto industry that can compete and win. Millions of jobs depend on it; scores of communities depend on it. And I believe the Nation that invented the automobile cannot walk away from it.

Now, none of this will come without cost, nor will it be easy. But this is America. We don't do what's easy. We do what's necessary to move this country forward.

And for that same reason, we must also address the crushing cost of health care. This is a cost that now causes a bankruptcy in America every 30

seconds. By the end of the year, it could cause 1.5 million Americans to lose their homes. In the last 8 years, premiums have grown four times faster than wages. And in each of these years, 1 million more Americans have lost their health insurance. It is one of the major reasons why small businesses close their doors and corporations ship jobs overseas. And it's one of the largest and fastest growing parts of our budget. Given these facts, we can no longer afford to put health care reform on hold. We can't afford to do it. It's time.

Already, we've done more to advance the cause of health care reform in the last 30 days than we've done in the last decade. When it was days old, this Congress passed a law to provide and protect health insurance for 11 million American children whose parents work full time. Our recovery plan will invest in electronic health records, a new technology that will reduce errors, bring down costs, ensure privacy, and save lives. It will launch a new effort to conquer a disease that has touched the life of nearly every American, including me, by seeking a cure for cancer in our time. And it makes the largest investment ever in preventive care, because that's one of the best ways to keep our people healthy and our costs under control.

This budget builds on these reforms. It includes a historic commitment to comprehensive health care reform, a down payment on the principle that we must have quality, affordable health care for every American. It's a commitment that's paid for in part by efficiencies in our system that are long overdue. And it's a step we must take if we hope to bring down our deficit in the years to come.

Now, there will be many different opinions and ideas about how to achieve reform, and that's why I'm bringing together businesses and workers, doctors and health care providers, Democrats and Republicans to begin work on this issue next week.

I suffer no illusions that this will be an easy process. Once again, it will be hard. But I also know that nearly a century after Teddy Roosevelt first called for reform, the cost of our health care has weighed down our economy and our conscience long enough. So let there be no doubt: Health care reform cannot wait, it must not wait, and it will not wait another year.

The third challenge we must address is the urgent need to expand the promise of education in America. In a global economy where the most valuable skill you can sell is your knowledge, a good education is no longer just a pathway to opportunity, it is a prerequisite. Right now, three-quarters of the fastest growing occupations require more than a high school diploma. And yet, just over half of our citizens have that level of education. We have one of the highest high school dropout rates of any industrialized nation, and half of the students who begin college never finish.

This is a prescription for economic decline, because we know the countries that out-teach us today will outcompete us tomorrow. That is why it will be the goal of this administration to ensure that every child has access to a complete and competitive education, from the day they are born to the day they begin a career. That is a promise we have to make to the children of America.

Already, we've made historic investment in education through the economic recovery plan. We've dramatically expanded early childhood education and will continue to improve its quality, because we know that the most formative learning comes in those first years of life. We've made college affordable for nearly 7 million more students--7 million. And we have provided the resources necessary to prevent painful cuts and teacher layoffs that would set back our children's progress.

But we know that our schools don't just need more resources, they need more reform. And that is why this budget creates new teachers--new incentives for teacher performance, pathways for advancement, and rewards for success. We'll invest in innovative programs that are already helping schools meet high standards and close achievement gaps, and we will expand our commitment to charter schools.

It is our responsibility as lawmakers and as educators to make this system work. But it is the responsibility of every citizen to participate in it. So tonight I ask every American to commit to at least 1 year or more of higher education or career training. This can be community college or a 4-year school, vocational training or an apprenticeship. But whatever the training may be, every American will need to get more than a high school diploma.

And dropping out of high school is no longer an option. It's not just quitting on yourself, it's quitting on your country, and this country needs and values the talents of every American. That's why we will support--we will provide the support necessary for all young Americans to complete college and meet a new goal. By 2020, America will once again have the highest proportion of college graduates in the world. That is a goal we can meet. That's a goal we can meet.

Now, I know that the price of tuition is higher than ever, which is why if you are willing to volunteer in your neighborhood or give back to your community or serve your country, we will make sure that you can afford a higher education. And to encourage a renewed spirit of national service for this and future generations, I ask Congress to send me the bipartisan legislation that bears the name of Senator Orrin Hatch, as well as an American who has never stopped asking what he can do for his country, Senator Edward Kennedy.

These education policies will open the doors of opportunity for our children, but it is up to us to ensure they walk through them. In the end, there is no program or policy that can substitute for a parent, for a mother or father who will attend those parent-teacher conferences or help with homework or turn off the TV, put away the video games, read to their child. I speak to you not just as a President, but as a father, when I say that responsibility for our children's education must begin at home. That is not a Democratic issue or a Republican issue; that's an American issue.

There is, of course, another responsibility we have to our children. And that's the responsibility to ensure that we do not pass on to them a debt they cannot pay. That is critical. [Applause] I agree, absolutely. See, I know we can get some consensus in here. [Laughter] With the deficit we inherited, the cost of the crisis we face, and the long-term challenges we must meet, it has never been more important to ensure that as our economy recovers, we do what it takes to bring this deficit down. That is critical.

Now, I'm proud that we passed a recovery plan free of earmarks, and I want to pass a budget next year that ensures that each dollar we spend reflects only our most important national priorities.

And yesterday I held a fiscal summit where I pledged to cut the deficit in half by the end of my first term in office. My administration has also begun to go line by line through the Federal budget in order to eliminate wasteful and ineffective programs. As you can imagine, this is a process that will take some time. But we have already identified \$2 trillion in savings over the next decade.

In this budget, we will end education programs that don't work and end direct payments to large agribusiness that don't need them. We'll eliminate the no-bid contracts that have wasted billions in Iraq and reform our defense budget so that we're not paying for cold war-era weapons systems we don't use. We will root out the waste and fraud and abuse in our Medicare program that doesn't make our seniors any healthier. We will restore a sense of fairness and balance to our Tax Code by finally ending the tax breaks for corporations that ship our jobs overseas.

In order to save our children from a future of debt, we will also end the tax breaks for the wealthiest 2 percent of Americans. Now, let me be clear--let me be absolutely clear, because I know you'll end up hearing some of the same claims that rolling back these tax breaks means a massive tax increase on the American people: If your family earns less than \$250,000 a year, a quarter million dollars a year, you will not see your taxes increased a single dime. I repeat: Not one single dime. In fact--not a dime--in fact, the recovery plan provides a tax cut--that's right, a tax cut--for 95 percent of working families. And by the way, these checks are on the way.

Now, to preserve our long-term fiscal health, we must also address the growing costs in Medicare and Social Security. Comprehensive health care reform is the best way to strengthen Medicare for years to come. And we must also begin a conversation on how to do the same for Social Security, while creating tax-free universal savings accounts for all Americans.

Finally, because we're also suffering from a deficit of trust, I am committed to restoring a sense of honesty and accountability to our budget. That is why this budget looks ahead 10 years and accounts for spending that was left out under the old rules. And for the first time, that includes the full cost of fighting in Iraq and Afghanistan. For 7 years, we have been a nation at war. No longer will we hide its price.

Along with our outstanding national security team, I'm now carefully reviewing our policies in both wars, and I will soon announce a way forward in Iraq that leaves Iraq to its people and responsibly ends this war.

And with our friends and allies, we will forge a new and comprehensive strategy for Afghanistan and Pakistan to defeat Al Qaida and combat extremism, because I will not allow terrorists to plot against the American people from safe havens halfway around the world. We will not allow it.

As we meet here tonight, our men and women in uniform stand watch abroad and more are readying to deploy. To each and every one of them and to the families who bear the quiet burden of their absence, Americans are united in sending one message: We honor your service; we are inspired by your sacrifice; and you have our unyielding support.

To relieve the strain on our forces, my budget increases the number of our soldiers and marines. And to keep our sacred trust with those who serve, we will raise their pay and give our veterans the expanded health care and benefits that they have earned.

To overcome extremism, we must also be vigilant in upholding the values our troops defend, because there is no force in the world more powerful than the example of America. And that is why I have ordered the closing of the detention center at Guantanamo Bay and will seek swift and certain justice for captured terrorists. Because living our values doesn't make us weaker, it makes us safer and it makes us stronger. And that is why I can stand here tonight and say without exception or equivocation that the United States of America does not torture. We can make that commitment here tonight.

In words and deeds, we are showing the world that a new era of engagement has begun. For we know that America cannot meet the threats of this century alone, but the world cannot meet them without America. We cannot shun the negotiating table, nor ignore the foes or forces that could do us harm. We are instead called to move forward with the sense of confidence and candor that serious times demand.

To seek progress towards a secure and lasting peace between Israel and her neighbors, we have appointed an envoy to sustain our effort. To meet the challenges of the 21st century--from terrorism to nuclear proliferation, from pandemic disease to cyber threats to crushing poverty--we will strengthen old alliances, forge new ones, and use all elements of our national power.

And to respond to an economic crisis that is global in scope, we are working with the nations of the G-20 to restore confidence in our financial system, avoid the possibility of escalating protectionism, and spur demand for American goods in markets across the globe. For the world depends on us having a strong economy, just as our economy depends on the strength of the world's.

As we stand at this crossroads of history, the eyes of all people in all nations are once again upon us, watching to see what we do with this moment, waiting for us to lead. Those of us gathered here tonight have been called to govern in extraordinary times. It is a tremendous burden, but also a great privilege, one that has been entrusted to few generations of Americans. For in our hands lies the ability to shape our world for good or for ill.

I know that it's easy to lose sight of this truth, to become cynical and doubtful, consumed with the petty and the trivial. But in my life, I have also learned that hope is found in unlikely places, that inspiration often comes not from those with the most power or celebrity, but from the dreams and aspirations of ordinary Americans who are anything but ordinary.

I think of Leonard Abess, a bank president from Miami who reportedly cashed out of his company, took a \$60 million bonus, and gave it out to all 399 people who worked for him, plus another 72 who used to work for him. He didn't tell anyone, but when the local newspaper found out, he simply said, "I knew some of these people since I was 7 years old. It didn't feel right getting the money myself."

I think about Greensburg, Kansas, a town that was completely destroyed by a tornado, but is being rebuilt by its residents as a global example of how clean energy can power an entire community, how it can bring jobs and

businesses to a place where piles of bricks and rubble once lay. "The tragedy was terrible," said one of the men who helped them rebuild. "But the folks here know that it also provided an incredible opportunity."

I think about Ty'Sheoma Bethea, the young girl from that school I visited in Dillon, South Carolina, a place where the ceilings leak, the paint peels off the walls, and they have to stop teaching six times a day because the train barrels by their classroom. She had been told that her school is hopeless, but the other day after class she went to the public library and typed up a letter to the people sitting in this Chamber. She even asked her principal for the money to buy a stamp. The letter asks us for help and says: "We are just students trying to become lawyers, doctors, Congressmen like yourself, and one day President, so we can make a change to not just the State of South Carolina, but also the world. We are not quitters." That's what she said: "We are not quitters."

These words and these stories tell us something about the spirit of the people who sent us here. They tell us that even in the most trying times, amid the most difficult circumstances, there is a generosity, a resilience, a decency, and a determination that perseveres, a willingness to take responsibility for our future and for posterity. Their resolve must be our inspiration. Their concerns must be our cause. And we must show them and all our people that we are equal to the task before us.

I know--look, I know that we haven't agreed on every issue thus far. [Laughter] There are surely times in the future where we will part ways. But I also know that every American who is sitting here tonight loves this country and wants it to succeed. I know that. That must be the starting point for every debate we have in the coming months and where we return after those debates are done. That is the foundation on which the American people expect us to build common ground.

And if we do, if we come together and lift this Nation from the depths of this crisis, if we put our people back to work and restart the engine of our prosperity, if we confront without fear the challenges of our time and summon that enduring spirit of an America that does not quit, then someday years from now our children can tell their children that this was the time

when we performed, in the words that are carved into this very Chamber, "something worthy to be remembered."

Thank you. God bless you, and may God bless the United States of America. Thank you.

Address Before a Joint Session of the Congress on the State of the Union
Barack Obama
January 27, 2010

Madam Speaker, Vice President Biden, Members of Congress, distinguished guests, and fellow Americans: Our Constitution declares that from time to time, the President shall give to Congress information about the state of our Union. For 220 years, our leaders have fulfilled this duty. They've done so during periods of prosperity and tranquility, and they've done so in the midst of war and depression, at moments of great strife and great struggle.

It's tempting to look back on these moments and assume that our progress was inevitable, that America was always destined to succeed. But when the Union was turned back at Bull Run and the Allies first landed at Omaha Beach, victory was very much in doubt. When the market crashed on Black Tuesday and marchers were beaten on Bloody Sunday, the future was anything but certain. These were the times that tested the courage of our convictions and the strength of our Union. And despite all our divisions and disagreements, our hesitations and our fears, America prevailed because we chose to move forward as one Nation, as one people. Again, we are tested. And again, we must answer history's call.

One year ago, I took office amid two wars, an economy rocked by a severe recession, a financial system on the verge of collapse, and a Government deeply in debt. Experts from across the political spectrum warned that if we did not act, we might face a second depression. So we acted, immediately and aggressively. And 1 year later, the worst of the storm has passed.

But the devastation remains. One in 10 Americans still cannot find work. Many businesses have shuttered. Home values have declined. Small towns and rural communities have been hit especially hard. And for those who'd already known poverty, life's become that much harder.

This recession has also compounded the burdens that America's families have been dealing with for decades: the burden of working harder and longer for less, of being unable to save enough to retire or help kids with college.

So I know the anxieties that are out there right now. They're not new. These struggles are the reason I ran for President. These struggles are what I've witnessed for years, in places like Elkhart, Indiana; Galesburg, Illinois. I hear about them in the letters that I read each night. The toughest to read are those written by children asking why they have to move from their home, asking when their mom or dad will be able to go back to work.

For these Americans and so many others, change has not come fast enough. Some are frustrated, some are angry. They don't understand why it seems like bad behavior on Wall Street is rewarded, but hard work on Main Street isn't, or why Washington has been unable or unwilling to solve any of our problems. They're tired of the partisanship and the shouting and the pettiness. They know we can't afford it. Not now.

So we face big and difficult challenges. And what the American people hope, what they deserve, is for all of us, Democrats and Republicans, to work through our differences, to overcome the numbing weight of our politics. For while the people who sent us here have different backgrounds, different stories, different beliefs, the anxieties they face are the same. The aspirations they hold are shared: a job that pays the bills, a chance to get ahead, most of all, the ability to give their children a better life.

And you know what else they share? They share a stubborn resilience in the face of adversity. After one of the most difficult years in our history, they remain busy building cars and teaching kids, starting businesses and going back to school. They're coaching Little League and helping their neighbors. One woman wrote to me and said, "We are strained but hopeful, struggling but encouraged."

It's because of this spirit, this great decency and great strength, that I have never been more hopeful about America's future than I am tonight. Despite our hardships, our Union is strong. We do not give up. We do not quit. We do not allow fear or division to break our spirit. In this new decade, it's time the American people get a Government that matches their decency, that embodies their strength. And tonight I'd like to talk about how together we can deliver on that promise.

It begins with our economy. Our most urgent task upon taking office was to shore up the same banks that helped cause this crisis. It was not easy to do. And if there's one thing that has unified Democrats and Republicans and everybody in between, it's that we all hated the bank bailout. I hated it. I hated it; you hated it. It was about as popular as a root canal. [Laughter]

But when I ran for President, I promised I wouldn't just do what was popular; I would do what was necessary. And if we had allowed the meltdown of the financial system, unemployment might be double what it is today. More businesses would certainly have closed. More homes would have surely been lost.

So I supported the last administration's efforts to create the financial rescue program. And when we took that program over, we made it more transparent and more accountable. And as a result, the markets are now stabilized, and we've recovered most of the money we spent on the banks--most but not all.

To recover the rest, I've proposed a fee on the biggest banks. Now, I know Wall Street isn't keen on this idea. But if these firms can afford to hand out big bonuses again, they can afford a modest fee to pay back the taxpayers who rescued them in their time of need.

Now, as we stabilized the financial system, we also took steps to get our economy growing again, save as many jobs as possible, and help Americans who had become unemployed. That's why we extended or increased unemployment benefits for more than 18 million Americans, made health insurance 65 percent cheaper for families who get their coverage through COBRA, and passed 25 different tax cuts.

Now, let me repeat: We cut taxes. We cut taxes for 95 percent of working families. We cut taxes for small businesses. We cut taxes for first-time home buyers. We cut taxes for parents trying to care for their children. We cut taxes for 8 million Americans paying for college. [Applause] I thought I'd get some applause on that one. [Laughter]

As a result, millions of Americans had more to spend on gas and food and other necessities, all of which helped businesses keep more workers. And we haven't raised income taxes by a single dime on a single person- - not a single dime.

Now, because of the steps we took, there are about 2 million Americans working right now who would otherwise be unemployed. Two hundred thousand work in construction and clean energy. Three hundred thousand are teachers and other education workers. Tens of thousands are cops, firefighters, correctional officers, first-responders. And we're on track to add another 1 1/2 million jobs to this total by the end of the year.

The plan that has made all of this possible, from the tax cuts to the jobs, is the Recovery Act. That's right, the Recovery Act, also known as the stimulus bill. Economists on the left and the right say this bill has helped save jobs and avert disaster. But you don't have to take their word for it. Talk to the small business in Phoenix that will triple its workforce because of the Recovery Act. Talk to the window manufacturer in Philadelphia who said he used to be skeptical about the Recovery Act, until he had to add two more work shifts just because of the business it created. Talk to the single teacher raising two kids who was told by her principal in the last week of school that because of the Recovery Act, she wouldn't be laid off after all.

There are stories like this all across America. And after 2 years of recession, the economy is growing again. Retirement funds have started to

gain back some of their value. Businesses are beginning to invest again, and slowly some are starting to hire again.

But I realize that for every success story, there are other stories, of men and women who wake up with the anguish of not knowing where their next paycheck will come from, who send out resumes week after week and hear nothing in response. That is why jobs must be our number-one focus in 2010, and that's why I'm calling for a new jobs bill tonight.

Now, the true engine of job creation in this country will always be America's businesses. [Applause] I agree, absolutely. But Government can create the conditions necessary for businesses to expand and hire more workers. We should start where most new jobs do, in small businesses, companies that begin when an entrepreneur takes a chance on a dream or a worker decides it's time she became her own boss. Through sheer grit and determination, these companies have weathered the recession, and they're ready to grow. But when you talk to small-business owners in places like Allentown, Pennsylvania, or Elyria, Ohio, you find out that even though banks on Wall Street are lending again, they're mostly lending to bigger companies. Financing remains difficult for small-business owners across the country, even those that are making a profit.

So tonight I'm proposing that we take \$30 billion of the money Wall Street banks have repaid and use it to help community banks give small businesses the credit they need to stay afloat. I'm also proposing a new small business tax credit, one that will go to over 1 million small businesses who hire new workers or raise wages. While we're at it, let's also eliminate all capital gains taxes on small-business investment and provide a tax incentive for all large businesses and all small businesses to invest in new plants and equipment.

Next, we can put Americans to work today building the infrastructure of tomorrow. From the first railroads to the Interstate Highway System, our Nation has always been built to compete. There's no reason Europe or China should have the fastest trains or the new factories that manufacture clean energy products. Tomorrow I'll visit Tampa, Florida, where workers will soon break ground on a new high-speed railroad funded by the

Recovery Act. There are projects like that all across this country that will create jobs and help move our Nation's goods, services, and information.

We should put more Americans to work building clean energy facilities and give rebates to Americans who make their homes more energy efficient, which supports clean energy jobs. And to encourage these and other businesses to stay within our borders, it is time to finally slash the tax breaks for companies that ship our jobs overseas and give those tax breaks to companies that create jobs right here in the United States of America.

Now, the House has passed a jobs bill that includes some of these steps. As the first order of business this year, I urge the Senate to do the same, and I know they will. They will. People are out of work. They're hurting. They need our help. And I want a jobs bill on my desk without delay.

But the truth is, these steps won't make up for the 7 million jobs that we've lost over the last 2 years. The only way to move to full employment is to lay a new foundation for long-term economic growth and finally address the problems that America's families have confronted for years.

We can't afford another so-called economic expansion like the one from the last decade, what some call the "lost decade," where jobs grew more slowly than during any prior expansion, where the income of the average American household declined while the cost of health care and tuition reached record highs, where prosperity was built on a housing bubble and financial speculation.

From the day I took office, I've been told that addressing our larger challenges is too ambitious; such an effort would be too contentious. I've been told that our political system is too gridlocked and that we should just put things on hold for a while. For those who make these claims, I have one simple question: How long should we wait? How long should America put its future on hold?

You see, Washington has been telling us to wait for decades, even as the problems have grown worse. Meanwhile, China's not waiting to revamp its economy. Germany's not waiting. India's not waiting. These nations are--they're not standing still. These nations aren't playing for second place.

They're putting more emphasis on math and science. They're rebuilding their infrastructure. They're making serious investments in clean energy because they want those jobs. Well, I do not accept second place for the United States of America. As hard as it may be, as uncomfortable and contentious as the debates may become, it's time to get serious about fixing the problems that are hampering our growth.

Now, one place to start is serious financial reform. Look, I am not interested in punishing banks. I'm interested in protecting our economy. A strong, healthy financial market makes it possible for businesses to access credit and create new jobs. It channels the savings of families into investments that raise incomes. But that can only happen if we guard against the same recklessness that nearly brought down our entire economy.

We need to make sure consumers and middle class families have the information they need to make financial decisions. We can't allow financial institutions, including those that take your deposits, to take risks that threaten the whole economy.

Now, the House has already passed financial reform with many of these changes, and the lobbyists are trying to kill it. But we cannot let them win this fight. And if the bill that ends up on my desk does not meet the test of real reform, I will send it back until we get it right. We've got to get it right.

Next, we need to encourage American innovation. Last year, we made the largest investment in basic research funding in history, an investment that could lead to the world's cheapest solar cells or treatment that kills cancer cells, but leaves healthy ones untouched. And no area is more ripe for such innovation than energy. You can see the results of last year's investments in clean energy in the North Carolina company that will create 1,200 jobs nationwide helping to make advanced batteries or in the California business that will put a thousand people to work making solar panels.

But to create more of these clean energy jobs, we need more production, more efficiency, more incentives. And that means building a new generation of safe, clean nuclear power plants in this country. It means making tough decisions about opening new offshore areas for oil and gas development. It

means continued investment in advanced biofuels and clean coal technologies. And yes, it means passing a comprehensive energy and climate bill with incentives that will finally make clean energy the profitable kind of energy in America. Now, I am grateful to the House for passing such a bill last year. And this year, I'm eager to help advance the bipartisan effort in the Senate.

I know there have been questions about whether we can afford such changes in a tough economy. I know that there are those who disagree with the overwhelming scientific evidence on climate change. But here's the thing: Even if you doubt the evidence, providing incentives for energy efficiency and clean energy are the right thing to do for our future, because the nation that leads the clean energy economy will be the nation that leads the global economy. And America must be that nation.

Third, we need to export more of our goods, because the more products we make and sell to other countries, the more jobs we support right here in America. So tonight we set a new goal: We will double our exports over the next 5 years, an increase that will support 2 million jobs in America. To help meet this goal, we're launching a National Export Initiative that will help farmers and small businesses increase their exports and reform export controls consistent with national security.

We have to seek new markets aggressively, just as our competitors are. If America sits on the sidelines while other nations sign trade deals, we will lose the chance to create jobs on our shores. But realizing those benefits also means enforcing those agreements so our trading partners play by the rules. And that's why we'll continue to shape a Doha trade agreement that opens global markets and why we will strengthen our trade relations in Asia and with key partners like South Korea and Panama and Colombia.

Fourth, we need to invest in the skills and education of our people. Now, this year, we've broken through the stalemate between left and right by launching a national competition to improve our schools. And the idea here is simple: Instead of rewarding failure, we only reward success. Instead of funding the status quo, we only invest in reform, reform that raises student achievement, inspires students to excel in math and science, and turns around failing schools that steal the future of too many young Americans,

from rural communities to the inner city. In the 21st century, the best antipoverty program around is a world-class education. And in this country, the success of our children cannot depend more on where they live than on their potential. When we renew the Elementary and Secondary Education Act, we will work with Congress to expand these reforms to all 50 States.

Still, in this economy, a high school diploma no longer guarantees a good job. That's why I urge the Senate to follow the House and pass a bill that will revitalize our community colleges, which are a career pathway to the children of so many working families.

To make college more affordable, this bill will finally end the unwarranted taxpayer subsidies that go to banks for student loans. Instead, let's take that money and give families a \$10,000 tax credit for 4 years of college and increase Pell grants. And let's tell another 1 million students that when they graduate, they will be required to pay only 10 percent of their income on student loans and all of their debt will be forgiven after 20 years and forgiven after 10 years if they choose a career in public service, because in the United States of America, no one should go broke because they chose to go to college. And by the way, it's time for colleges and universities to get serious about cutting their own costs, because they too have a responsibility to help solve this problem.

Now, the price of college tuition is just one of the burdens facing the middle class. That's why last year, I asked Vice President Biden to chair a task force on middle class families. That's why we're nearly doubling the childcare tax credit and making it easier to save for retirement by giving access to every worker a retirement account and expanding the tax credit for those who start a nest egg. That's why we're working to lift the value of a family's single largest investment, their home. The steps we took last year to shore up the housing market have allowed millions of Americans to take out new loans and save an average of \$1,500 on mortgage payments. This year, we will step up refinancing so that homeowners can move into more affordable mortgages.

And it is precisely to relieve the burden on middle class families that we still need health insurance reform. Yes, we do.

Now, let's clear a few things up. I didn't choose to tackle this issue to get some legislative victory under my belt. And by now it should be fairly obvious that I didn't take on health care because it was good politics. [Laughter] I took on health care because of the stories I've heard from Americans with preexisting conditions whose lives depend on getting coverage, patients who've been denied coverage, families, even those with insurance, who are just one illness away from financial ruin.

After nearly a century of trying--Democratic administrations, Republican administrations--we are closer than ever to bringing more security to the lives of so many Americans. The approach we've taken would protect every American from the worst practices of the insurance industry. It would give small businesses and uninsured Americans a chance to choose an affordable health care plan in a competitive market. It would require every insurance plan to cover preventive care.

And by the way, I want to acknowledge our First Lady, Michelle Obama, who this year is creating a national movement to tackle the epidemic of childhood obesity and make kids healthier. [Applause] Thank you, honey. She gets embarrassed. [Laughter]

Our approach would preserve the right of Americans who have insurance to keep their doctor and their plan. It would reduce costs and premiums for millions of families and businesses. And according to the Congressional Budget Office, the independent organization that both parties have cited as the official scorekeeper for Congress, our approach would bring down the deficit by as much as \$1 trillion over the next two decades.

Still, this is a complex issue, and the longer it was debated, the more skeptical people became. I take my share of the blame for not explaining it more clearly to the American people. And I know that with all the lobbying and horse-trading, the process left most Americans wondering, "What's in it for me?"

But I also know this problem is not going away. By the time I'm finished speaking tonight, more Americans will have lost their health insurance. Millions will lose it this year. Our deficit will grow. Premiums will go up. Patients will be denied the care they need. Small-business owners will

continue to drop coverage altogether. I will not walk away from these Americans, and neither should the people in this Chamber.

So as temperatures cool, I want everyone to take another look at the plan we've proposed. There's a reason why many doctors, nurses, and health care experts who know our system best consider this approach a vast improvement over the status quo. But if anyone from either party has a better approach that will bring down premiums, bring down the deficit, cover the uninsured, strengthen Medicare for seniors, and stop insurance company abuses, let me know. Let me know. Let me know. I'm eager to see it.

Here's what I ask Congress, though: Don't walk away from reform. Not now. Not when we are so close. Let us find a way to come together and finish the job for the American people. Let's get it done. Let's get it done.

Now, even as health care reform would reduce our deficit, it's not enough to dig us out of a massive fiscal hole in which we find ourselves. It's a challenge that makes all others that much harder to solve and one that's been subject to a lot of political posturing. So let me start the discussion of Government spending by setting the record straight.

At the beginning of the last decade, the year 2000, America had a budget surplus of over \$200 billion. By the time I took office, we had a 1-year deficit of over \$1 trillion and projected deficits of \$8 trillion over the next decade. Most of this was the result of not paying for two wars, two tax cuts, and an expensive prescription drug program. On top of that, the effects of the recession put a \$3 trillion hole in our budget. All this was before I walked in the door. [Laughter]

Now--[applause]--just stating the facts. Now, if we had taken office in ordinary times, I would have liked nothing more than to start bringing down the deficit. But we took office amid a crisis. And our efforts to prevent a second depression have added another \$1 trillion to our national debt. That too is a fact.

I'm absolutely convinced that was the right thing to do. But families across the country are tightening their belts and making tough decisions.

The Federal Government should do the same. So tonight I'm proposing specific steps to pay for the trillion dollars that it took to rescue the economy last year.

Starting in 2011, we are prepared to freeze Government spending for 3 years. Spending related to our national security, Medicare, Medicaid, and Social Security will not be affected. But all other discretionary Government programs will. Like any cash-strapped family, we will work within a budget to invest in what we need and sacrifice what we don't. And if I have to enforce this discipline by veto, I will.

We will continue to go through the budget, line by line, page by page, to eliminate programs that we can't afford and don't work. We've already identified \$20 billion in savings for next year. To help working families, we'll extend our middle class tax cuts. But at a time of record deficits, we will not continue tax cuts for oil companies, for investment fund managers, and for those making over \$250,000 a year. We just can't afford it.

Now, even after paying for what we spent on my watch, we'll still face the massive deficit we had when I took office. More importantly, the cost of Medicare, Medicaid, and Social Security will continue to skyrocket. That's why I've called for a bipartisan fiscal commission, modeled on a proposal by Republican Judd Gregg and Democrat Kent Conrad. This can't be one of those Washington gimmicks that lets us pretend we solve a problem. The commission will have to provide a specific set of solutions by a certain deadline.

Now, yesterday the Senate blocked a bill that would have created this commission, so I'll issue an Executive order that will allow us to go forward, because I refuse to pass this problem on to another generation of Americans. And when the vote comes tomorrow, the Senate should restore the pay-as-you-go law that was a big reason for why we had record surpluses in the 1990s.

Now, I know that some in my own party will argue that we can't address the deficit or freeze Government spending when so many are still hurting. And I agree, which is why this freeze won't take effect until next year, when the economy is stronger. That's how budgeting works. [Laughter] But

understand, if we don't take meaningful steps to rein in our debt, it could damage our markets, increase the cost of borrowing, and jeopardize our recovery, all of which would have an even worse effect on our job growth and family incomes.

From some on the right, I expect we'll hear a different argument, that if we just make fewer investments in our people, extend tax cuts, including those for the wealthier Americans, eliminate more regulations, maintain the status quo on health care, our deficits will go away. The problem is, that's what we did for 8 years. That's what helped us into this crisis. It's what helped lead to these deficits. We can't do it again.

Rather than fight the same tired battles that have dominated Washington for decades, it's time to try something new. Let's invest in our people without leaving them a mountain of debt. Let's meet our responsibility to the citizens who sent us here. Let's try common sense--[Laughter]--a novel concept.

Now, to do that, we have to recognize that we face more than a deficit of dollars right now. We face a deficit of trust, deep and corrosive doubts about how Washington works that have been growing for years. To close that credibility gap, we have to take action on both ends of Pennsylvania Avenue to end the outsized influence of lobbyists, to do our work openly, to give our people the Government they deserve.

Now, that's what I came to Washington to do. That's why, for the first time in history, my administration posts on--our White House visitors online. That's why we've excluded lobbyists from policymaking jobs or seats on Federal boards and commissions. But we can't stop there. It's time to require lobbyists to disclose each contact they make on behalf of a client, with my administration or with Congress. It's time to put strict limits on the contributions that lobbyists give to candidates for Federal office.

With all due deference to separation of powers, last week, the Supreme Court reversed a century of law that I believe will open the floodgates for special interests, including foreign corporations, to spend without limit in our elections. I don't think American elections should be bankrolled by America's most powerful interests, or worse, by foreign entities. They

should be decided by the American people. And I'd urge Democrats and Republicans to pass a bill that helps correct some of these problems.

I'm also calling on Congress to continue down the path of earmark reform, Democrats and Republicans--Democrats and Republicans. Look, you've trimmed some of this spending, you've embraced some meaningful change, but restoring the public trust demands more. For example, some Members of Congress post some earmark requests online. Tonight I'm calling on Congress to publish all earmark requests on a single web site before there's a vote so that the American people can see how their money is being spent.

Of course, none of these reforms will even happen if we don't also reform how we work with one another. Now, I'm not naive. I never thought that the mere fact of my election would usher in peace and harmony and-- [Laughter]--some postpartisan era. I knew that both parties have fed divisions that are deeply entrenched. And on some issues, there are simply philosophical differences that will always cause us to part ways. These disagreements, about the role of government in our lives, about our national priorities and our national security, they've been taking place for over 200 years. They're the very essence of our democracy.

But what frustrates the American people is a Washington where every day is election day. We can't wage a perpetual campaign where the only goal is to see who can get the most embarrassing headlines about the other side, a belief that if you lose, I win. Neither party should delay or obstruct every single bill just because they can. The confirmation of-- I'm speaking to both parties now--the confirmation of well-qualified public servants shouldn't be held hostage to the pet projects or grudges of a few individual Senators.

Washington may think that saying anything about the other side, no matter how false, no matter how malicious, is just part of the game. But it's precisely such politics that has stopped either party from helping the American people. Worse yet, it's sowing further division among our citizens, further distrust in our Government. So no, I will not give up on trying to change the tone of our politics. I know it's an election year. And

after last week, it's clear that campaign fever has come even earlier than usual. But we still need to govern.

To Democrats, I would remind you that we still have the largest majority in decades and the people expect us to solve problems, not run for the hills. And if the Republican leadership is going to insist that 60 votes in the Senate are required to do any business at all in this town--a supermajority--then the responsibility to govern is now yours as well. Just saying no to everything may be good short-term politics, but it's not leadership. We were sent here to serve our citizens, not our ambitions. So let's show the American people that we can do it together.

This week, I'll be addressing a meeting of the House Republicans. I'd like to begin monthly meetings with both Democratic and Republican leadership. I know you can't wait. [Laughter]

Now, throughout our history, no issue has united this country more than our security. Sadly, some of the unity we felt after 9/11 has dissipated. And we can argue all we want about who's to blame for this, but I'm not interested in relitigating the past. I know that all of us love this country. All of us are committed to its defense. So let's put aside the schoolyard taunts about who's tough. Let's reject the false choice between protecting our people and upholding our values. Let's leave behind the fear and division and do what it takes to defend our Nation and forge a more hopeful future for America and for the world.

That's the work we began last year. Since the day I took office, we've renewed our focus on the terrorists who threaten our Nation. We've made substantial investments in our homeland security and disrupted plots that threatened to take American lives. We are filling unacceptable gaps revealed by the failed Christmas attack, with better airline security and swifter action on our intelligence. We've prohibited torture and strengthened partnerships from the Pacific to South Asia to the Arabian Peninsula. And in the last year, hundreds of Al Qaida's fighters and affiliates, including many senior leaders, have been captured or killed, far more than in 2008.

And in Afghanistan, we're increasing our troops and training Afghan security forces so they can begin to take the lead in July of 2011 and our

troops can begin to come home. We will reward good governance, work to reduce corruption, and support the rights of all Afghans, men and women alike. We're joined by allies and partners who have increased their own commitments and who will come together tomorrow in London to reaffirm our common purpose. There will be difficult days ahead, but I am absolutely confident we will succeed.

As we take the fight to Al Qaida, we are responsibly leaving Iraq to its people. As a candidate, I promised that I would end this war, and that is what I am doing as President. We will have all of our combat troops out of Iraq by the end of this August. We will support the Iraqi Government as they hold elections, and we will continue to partner with the Iraqi people to promote regional peace and prosperity. But make no mistake: This war is ending, and all of our troops are coming home.

Tonight all of our men and women in uniform, in Iraq, in Afghanistan, and around the world, they have to know that we--that they have our respect, our gratitude, our full support. And just as they must have the resources they need in war, we all have a responsibility to support them when they come home. That's why we made the largest increase in investments for veterans in decades last year. That's why we're building a 21st-century VA. And that's why Michelle has joined with Jill Biden to forge a national commitment to support military families.

Now, even as we prosecute two wars, we're also confronting perhaps the greatest danger to the American people, the threat of nuclear weapons. I've embraced the vision of John F. Kennedy and Ronald Reagan through a strategy that reverses the spread of these weapons and seeks a world without them. To reduce our stockpiles and launchers, while ensuring our deterrent, the United States and Russia are completing negotiations on the farthest reaching arms control treaty in nearly two decades. And at April's Nuclear Security Summit, we will bring 44 nations together here in Washington, DC, behind a clear goal: securing all vulnerable nuclear materials around the world in 4 years so that they never fall into the hands of terrorists.

Now, these diplomatic efforts have also strengthened our hand in dealing with those nations that insist on violating international agreements in

pursuit of nuclear weapons. That's why North Korea now faces increased isolation and stronger sanctions, sanctions that are being vigorously enforced. That's why the international community is more united and the Islamic Republic of Iran is more isolated. And as Iran's leaders continue to ignore their obligations, there should be no doubt: They too will face growing consequences. That is a promise.

That's the leadership we are providing: engagement that advances the common security and prosperity of all people. We're working through the G-20 to sustain a lasting global recovery. We're working with Muslim communities around the world to promote science and education and innovation. We have gone from a bystander to a leader in the fight against climate change. We're helping developing countries to feed themselves and continuing the fight against HIV/AIDS. And we are launching a new initiative that will give us the capacity to respond faster and more effectively to bioterrorism or an infectious disease, a plan that will counter threats at home and strengthen public health abroad.

As we have for over 60 years, America takes these actions because our destiny is connected to those beyond our shores. But we also do it because it is right. That's why, as we meet here tonight, over 10,000 Americans are working with many nations to help the people of Haiti recover and rebuild. That's why we stand with the girl who yearns to go to school in Afghanistan, why we support the human rights of the women marching through the streets of Iran, why we advocate for the young man denied a job by corruption in Guinea. For America must always stand on the side of freedom and human dignity--always.

Abroad, America's greatest source of strength has always been our ideals. The same is true at home. We find unity in our incredible diversity, drawing on the promise enshrined in our Constitution: The notion that we're all created equal; that no matter who you are or what you look like, if you abide by the law, you should be protected by it; if you adhere to our common values, you should be treated no different than anyone else.

We must continually renew this promise. My administration has a Division that is once again prosecuting violations and employment discrimination. We finally strengthened our laws to protect against crimes

driven by hate. This year, I will work with Congress and our military to finally repeal the law that denies gay Americans the right to serve the country they love because of who they are. It's the right thing to do.

We're going to crack down on violations of equal pay laws so that women get equal pay for an equal day's work. And we should continue the work of fixing our broken immigration system, to secure our borders and enforce our laws and ensure that everyone who plays by the rules can contribute to our economy and enrich our Nation.

In the end, it's our ideals, our values that built America, values that allowed us to forge a nation made up of immigrants from every corner of the globe, values that drive our citizens still. Every day, Americans meet their responsibilities to their families and their employers. Time and again, they lend a hand to their neighbors and give back to their country. They take pride in their labor and are generous in spirit. These aren't Republican values or Democratic values that they're living by, business values or labor values, they're American values.

Unfortunately, too many of our citizens have lost faith that our biggest institutions--our corporations, our media, and, yes, our Government--still reflect these same values. Each of these institutions are full of honorable men and women doing important work that helps our country prosper. But each time a CEO rewards himself for failure or a banker puts the rest of us at risk for his own selfish gain, people's doubts grow. Each time lobbyists game the system or politicians tear each other down instead of lifting this country up, we lose faith. The more that TV pundits reduce serious debates to silly arguments, big issues into sound bites, our citizens turn away. No wonder there's so much cynicism out there. No wonder there's so much disappointment.

I campaigned on the promise of change. Change we can believe in, the slogan went. And right now I know there are many Americans who aren't sure if they still believe we can change or that I can deliver it.

But remember this: I never suggested that change would be easy or that I could do it alone. Democracy in a nation of 300 million people can be noisy

and messy and complicated. And when you try to do big things and make big changes, it stirs passions and controversy. That's just how it is.

Those of us in public office can respond to this reality by playing it safe and avoid telling hard truths and pointing fingers. We can do what's necessary to keep our poll numbers high and get through the next election, instead of doing what's best for the next generation.

But I also know this: If people had made that decision 50 years ago or 100 years ago or 200 years ago, we wouldn't be here tonight. The only reason we are here is because generations of Americans were unafraid to do what was hard, to do what was needed even when success was uncertain, to do what it took to keep the dream of this Nation alive for their children and their grandchildren.

Now, our administration has had some political setbacks this year, and some of them were deserved. But I wake up every day knowing that they are nothing compared to the setbacks that families all across this country have faced this year. And what keeps me going, what keeps me fighting, is that despite all these setbacks, that spirit of determination and optimism, that fundamental decency that has always been at the core of the American people, that lives on.

It lives on in the struggling small-business owner who wrote to me of his company, "None of us," he said, ". . . are willing to consider, even slightly, that we might fail." It lives on in the woman who said that even though she and her neighbors have felt the pain of recession, "We are strong. We are resilient. We are American." It lives on in the 8-year-old boy in Louisiana who just sent me his allowance and asked if I would give it to the people of Haiti. And it lives on in all the Americans who've dropped everything to go someplace they've never been and pull people they've never known from the rubble, prompting chants of "U.S.A.! U.S.A.! U.S.A.!" when another life was saved.

The spirit that has sustained this Nation for more than two centuries lives on in you, its people. We have finished a difficult year. We have come through a difficult decade. But a new year has come. A new decade stretches before us. We don't quit. I don't quit. Let's seize this moment to

start anew, to carry the dream forward, and to strengthen our Union once more.

Thank you. God bless you, and God bless the United States of America.

Address Before a Joint Session of the Congress on the State of the Union
Barack Obama
January 25, 2011

Mr. Speaker, Mr. Vice President, Members of Congress, distinguished guests, and fellow Americans: Tonight I want to begin by congratulating the men and women of the 112th Congress, as well as your new Speaker, John Boehner. And as we mark this occasion, we're also mindful of the empty chair in this Chamber, and we pray for the health of our colleague and our friend Gabby Giffords.

It's no secret that those of us here tonight have had our differences over the last 2 years. The debates have been contentious; we have fought fiercely for our beliefs. And that's a good thing. That's what a robust democracy demands. That's what helps set us apart as a nation.

But there's a reason the tragedy in Tucson gave us pause. Amid all the noise and passion and rancor of our public debate, Tucson reminded us that no matter who we are or where we come from, each of us is a part of something greater, something more consequential than party or political preference.

We are part of the American family. We believe that in a country where every race and faith and point of view can be found, we are still bound together as one people, that we share common hopes and a common creed,

that the dreams of a little girl in Tucson are not so different than those of our own children, that they all deserve the chance to be fulfilled. That too is what sets us apart as a nation.

Now, by itself, this simple recognition won't usher in a new era of cooperation. What comes of this moment is up to us. What comes of this moment will be determined not by whether we can sit together tonight, but whether we can work together tomorrow.

I believe we can, and I believe we must. That's what the people who sent us here expect of us. With their votes, they've determined that governing will now be a shared responsibility between parties. New laws will only pass with support from Democrats and Republicans. We will move forward together or not at all, for the challenges we face are bigger than party and bigger than politics.

At stake right now is not who wins the next election. After all, we just had an election. At stake is whether new jobs and industries take root in this country or somewhere else. It's whether the hard work and industry of our people is rewarded. It's whether we sustain the leadership that has made America not just a place on a map, but the light to the world.

We are poised for progress. Two years after the worst recession most of us have ever known, the stock market has come roaring back, corporate profits are up, the economy is growing again.

But we have never measured progress by these yardsticks alone. We measure progress by the success of our people, by the jobs they can find and the quality of life those jobs offer, by the prospects of a small-business owner who dreams of turning a good idea into a thriving enterprise, by the opportunities for a better life that we pass on to our children.

That's the project the American people want us to work on--together.

Now, we did that in December. Thanks to the tax cuts we passed, Americans' paychecks are a little bigger today. Every business can write off the full cost of new investments that they make this year. And these steps,

taken by Democrats and Republicans, will grow the economy and add to the more than 1 million private sector jobs created last year.

But we have to do more. These steps we've taken over the last 2 years may have broken the back of this recession, but to win the future, we'll need to take on challenges that have been decades in the making.

Many people watching tonight can probably remember a time when finding a good job meant showing up at a nearby factory or a business downtown. You didn't always need a degree, and your competition was pretty much limited to your neighbors. If you worked hard, chances are you'd have a job for life, with a decent paycheck and good benefits and the occasional promotion. Maybe you'd even have the pride of seeing your kids work at the same company.

That world has changed. And for many, the change has been painful. I've seen it in the shuttered windows of once booming factories and the vacant storefronts on once busy Main Streets. I've heard it in the frustrations of Americans who've seen their paychecks dwindle or their jobs disappear, proud men and women who feel like the rules have been changed in the middle of the game.

They're right. The rules have changed. In a single generation, revolutions in technology have transformed the way we live, work, and do business. Steel mills that once needed 1,000 workers can now do the same work with 100. Today, just about any company can set up shop, hire workers, and sell their products wherever there's an Internet connection.

Meanwhile, nations like China and India realized that with some changes of their own, they could compete in this new world. And so they started educating their children earlier and longer, with greater emphasis on math and science. They're investing in research and new technologies. Just recently, China became the home to the world's largest private solar research facility and the world's fastest computer.

So yes, the world is changed. The competition for jobs is real. But this shouldn't discourage us. It should challenge us. Remember, for all the hits we've taken these last few years, for all the naysayers predicting our

decline, America still has the largest, most prosperous economy in the world. No workers are more productive than ours. No country has more successful companies or grants more patents to inventors and entrepreneurs. We're the home to the world's best colleges and universities, where more students come to study than any place on Earth.

What's more, we are the first nation to be founded for the sake of an idea: the idea that each of us deserves the chance to shape our own destiny. That's why centuries of pioneers and immigrants have risked everything to come here. It's why our students don't just memorize equations, but answer questions like: "What do you think of that idea? What would you change about the world? What do you want to be when you grow up?"

The future is ours to win. But to get there, we can't just stand still. As Robert Kennedy told us: "The future is not a gift. It is an achievement." Sustaining the American Dream has never been about standing pat. It has required each generation to sacrifice and struggle and meet the demands of a new age.

And now it's our turn. We know what it takes to compete for the jobs and industries of our time. We need to outinnovate, outeducate, and outbuild the rest of the world. We have to make America the best place on Earth to do business. We need to take responsibility for our deficit and reform our Government. That's how our people will prosper. That's how we'll win the future. And tonight I'd like to talk about how we get there.

The first step in winning the future is encouraging American innovation. None of us can predict with certainty what the next big industry will be or where the new jobs will come from. Thirty years ago, we couldn't know that something called the Internet would lead to an economic revolution. What we can do--what America does better than anyone else-- is spark the creativity and imagination of our people. We're the nation that put cars in driveways and computers in offices; the nation of Edison and the Wright brothers, of Google and Facebook. In America, innovation doesn't just change our lives. It is how we make our living.

Our free enterprise system is what drives innovation. But because it's not always profitable for companies to invest in basic research, throughout our

history, our Government has provided cutting-edge scientists and inventors with the support that they need. That's what planted the seeds for the Internet. That's what helped make possible things like computer chips and GPS. Just think of all the good jobs-- from manufacturing to retail--that have come from these breakthroughs.

Half a century ago, when the Soviets beat us into space with the launch of a satellite called Sputnik, we had no idea how we would beat them to the Moon. The science wasn't even there yet. NASA didn't exist. But after investing in better research and education, we didn't just surpass the Soviets, we unleashed a wave of innovation that created new industries and millions of new jobs.

This is our generation's Sputnik moment. Two years ago, I said that we needed to reach a level of research and development we haven't seen since the height of the space race. And in a few weeks, I will be sending a budget to Congress that helps us meet that goal. We'll invest in biomedical research, information technology, and especially clean energy technology, an investment that will strengthen our security, protect our planet, and create countless new jobs for our people.

Already, we're seeing the promise of renewable energy. Robert and Gary Allen are brothers who run a small Michigan roofing company. After September 11, they volunteered their best roofers to help repair the Pentagon. But half of their factory went unused, and the recession hit them hard. Today, with the help of a Government loan, that empty space is being used to manufacture solar shingles that are being sold all across the country. In Robert's words, "We reinvented ourselves."

That's what Americans have done for over 200 years: reinvented ourselves. And to spur on more success stories like the Allen Brothers, we've begun to reinvent our energy policy. We're not just handing out money. We're issuing a challenge. We're telling America's scientists and engineers that if they assemble teams of the best minds in their fields and focus on the hardest problems in clean energy, we'll fund the Apollo projects of our time.

At the California Institute of Technology, they're developing a way to turn sunlight and water into fuel for our cars. At Oak Ridge National Laboratory, they're using supercomputers to get a lot more power out of our nuclear facilities. With more research and incentives, we can break our dependence on oil with biofuels and become the first country to have a million electric vehicles on the road by 2015.

We need to get behind this innovation. And to help pay for it, I'm asking Congress to eliminate the billions in taxpayer dollars we currently give to oil companies. I don't know if you've noticed, but they're doing just fine on their own. [Laughter] So instead of subsidizing yesterday's energy, let's invest in tomorrow's.

Now, clean energy breakthroughs will only translate into clean energy jobs if businesses know there will be a market for what they're selling. So tonight I challenge you to join me in setting a new goal: By 2035, 80 percent of America's electricity will come from clean energy sources.

Some folks want wind and solar. Others want nuclear, clean coal, and natural gas. To meet this goal, we will need them all, and I urge Democrats and Republicans to work together to make it happen.

Maintaining our leadership in research and technology is crucial to America's success. But if we want to win the future, if we want innovation to produce jobs in America and not overseas, then we also have to win the race to educate our kids.

Think about it. Over the next 10 years, nearly half of all new jobs will require education that goes beyond a high school education. And yet as many as a quarter of our students aren't even finishing high school. The quality of our math and science education lags behind many other nations. America has fallen to ninth in the proportion of young people with a college degree. And so the question is whether all of us, as citizens and as parents, are willing to do what's necessary to give every child a chance to succeed.

That responsibility begins not in our classrooms, but in our homes and communities. It's family that first instills the love of learning in a child. Only parents can make sure the TV is turned off and homework gets done.

We need to teach our kids that it's not just the winner of the Super Bowl who deserves to be celebrated, but the winner of the science fair. We need to teach them that success is not a function of fame or PR, but of hard work and discipline.

Our schools share this responsibility. When a child walks into a classroom, it should be a place of high expectations and high performance. But too many schools don't meet this test. That's why instead of just pouring money into a system that's not working, we launched a competition called Race to the Top. To all 50 States, we said, "If you show us the most innovative plans to improve teacher quality and student achievement, we'll show you the money."

Race to the Top is the most meaningful reform of our public schools in a generation. For less than 1 percent of what we spend on education each year, it has led over 40 States to raise their standards for teaching and learning. And these standards were developed, by the way, not by Washington, but by Republican and Democratic Governors throughout the country. And Race to the Top should be the approach we follow this year as we replace No Child Left Behind with a law that's more flexible and focused on what's best for our kids.

You see, we know what's possible from our children when reform isn't just a top-down mandate, but the work of local teachers and principals, school boards and communities. Take a school like Bruce Randolph in Denver. Three years ago, it was rated one of the worst schools in Colorado, located on turf between two rival gangs. But last May, 97 percent of the seniors received their diploma. Most will be the first in their families to go to college. And after the first year of the school's transformation, the principal who made it possible wiped away tears when a student said, "Thank you, Ms. Waters, for showing that we are smart and we can make it." That's what good schools can do, and we want good schools all across the country.

Let's also remember that after parents, the biggest impact on a child's success comes from the man or woman at the front of the classroom. In South Korea, teachers are known as nation builders. Here in America, it's time we treated the people who educate our children with the same level of

respect. We want to reward good teachers and stop making excuses for bad ones. And over the next 10 years, with so many baby boomers retiring from our classrooms, we want to prepare 100,000 new teachers in the fields of science and technology and engineering and math.

In fact, to every young person listening tonight who's contemplating their career choice: If you want to make a difference in the life of our Nation, if you want to make a difference in the life of a child, become a teacher. Your country needs you.

Of course, the education race doesn't end with a high school diploma. To compete, higher education must be within the reach of every American. That's why we've ended the unwarranted taxpayer subsidies that went to banks and used the savings to make college affordable for millions of students. And this year, I ask Congress to go further and make permanent our tuition tax credit, worth \$10,000 for 4 years of college. It's the right thing to do.

Because people need to be able to train for new jobs and careers in today's fast-changing economy, we're also revitalizing America's community colleges. Last month, I saw the promise of these schools at Forsyth Tech in North Carolina. Many of the students there used to work in the surrounding factories that have since left town. One mother of two, a woman named Kathy Proctor, had worked in the furniture industry since she was 18 years old. And she told me she's earning her degree in biotechnology now, at 55 years old, not just because the furniture jobs are gone, but because she wants to inspire her children to pursue their dreams too. As Kathy said, "I hope it tells them to never give up."

If we take these steps, if we raise expectations for every child and give them the best possible chance at an education, from the day they are born until the last job they take, we will reach the goal that I set 2 years ago: By the end of the decade, America will once again have the highest proportion of college graduates in the world.

One last point about education: Today, there are hundreds of thousands of students excelling in our schools who are not American citizens. Some are the children of undocumented workers, who had nothing to do with the

actions of their parents. They grew up as Americans and pledge allegiance to our flag, and yet they live every day with the threat of deportation. Others come here from abroad to study in our colleges and universities. But as soon as they obtain advanced degrees, we send them back home to compete against us. It makes no sense.

Now, I strongly believe that we should take on, once and for all, the issue of illegal immigration. And I am prepared to work with Republicans and Democrats to protect our borders, enforce our laws, and address the millions of undocumented workers who are now living in the shadows. I know that debate will be difficult. I know it will take time. But tonight, let's agree to make that effort. And let's stop expelling talented, responsible young people who could be staffing our research labs or starting a new business, who could be further enriching this Nation.

The third step in winning the future is rebuilding America. To attract new businesses to our shores, we need the fastest, most reliable ways to move people, goods, and information, from high-speed rail to high-speed Internet.

Our infrastructure used to be the best, but our lead has slipped. South Korean homes now have greater Internet access than we do. Countries in Europe and Russia invest more in their roads and railways than we do. China is building faster trains and newer airports. Meanwhile, when our own engineers graded our Nation's infrastructure, they gave us a D.

We have to do better. America is the nation that built the transcontinental railroad, brought electricity to rural communities, constructed the Interstate Highway System. The jobs created by these projects didn't just come from laying down track or pavement. They came from businesses that opened near a town's new train station or the new off-ramp.

So over the last 2 years, we've begun rebuilding for the 21st century, a project that has meant thousands of good jobs for the hard-hit construction industry. And tonight I'm proposing that we redouble those efforts.

We'll put more Americans to work repairing crumbling roads and bridges. We'll make sure this is fully paid for, attract private investment, and

pick projects based [on]* what's best for the economy, not politicians.

Within 25 years, our goal is to give 80 percent of Americans access to high-speed rail. This could allow you to go places in half the time it takes to travel by car. For some trips, it will be faster than flying, without the pat-down. [Laughter] As we speak, routes in California and the Midwest are already underway.

Within the next 5 years, we'll make it possible for businesses to deploy the next generation of high-speed wireless coverage to 98 percent of all Americans. This isn't just about--this isn't about faster Internet or fewer dropped calls. It's about connecting every part of America to the digital age. It's about a rural community in Iowa or Alabama where farmers and small-business owners will be able to sell their products all over the world. It's about a firefighter who can download the design of a burning building onto a handheld device, a student who can take classes with a digital textbook, or a patient who can have face-to-face video chats with her doctor.

All these investments--in innovation, education, and infrastructure-- will make America a better place to do business and create jobs. But to help our companies compete, we also have to knock down barriers that stand in the way of their success.

For example, over the years, a parade of lobbyists has rigged the Tax Code to benefit particular companies and industries. Those with accountants or lawyers to work the system can end up paying no taxes at all. But all the rest are hit with one of the highest corporate tax rates in the world. It makes no sense, and it has to change.

So tonight I'm asking Democrats and Republicans to simplify the system, get rid of the loopholes, level the playing field, and use the savings to lower the corporate tax rate for the first time in 25 years without adding to our deficit. It can be done.

To help businesses sell more products abroad, we set a goal of doubling our exports by 2014. Because the more we export, the more jobs we create here at home. Already, our exports are up. Recently, we signed agreements with India and China that will support more than 250,000 jobs here in the

United States. And last month, we finalized a trade agreement with South Korea that will support at least 70,000 American jobs. This agreement has unprecedented support from business and labor, Democrats and Republicans, and I ask this Congress to pass it as soon as possible.

Now, before I took office, I made it clear that we would enforce our trade agreements and that I would only sign deals that keep faith with American workers and promote American jobs. That's what we did with Korea, and that's what I intend to do as we pursue agreements with Panama and Colombia and continue our Asia-Pacific and global trade talks.

To reduce barriers to growth and investment, I've ordered a review of Government regulations. When we find rules that put an unnecessary burden on businesses, we will fix them. But I will not hesitate to create or enforce commonsense safeguards to protect the American people. That's what we've done in this country for more than a century. It's why our food is safe to eat, our water is safe to drink, and our air is safe to breathe. It's why we have speed limits and child labor laws. It's why last year, we put in place consumer protections against hidden fees and penalties by credit card companies and new rules to prevent another financial crisis. And it's why we passed reform that finally prevents the health insurance industry from exploiting patients.

Now, I have heard rumors that a few of you still have concerns about our new health care law. [Laughter] So let me be the first to say that anything can be improved. If you have ideas about how to improve this law by making care better or more affordable, I am eager to work with you. We can start right now by correcting a flaw in the legislation that has placed an unnecessary bookkeeping burden on small businesses.

What I'm not willing to do--what I'm not willing to do--is go back to the days when insurance companies could deny someone coverage because of a preexisting condition.

I'm not willing to tell James Howard, a brain cancer patient from Texas, that his treatment might not be covered. I'm not willing to tell Jim Houser, a small-businessman from Oregon, that he has to go back to paying \$5,000 more to cover his employees. As we speak, this law is making prescription

drugs cheaper for seniors and giving uninsured students a chance to stay on their patients'--parents' coverage.

So I say to this Chamber tonight: Instead of refighting the battles of the last 2 years, let's fix what needs fixing, and let's move forward.

Now, the final critical step in winning the future is to make sure we aren't buried under a mountain of debt.

We are living with a legacy of deficit spending that began almost a decade ago. And in the wake of the financial crisis, some of that was necessary to keep credit flowing, save jobs, and put money in people's pockets.

But now that the worst of the recession is over, we have to confront the fact that our Government spends more than it takes in. That is not sustainable. Every day, families sacrifice to live within their means. They deserve a Government that does the same.

So tonight I am proposing that starting this year, we freeze annual domestic spending for the next 5 years. Now, this would reduce the deficit by more than \$400 billion over the next decade and will bring discretionary spending to the lowest share of our economy since Dwight Eisenhower was President.

This freeze will require painful cuts. Already, we've frozen the salaries of hard-working Federal employees for the next 2 years. I've proposed cuts to things I care deeply about, like community action programs. The Secretary of Defense has also agreed to cut tens of billions of dollars in spending that he and his generals believe our military can do without.

Now, I recognize that some in this Chamber have already proposed deeper cuts, and I'm willing to eliminate whatever we can honestly afford to do without. But let's make sure that we're not doing it on the backs of our most vulnerable citizens. And let's make sure that what we're cutting is really excess weight. Cutting the deficit by gutting our investments in innovation and education is like lightening an overloaded airplane by

removing its engine. It may make you feel like you're flying high at first, but it won't take long before you feel the impact. [Laughter]

Now, most of the cuts and savings I've proposed only address annual domestic spending, which represents a little more than 12 percent of our budget. To make further progress, we have to stop pretending that cutting this kind of spending alone will be enough. It won't.

The bipartisan fiscal commission I created last year made this crystal clear. I don't agree with all their proposals, but they made important progress. And their conclusion is that the only way to tackle our deficit is to cut excessive spending wherever we find it, in domestic spending, defense spending, health care spending, and spending through tax breaks and loopholes.

This means further reducing health care costs, including programs like Medicare and Medicaid, which are the single biggest contributor to our long-term deficit. The health insurance law we passed last year will slow these rising costs, which is part of the reason that nonpartisan economists have said that repealing the health care law would add a quarter of a trillion dollars to our deficit. Still, I'm willing to look at other ideas to bring down costs, including one that Republicans suggested last year: medical malpractice reform to rein in frivolous lawsuits.

To put us on solid ground, we should also find a bipartisan solution to strengthen Social Security for future generations. We must do it without putting at risk current retirees, the most vulnerable, or people with disabilities, without slashing benefits for future generations, and without subjecting Americans' guaranteed retirement income to the whims of the stock market.

And if we truly care about our deficit, we simply can't afford a permanent extension of the tax cuts for the wealthiest 2 percent of Americans. Before we take money away from our schools or scholarships away from our students, we should ask millionaires to give up their tax break. It's not a matter of punishing their success, it's about promoting America's success.

In fact, the best thing we could do on taxes for all Americans is to simplify the individual Tax Code. This will be a tough job, but members of both parties have expressed an interest in doing this, and I am prepared to join them.

So now is the time to act. Now is the time for both sides and both Houses of Congress, Democrats and Republicans, to forge a principled compromise that gets the job done. If we make the hard choices now to rein in our deficits, we can make the investments we need to win the future.

Let me take this one step further. We shouldn't just give our people a Government that's more affordable, we should give them a Government that's more competent and more efficient. We can't win the future with a Government of the past.

We live and do business in the Information Age, but the last major reorganization of the Government happened in the age of black-and-white TV. There are 12 different agencies that deal with exports. There are at least five different agencies that deal with housing policy. Then there's my favorite example: The Interior Department is in charge of salmon while they're in fresh water, but the Commerce Department handles them when they're in saltwater. [Laughter] I hear it gets even more complicated once they're smoked. [Laughter]

Now, we've made great strides over the last 2 years in using technology and getting rid of waste. Veterans can now download their electronic medical records with a click of the mouse. We're selling acres of Federal office space that hasn't been used in years, and we'll cut through redtape to get rid of more. But we need to think bigger. In the coming months, my administration will develop a proposal to merge, consolidate, and reorganize the Federal Government in a way that best serves the goal of a more competitive America. I will submit that proposal to Congress for a vote, and we will push to get it passed.

In the coming year, we'll also work to rebuild people's faith in the institution of Government. Because you deserve to know exactly how and where your tax dollars are being spent, you'll be able to go to a web site and get that information for the very first time in history. Because you deserve

to know when your elected officials are meeting with lobbyists, I ask Congress to do what the White House has already done: put that information online. And because the American people deserve to know that special interests aren't larding up legislation with pet projects, both parties in Congress should know this: If a bill comes to my desk with earmarks inside, I will veto it. I will veto it.

The 21st-century Government that's open and competent, a government that lives within its means, an economy that's driven by new skills and new ideas--our success in this new and changing world will require reform, responsibility, and innovation. It will also require us to approach that world with a new level of engagement in our foreign affairs.

Just as jobs and businesses can now race across borders, so can new threats and new challenges. No single wall separates East and West. No one rival superpower is aligned against us.

And so we must defeat determined enemies, wherever they are, and build coalitions that cut across lines of region and race and religion. And America's moral example must always shine for all who yearn for freedom and justice and dignity. And because we've begun this work, tonight we can say that American leadership has been renewed and America's standing has been restored.

Look to Iraq, where nearly 100,000 of our brave men and women have left with their heads held high. American combat patrols have ended, violence is down, and a new Government has been formed. This year, our civilians will forge a lasting partnership with the Iraqi people, while we finish the job of bringing our troops out of Iraq. America's commitment has been kept. The Iraq war is coming to an end.

Of course, as we speak, Al Qaida and their affiliates continue to plan attacks against us. Thanks to our intelligence and law enforcement professionals, we're disrupting plots and securing our cities and skies. And as extremists try to inspire acts of violence within our borders, we are responding with the strength of our communities, with respect for the rule of law, and with the conviction that American Muslims are a part of our American family.

We've also taken the fight to Al Qaida and their allies abroad. In Afghanistan, our troops have taken Taliban strongholds and trained Afghan security forces. Our purpose is clear: By preventing the Taliban from reestablishing a stranglehold over the Afghan people, we will deny Al Qaida the safe haven that served as a launching pad for 9/11.

Thanks to our heroic troops and civilians, fewer Afghans are under the control of the insurgency. There will be tough fighting ahead, and the Afghan Government will need to deliver better governance. But we are strengthening the capacity of the Afghan people and building an enduring partnership with them. This year, we will work with nearly 50 countries to begin a transition to an Afghan lead, and this July, we will begin to bring our troops home.

In Pakistan, Al Qaida's leadership is under more pressure than at any point since 2001. Their leaders and operatives are being removed from the battlefield. Their safe havens are shrinking. And we've sent a message from the Afghan border to the Arabian Peninsula to all parts of the globe: We will not relent, we will not waver, and we will defeat you.

American leadership can also be seen in the effort to secure the worst weapons of war. Because Republicans and Democrats approved the new START Treaty, far fewer nuclear weapons and launchers will be deployed. Because we rallied the world, nuclear materials are being locked down on every continent so they never fall into the hands of terrorists.

Because of a diplomatic effort to insist that Iran meet its obligations, the Iranian Government now faces tougher sanctions, tighter sanctions than ever before. And on the Korean Peninsula, we stand with our ally South Korea and insist that North Korea keeps its commitment to abandon nuclear weapons.

This is just a part of how we're shaping a world that favors peace and prosperity. With our European allies, we revitalized NATO and increased our cooperation on everything from counterterrorism to missile defense. We've reset our relationship with Russia, strengthened Asian alliances, built new partnerships with nations like India.

This March, I will travel to Brazil, Chile, and El Salvador to forge new alliances across the Americas. Around the globe, we're standing with those who take responsibility, helping farmers grow more food, supporting doctors who care for the sick, and combating the corruption that can rot a society and rob people of opportunity.

Recent events have shown us that what sets us apart must not just be our power; it must also be the purpose behind it. In south Sudan--with our assistance--the people were finally able to vote for independence after years of war. Thousands lined up before dawn. People danced in the streets. One man who lost four of his brothers at war summed up the scene around him. "This was a battlefield for most of my life," he said. "Now we want to be free."

And we saw that same desire to be free in Tunisia, where the will of the people proved more powerful than the writ of a dictator. And tonight let us be clear: The United States of America stands with the people of Tunisia and supports the democratic aspirations of all people.

We must never forget that the things we've struggled for and fought for live in the hearts of people everywhere. And we must always remember that the Americans who have borne the greatest burden in this struggle are the men and women who serve our country.

Tonight let us speak with one voice in reaffirming that our Nation is united in support of our troops and their families. Let us serve them as well as they've served us, by giving them the equipment they need, by providing them with the care and benefits that they have earned, and by enlisting our veterans in the great task of building our own Nation.

Our troops come from every corner of this country. They're Black, White, Latino, Asian, Native American. They are Christian and Hindu, Jewish and Muslim. And yes, we know that some of them are gay. Starting this year, no American will be forbidden from serving the country they love because of who they love. And with that change, I call on all our college campuses to open their doors to our military recruiters and ROTC. It is time to leave behind the divisive battles of the past. It is time to move forward as one Nation.

We should have no illusions about the work ahead of us. Reforming our schools, changing the way we use energy, reducing our deficit, none of this will be easy. All of it will take time. And it will be harder because we will argue about everything: the costs, the details, the letter of every law.

Of course, some countries don't have this problem. If the central government wants a railroad, they build a railroad, no matter how many homes get bulldozed. If they don't want a bad story in the newspaper, it doesn't get written.

And yet, as contentious and frustrating and messy as our democracy can sometimes be, I know there isn't a person here who would trade places with any other nation on Earth.

We may have differences in policy, but we all believe in the rights enshrined in our Constitution. We may have different opinions, but we believe in the same promise that says this is a place where you can make it if you try. We may have different backgrounds, but we believe in the same dream that says this is a country where anything is possible, no matter who you are, no matter where you come from.

That dream is why I can stand here before you tonight. That dream is why a working class kid from Scranton can sit behind me. [Laughter] That dream is why someone who began by sweeping the floors of his father's Cincinnati bar can preside as Speaker of the House in the greatest nation on Earth.

That dream--that American Dream--is what drove the Allen Brothers to reinvent their roofing company for a new era. It's what drove those students at Forsyth Tech to learn a new skill and work towards the future. And that dream is the story of a small-business owner named Brandon Fisher.

Brandon started a company in Berlin, Pennsylvania, that specializes in a new kind of drilling technology. And one day last summer, he saw the news that halfway across the world, 33 men were trapped in a Chilean mine, and no one knew how to save them.

But Brandon thought his company could help. And so he designed a rescue that would come to be known as Plan B. His employees worked around the clock to manufacture the necessary drilling equipment, and Brandon left for Chile.

Along with others, he began drilling a 2,000-foot hole into the ground, working 3 or 4 hour--3 or 4 days at a time without any sleep. Thirty- seven days later, Plan B succeeded and the miners were rescued. But because he didn't want all of the attention, Brandon wasn't there when the miners emerged. He'd already gone back home, back to work on his next project.

And later, one of his employees said of the rescue, "We proved that Center Rock is a little company, but we do big things."

We do big things.

From the earliest days of our founding, America has been the story of ordinary people who dare to dream. That's how we win the future.

We're a nation that says, "I might not have a lot of money, but I have this great idea for a new company." "I might not come from a family of college graduates, but I will be the first to get my degree." "I might not know those people in trouble, but I think I can help them, and I need to try." "I'm not sure how we'll reach that better place beyond the horizon, but I know we'll get there. I know we will."

We do big things.

The idea of America endures. Our destiny remains our choice. And tonight, more than two centuries later, it's because of our people that our future is hopeful, our journey goes forward, and the state of our Union is strong.

Thank you. God bless you, and may God bless the United States of America.

Address Before a Joint Session of Congress on the State of the Union
Barack Obama
January 24, 2012

Mr. Speaker, Mr. Vice President, Members of Congress, distinguished guests, and fellow Americans: Last month, I went to Andrews Air Force Base and welcomed home some of our last troops to serve in Iraq. Together, we offered a final, proud salute to the colors under which more than a million of our fellow citizens fought and several thousand gave their lives.

We gather tonight knowing that this generation of heroes has made the United States safer and more respected around the world. For the first time in 9 years, there are no Americans fighting in Iraq. For the first time in two decades, Usama bin Laden is not a threat to this country. Most of Al Qaida's top lieutenants have been defeated. The Taliban's momentum has been broken, and some troops in Afghanistan have begun to come home.

These achievements are a testament to the courage, selflessness, and teamwork of America's Armed Forces. At a time when too many of our institutions have let us down, they exceed all expectations. They're not consumed with personal ambition. They don't obsess over their differences. They focus on the mission at hand. They work together.

Imagine what we could accomplish if we followed their example. Think about the America within our reach: a country that leads the world in educating its people; an America that attracts a new generation of high-tech manufacturing and high-paying jobs; a future where we're in control of our own energy and our security and prosperity aren't so tied to unstable parts of the world; an economy built to last, where hard work pays off and responsibility is rewarded.

We can do this. I know we can, because we've done it before. At the end of World War II, when another generation of heroes returned home from combat, they built the strongest economy and middle class the world has ever known. My grandfather, a veteran of Patton's army, got the chance to go to college on the GI bill. My grandmother, who worked on a bomber assembly line, was part of a workforce that turned out the best products on Earth.

The two of them shared the optimism of a nation that had triumphed over a depression and fascism. They understood they were part of something larger, that they were contributing to a story of success that every American had a chance to share, the basic American promise that if you worked hard, you could do well enough to raise a family, own a home, send your kids to college, and put a little away for retirement.

The defining issue of our time is how to keep that promise alive. No challenge is more urgent. No debate is more important. We can either settle for a country where a shrinking number of people do really well while a growing number of Americans barely get by. Or we can restore an economy where everyone gets a fair shot and everyone does their fair share and everyone plays by the same set of rules. What's at stake aren't Democratic values or Republican values, but American values. And we have to reclaim them.

Let's remember how we got here. Long before the recession, jobs and manufacturing began leaving our shores. Technology made businesses more efficient, but also made some jobs obsolete. Folks at the top saw their incomes rise like never before, but most hard-working Americans struggled with costs that were growing, paychecks that weren't, and personal debt that kept piling up.

In 2008, the house of cards collapsed. We learned that mortgages had been sold to people who couldn't afford or understand them. Banks had made huge bets and bonuses with other people's money. Regulators had looked the other way or didn't have the authority to stop the bad behavior.

It was wrong, it was irresponsible, and it plunged our economy into a crisis that put millions out of work, saddled us with more debt, and left

innocent, hard-working Americans holding the bag. In the 6 months before I took office, we lost nearly 4 million jobs. And we lost another 4 million before our policies were in full effect.

Those are the facts. But so are these: In the last 22 months, businesses have created more than 3 million jobs. Last year, they created the most jobs since 2005. American manufacturers are hiring again, creating jobs for the first time since the late 1990s. Together, we've agreed to cut the deficit by more than \$2 trillion. And we've put in place new rules to hold Wall Street accountable so a crisis like this never happens again.

The state of our Union is getting stronger. And we've come too far to turn back now. As long as I'm President, I will work with anyone in this Chamber to build on this momentum. But I intend to fight obstruction with action, and I will oppose any effort to return to the very same policies that brought on this economic crisis in the first place.

No, we will not go back to an economy weakened by outsourcing, bad debt, and phony financial profits. Tonight I want to speak about how we move forward and lay out a blueprint for an economy that's built to last, an economy built on American manufacturing, American energy, skills for American workers, and a renewal of American values.

Now, this blueprint begins with American manufacturing.

On the day I took office, our auto industry was on the verge of collapse. Some even said we should let it die. With a million jobs at stake, I refused to let that happen. In exchange for help, we demanded responsibility. We got workers and automakers to settle their differences. We got the industry to retool and restructure. Today, General Motors is back on top as the world's number-one automaker. Chrysler has grown faster in the U.S. than any major car company. Ford is investing billions in U.S. plants and factories. And together, the entire industry added nearly a hundred and sixty thousand jobs.

We bet on American workers. We bet on American ingenuity. And tonight, the American auto industry is back.

What's happening in Detroit can happen in other industries. It can happen in Cleveland and Pittsburgh and Raleigh. We can't bring every job back that's left our shore. But right now it's getting more expensive to do business in places like China. Meanwhile, America is more productive. A few weeks ago, the CEO of Master Lock told me that it now makes business sense for him to bring jobs back home. Today, for the first time in 15 years, Master Lock's unionized plant in Milwaukee is running at full capacity.

So we have a huge opportunity at this moment to bring manufacturing back. But we have to seize it. Tonight my message to business leaders is simple: Ask yourselves what you can do to bring jobs back to your country, and your country will do everything we can to help you succeed.

We should start with our Tax Code. Right now companies get tax breaks for moving jobs and profits overseas. Meanwhile, companies that choose to stay in America get hit with one of the highest tax rates in the world. It makes no sense, and everyone knows it. So let's change it.

First, if you're a business that wants to outsource jobs, you shouldn't get a tax deduction for doing it. That money should be used to cover moving expenses for companies like Master Lock that decide to bring jobs home.

Second, no American company should be able to avoid paying its fair share of taxes by moving jobs and profits overseas. From now on, every multinational company should have to pay a basic minimum tax. And every penny should go towards lowering taxes for companies that choose to stay here and hire here in America.

Third, if you're an American manufacturer, you should get a bigger tax cut. If you're a high-tech manufacturer, we should double the tax deduction you get for making your products here. And if you want to relocate in a community that was hit hard when a factory left town, you should get help financing a new plant, equipment, or training for new workers.

So my message is simple: It is time to stop rewarding businesses that ship jobs overseas, and start rewarding companies that create jobs right here in America. Send me these tax reforms, and I will sign them right away.

We're also making it easier for American businesses to sell products all over the world. Two years ago, I set a goal of doubling U.S. exports over 5 years. With the bipartisan trade agreements we signed into law, we're on track to meet that goal ahead of schedule. And soon there will be millions of new customers for American goods in Panama, Colombia, and South Korea. Soon there will be new cars on the streets of Seoul imported from Detroit and Toledo and Chicago.

I will go anywhere in the world to open new markets for American products. And I will not stand by when our competitors don't play by the rules. We've brought trade cases against China at nearly twice the rate as the last administration, and it's made a difference. Over a thousand Americans are working today because we stopped a surge in Chinese tires. But we need to do more. It's not right when another country lets our movies, music, and software be pirated. It's not fair when foreign manufacturers have a leg up on ours only because they're heavily subsidized.

Tonight I'm announcing the creation of a trade enforcement unit that will be charged with investigating unfair trading practices in countries like China. There will be more inspections to prevent counterfeit or unsafe goods from crossing our borders. And this Congress should make sure that no foreign company has an advantage over American manufacturing when it comes to accessing financing or new markets like Russia. Our workers are the most productive on Earth, and if the playing field is level, I promise you, America will always win.

I also hear from many business leaders who want to hire in the United States, but can't find workers with the right skills. Growing industries in science and technology have twice as many openings as we have workers who can do the job. Think about that: openings at a time when millions of Americans are looking for work. It's inexcusable, and we know how to fix it.

Jackie Bray is a single mom from North Carolina who was laid off from her job as a mechanic. Then Siemens opened a gas turbine factory in Charlotte and formed a partnership with Central Piedmont Community College. The company helped the college design courses in laser and

robotics training. It paid Jackie's tuition, then hired her to help operate their plant.

I want every American looking for work to have the same opportunity as Jackie did. Join me in a national commitment to train 2 million Americans with skills that will lead directly to a job. My administration has already lined up more companies that want to help. Model partnerships between businesses like Siemens and community colleges in places like Charlotte and Orlando and Louisville are up and running. Now you need to give more community colleges the resources they need to become community career centers, places that teach people skills that businesses are looking for right now, from data management to high-tech manufacturing.

And I want to cut through the maze of confusing training programs so that from now on, people like Jackie have one program, one web site, and one place to go for all the information and help that they need. It is time to turn our unemployment system into a reemployment system that puts people to work.

These reforms will help people get jobs that are open today. But to prepare for the jobs of tomorrow, our commitment to skills and education has to start earlier.

For less than 1 percent of what our Nation spends on education each year, we've convinced nearly every State in the country to raise their standards for teaching and learning, the first time that's happened in a generation. But challenges remain, and we know how to solve them.

At a time when other countries are doubling down on education, tight budgets have forced States to lay off thousands of teachers. We know a good teacher can increase the lifetime income of a classroom by over \$250,000. A great teacher can offer an escape from poverty to the child who dreams beyond his circumstance. Every person in this Chamber can point to a teacher who changed the trajectory of their lives. Most teachers work tirelessly, with modest pay, sometimes digging into their own pocket for school supplies, just to make a difference.

Teachers matter. So instead of bashing them or defending the status quo, let's offer schools a deal. Give them the resources to keep good teachers on the job and reward the best ones. And in return, grant schools flexibility to teach with creativity and passion, to stop teaching to the test, and to replace teachers who just aren't helping kids learn. That's a bargain worth making.

We also know that when students don't walk away from their education, more of them walk the stage to get their diploma. When students are not allowed to drop out, they do better. So tonight I am proposing that every State--every State--requires that all students stay in high school until they graduate or turn 18.

When kids do graduate, the most daunting challenge can be the cost of college. At a time when Americans owe more in tuition debt than credit card debt, this Congress needs to stop the interest rates on student loans from doubling in July.

Extend the tuition tax credit we started that saves millions of middle class families thousands of dollars and give more young people the chance to earn their way through college by doubling the number of work-study jobs in the next 5 years.

Of course, it's not enough for us to increase student aid. We can't just keep subsidizing skyrocketing tuition; we'll run out of money. States also need to do their part by making higher education a higher priority in their budgets. And colleges and universities have to do their part by working to keep costs down.

Recently, I spoke with a group of college presidents who have done just that. Some schools redesign courses to help students finish more quickly. Some use better technology. The point is, it's possible. So let me put colleges and universities on notice: If you can't stop tuition from going up, the funding you get from taxpayers will go down. Higher education can't be a luxury. It is an economic imperative that every family in America should be able to afford.

Let's also remember that hundreds of thousands of talented, hard-working students in this country face another challenge: the fact that they

aren't yet American citizens. Many were brought here as small children, are American through and through, yet they live every day with the threat of deportation. Others came more recently, to study business and science and engineering, but as soon as they get their degree, we send them home to invent new products and create new jobs somewhere else. That doesn't make sense.

I believe as strongly as ever that we should take on illegal immigration. That's why my administration has put more boots on the border than ever before. That's why there are fewer illegal crossings than when I took office. The opponents of action are out of excuses. We should be working on comprehensive immigration reform right now.

But if election-year politics keeps Congress from acting on a comprehensive plan, let's at least agree to stop expelling responsible young people who want to staff our labs, start new businesses, defend this country. Send me a law that gives them the chance to earn their citizenship. I will sign it right away.

You see, an economy built to last is one where we encourage the talent and ingenuity of every person in this country. That means women should earn equal pay for equal work. It means we should support everyone who's willing to work and every risk taker and entrepreneur who aspires to become the next Steve Jobs.

After all, innovation is what America has always been about. Most new jobs are created in startups and small businesses. So let's pass an agenda that helps them succeed. Tear down regulations that prevent aspiring entrepreneurs from getting the financing to grow. Expand tax relief to small businesses that are raising wages and creating good jobs. Both parties agree on these ideas. So put them in a bill and get it on my desk this year.

Innovation also demands basic research. Today, the discoveries taking place in our federally financed labs and universities could lead to new treatments that kill cancer cells, but leave healthy ones untouched, new lightweight vests for cops and soldiers that can stop any bullet. Don't gut these investments in our budget. Don't let other countries win the race for the future. Support the same kind of research and innovation that led to the

computer chip and the Internet, to new American jobs and new American industries.

And nowhere is the promise of innovation greater than in American-made energy. Over the last 3 years, we've opened millions of new acres for oil and gas exploration, and tonight I'm directing my administration to open more than 75 percent of our potential offshore oil and gas resources. Right now--right now--American oil production is the highest that it's been in 8 years. That's right, 8 years. Not only that, last year, we relied less on foreign oil than in any of the past 16 years.

But with only 2 percent of the world's oil reserves, oil isn't enough. This country needs an all-out, all-of-the-above strategy that develops every available source of American energy, a strategy that's cleaner, cheaper, and full of new jobs.

We have a supply of natural gas that can last America nearly 100 years. And my administration will take every possible action to safely develop this energy. Experts believe this will support more than 600,000 jobs by the end of the decade. And I'm requiring all companies that drill for gas on public lands to disclose the chemicals they use. Because America will develop this resource without putting the health and safety of our citizens at risk.

The development of natural gas will create jobs and power trucks and factories that are cleaner and cheaper, proving that we don't have to choose between our environment and our economy. And by the way, it was public research dollars, over the course of 30 years, that helped develop the technologies to extract all this natural gas out of shale rock, reminding us that Government support is critical in helping businesses get new energy ideas off the ground.

Now, what's true for natural gas is just as true for clean energy. In 3 years, our partnership with the private sector has already positioned America to be the world's leading manufacturer of high-tech batteries. Because of Federal investments, renewable energy use has nearly doubled, and thousands of Americans have jobs because of it.

When Bryan Ritterby was laid off from his job making furniture, he said he worried that at 55 no one would give him a second chance. But he found work at Energetx, a wind turbine manufacturer in Michigan. Before the recession, the factory only made luxury yachts. Today, it's hiring workers like Bryan, who said, "I'm proud to be working in the industry of the future."

Our experience with shale gas, our experience with natural gas, shows us that the payoffs on these public investments don't always come right away. Some technologies don't pan out, some companies fail. But I will not walk away from the promise of clean energy. I will not walk away from workers like Bryan. I will not cede the wind or solar or battery industry to China or Germany because we refuse to make the same commitment here.

We've subsidized oil companies for a century. That's long enough. It's time to end the taxpayer giveaways to an industry that rarely has been more profitable and double down on a clean energy industry that never has been more promising. Pass clean energy tax credits. Create these jobs.

We can also spur energy innovation with new incentives. The differences in this Chamber may be too deep right now to pass a comprehensive plan to fight climate change. But there's no reason why Congress shouldn't at least set a clean energy standard that creates a market for innovation. So far, you haven't acted. Well, tonight I will. I'm directing my administration to allow the development of clean energy on enough public land to power 3 million homes. And I'm proud to announce that the Department of Defense, working with us, the world's largest consumer of energy, will make one of the largest commitments to clean energy in history, with the Navy purchasing enough capacity to power a quarter of a million homes a year.

Of course, the easiest way to save money is to waste less energy. So here's a proposal: Help manufacturers eliminate energy waste in their factories and give businesses incentives to upgrade their buildings. Their energy bills will be a hundred billion dollars lower over the next decade, and America will have less pollution, more manufacturing, more jobs for construction workers who need them. Send me a bill that creates these jobs.

Building this new energy future should be just one part of a broader agenda to repair America's infrastructure. So much of America needs to be rebuilt. We've got crumbling roads and bridges, a power grid that wastes too much energy, an incomplete high-speed broadband network that prevents a small-business owner in rural America from selling her products all over the world.

During the Great Depression, America built the Hoover Dam and the Golden Gate Bridge. After World War II, we connected our States with a system of highways. Democratic and Republican administrations invested in great projects that benefited everybody, from the workers who built them to the businesses that still use them today.

In the next few weeks, I will sign an Executive order clearing away the redtape that slows down too many construction projects. But you need to fund these projects. Take the money we're no longer spending at war, use half of it to pay down our debt, and use the rest to do some nation-building right here at home.

There's never been a better time to build, especially since the construction industry was one of the hardest hit when the housing bubble burst. Of course, construction workers weren't the only ones who were hurt. So were millions of innocent Americans who've seen their home values decline. And while Government can't fix the problem on its own, responsible homeowners shouldn't have to sit and wait for the housing market to hit bottom to get some relief.

And that's why I'm sending this Congress a plan that gives every responsible homeowner the chance to save about \$3,000 a year on their mortgage by refinancing at historically low rates. No more redtape. No more runaround from the banks. A small fee on the largest financial institutions will ensure that it won't add to the deficit and will give those banks that were rescued by taxpayers a chance to repay a deficit of trust.

Let's never forget: Millions of Americans who work hard and play by the rules every day deserve a Government and a financial system that do the same. It's time to apply the same rules from top to bottom. No bailouts, no

handouts, and no copouts. An America built to last insists on responsibility from everybody.

We've all paid the price for lenders who sold mortgages to people who couldn't afford them and buyers who knew they couldn't afford them. That's why we need smart regulations to prevent irresponsible behavior. Rules to prevent financial fraud or toxic dumping or faulty medical devices, these don't destroy the free market. They make the free market work better.

There's no question that some regulations are outdated, unnecessary, or too costly. In fact, I've approved fewer regulations in the first 3 years of my Presidency than my Republican predecessor did in his. I've ordered every Federal agency to eliminate rules that don't make sense. We've already announced over 500 reforms, and just a fraction of them will save business and citizens more than \$10 billion over the next 5 years. We got rid of one rule from 40 years ago that could have forced some dairy farmers to spend \$10,000 a year proving that they could contain a spill, because milk was somehow classified as an oil. With a rule like that, I guess it was worth crying over spilled milk. [Laughter]

Now, I'm confident a farmer can contain a milk spill without a Federal agency looking over his shoulder. Absolutely. But I will not back down from making sure an oil company can contain the kind of oil spill we saw in the Gulf 2 years ago. I will not back down from protecting our kids from mercury poisoning or making sure that our food is safe and our water is clean. I will not go back to the days when health insurance companies had unchecked power to cancel your policy, deny your coverage, or charge women differently than men.

And I will not go back to the days when Wall Street was allowed to play by its own set of rules. The new rules we passed restore what should be any financial system's core purpose: getting funding to entrepreneurs with the best ideas and getting loans to responsible families who want to buy a home or start a business or send their kids to college.

So if you are a big bank or financial institution, you're no longer allowed to make risky bets with your customers' deposits. You're required to write out a "living will" that details exactly how you'll pay the bills if you fail,

because the rest of us are not bailing you out ever again. And if you're a mortgage lender or a payday lender or a credit card company, the days of signing people up for products they can't afford with confusing forms and deceptive practices, those days are over. Today, American consumers finally have a watchdog in Richard Cordray, with one job: to look out for them.

We'll also establish a financial crimes unit of highly trained investigators to crack down on large-scale fraud and protect people's investments. Some financial firms violate major antifraud laws because there's no real penalty for being a repeat offender. That's bad for consumers, and it's bad for the vast majority of bankers and financial service professionals who do the right thing. So pass legislation that makes the penalties for fraud count.

And tonight I'm asking my Attorney General to create a special unit of Federal prosecutors and leading State attorney general to expand our investigations into the abusive lending and packaging of risky mortgages that led to the housing crisis. This new unit will hold accountable those who broke the law, speed assistance to homeowners, and help turn the page on an era of recklessness that hurt so many Americans.

Now, a return to the American values of fair play and shared responsibility will help protect our people and our economy. But it should also guide us as we look to pay down our debt and invest in our future.

Right now our most immediate priority is stopping a tax hike on a hundred and sixty million working Americans while the recovery is still fragile. People cannot afford losing \$40 out of each paycheck this year. There are plenty of ways to get this done. So let's agree right here, right now. No side issues. No drama. Pass the payroll tax cut without delay. Let's get it done.

When it comes to the deficit, we've already agreed to more than \$2 trillion in cuts and savings. But we need to do more, and that means making choices. Right now we're poised to spend nearly \$1 trillion more on what was supposed to be a temporary tax break for the wealthiest 2 percent of Americans. Right now because of loopholes and shelters in the Tax Code, a quarter of all millionaires pay lower tax rates than millions of middle class

households. Right now Warren Buffett pays a lower tax rate than his secretary.

Do we want to keep these tax cuts for the wealthiest Americans? Or do we want to keep our investments in everything else, like education and medical research, a strong military and care for our veterans? Because if we're serious about paying down our debt, we can't do both.

The American people know what the right choice is. So do I. As I told the Speaker this summer, I'm prepared to make more reforms that rein in the long-term costs of Medicare and Medicaid and strengthen Social Security, so long as those programs remain a guarantee of security for seniors. But in return, we need to change our Tax Code so that people like me, and an awful lot of Members of Congress, pay our fair share of taxes.

Tax reform should follow the Buffett rule. If you make more than a million dollars a year, you should not pay less than 30 percent in taxes. And my Republican friend Tom Coburn is right: Washington should stop subsidizing millionaires. In fact, if you're earning a million dollars a year, you shouldn't get special tax subsidies or deductions. On the other hand, if you make under \$250,000 a year, like 98 percent of American families, your taxes shouldn't go up. You're the ones struggling with rising costs and stagnant wages. You're the ones who need relief.

Now, you can call this class warfare all you want. But asking a billionaire to pay at least as much as his secretary in taxes? Most Americans would call that common sense.

We don't begrudge financial success in this country. We admire it. When Americans talk about folks like me paying my fair share of taxes, it's not because they envy the rich. It's because they understand that when I get a tax break I don't need and the country can't afford, it either adds to the deficit or somebody else has to make up the difference, like a senior on a fixed income or a student trying to get through school or a family trying to make ends meet. That's not right. Americans know that's not right. They know that this generation's success is only possible because past generations felt a responsibility to each other and to the future of their country, and they know our way of life will only endure if we feel that same

sense of shared responsibility. That's how we'll reduce our deficit. That's an America built to last.

Now, I recognize that people watching tonight have differing views about taxes and debt, energy and health care. But no matter what party they belong to, I bet most Americans are thinking the same thing right about now: Nothing will get done in Washington this year or next year or maybe even the year after that, because Washington is broken.

Can you blame them for feeling a little cynical?

The greatest blow to our confidence in our economy last year didn't come from events beyond our control. It came from a debate in Washington over whether the United States would pay its bills or not. Who benefited from that fiasco?

I've talked tonight about the deficit of trust between Main Street and Wall Street. But the divide between this city and the rest of the country is at least as bad, and it seems to get worse every year.

Now, some of this has to do with the corrosive influence of money in politics. So together, let's take some steps to fix that. Send me a bill that bans insider trading by Members of Congress. I will sign it tomorrow. Let's limit any elected official from owning stocks in industries they impact. Let's make sure people who bundle campaign contributions for Congress can't lobby Congress and vice versa, an idea that has bipartisan support, at least outside of Washington.

Some of what's broken has to do with the way Congress does its business these days. A simple majority is no longer enough to get anything--even routine business--passed through the Senate. Neither party has been blameless in these tactics. Now both parties should put an end to it. For starters, I ask the Senate to pass a simple rule that all judicial and public service nominations receive a simple up-or-down vote within 90 days.

The executive branch also needs to change. Too often, it's inefficient, outdated, and remote. That's why I've asked this Congress to grant me the

authority to consolidate the Federal bureaucracy so that our Government is leaner, quicker, and more responsive to the needs of the American people.

Finally, none of this can happen unless we also lower the temperature in this town. We need to end the notion that the two parties must be locked in a perpetual campaign of mutual destruction, that politics is about clinging to rigid ideologies instead of building consensus around commonsense ideas.

I'm a Democrat, but I believe what Republican Abraham Lincoln believed: That Government should do for people only what they cannot do better by themselves and no more. That's why my education reform offers more competition and more control for schools and States. That's why we're getting rid of regulations that don't work. That's why our health care law relies on a reformed private market, not a Government program.

On the other hand, even my Republican friends who complain the most about Government spending have supported federally financed roads and clean energy projects and Federal offices for the folks back home.

The point is, we should all want a smarter, more effective Government. And while we may not be able to bridge our biggest philosophical differences this year, we can make real progress. With or without this Congress, I will keep taking actions that help the economy grow. But I can do a whole lot more with your help. Because when we act together, there's nothing the United States of America can't achieve.

That's the lesson we've learned from our actions abroad over the last few years. Ending the Iraq war has allowed us to strike decisive blows against our enemies. From Pakistan to Yemen, the Al Qaida operatives who remain are scrambling, knowing that they can't escape the reach of the United States of America.

From this position of strength, we've begun to wind down the war in Afghanistan. Ten thousand of our troops have come home. Twenty-three thousand more will leave by the end of this summer. This transition to Afghan lead will continue, and we will build an enduring partnership with Afghanistan so that it is never again a source of attacks against America.

As the tide of war recedes, a wave of change has washed across the Middle East and North Africa, from Tunis to Cairo, from Sana'a to Tripoli. A year ago, Qadhafi was one of the world's longest serving dictators, a murderer with American blood on his hands. Today, he is gone. And in Syria, I have no doubt that the Asad regime will soon discover that the forces of change cannot be reversed and that human dignity cannot be denied.

How this incredible transformation will end remains uncertain. But we have a huge stake in the outcome. And while it's ultimately up to the people of the region to decide their fate, we will advocate for those values that have served our own country so well. We will stand against violence and intimidation. We will stand for the rights and dignity of all human beings: men and women; Christians, Muslims, and Jews. We will support policies that lead to strong and stable democracies and open markets, because tyranny is no match for liberty.

And we will safeguard America's own security against those who threaten our citizens, our friends, and our interests. Look at Iran. Through the power of our diplomacy, a world that was once divided about how to deal with Iran's nuclear program now stands as one. The regime is more isolated than ever before. Its leaders are faced with crippling sanctions, and as long as they shirk their responsibilities, this pressure will not relent.

Let there be no doubt: America is determined to prevent Iran from getting a nuclear weapon, and I will take no options off the table to achieve that goal. But a peaceful resolution of this issue is still possible, and far better. And if Iran changes course and meets its obligations, it can rejoin the community of nations.

The renewal of American leadership can be felt across the globe. Our oldest alliances in Europe and Asia are stronger than ever. Our ties to the Americas are deeper. Our ironclad commitment--and I mean ironclad--to Israel's security has meant the closest military cooperation between our two countries in history.

We've made it clear that America is a Pacific power, and a new beginning in Burma has lit a new hope. From the coalitions we've built to

secure nuclear materials, to the missions we've led against hunger and disease, from the blows we've dealt to our enemies, to the enduring power of our moral example, America is back.

Anyone who tells you otherwise, anyone who tells you that America is in decline or that our influence has waned, doesn't know what they're talking about. That's not the message we get from leaders around the world who are eager to work with us. That's not how people feel from Tokyo to Berlin, from Cape Town to Rio, where opinions of America are higher than they've been in years. Yes, the world is changing. No, we can't control every event. But America remains the one indispensable nation in world affairs, and as long as I'm President, I intend to keep it that way.

That's why, working with our military leaders, I've proposed a new defense strategy that ensures we maintain the finest military in the world, while saving nearly half a trillion dollars in our budget. To stay one step ahead of our adversaries, I've already sent this Congress legislation that will secure our country from the growing dangers of cyber threats.

Above all, our freedom endures because of the men and women in uniform who defend it. As they come home, we must serve them as well as they've served us. That includes giving them the care and the benefits they have earned, which is why we've increased annual VA spending every year I've been President. And it means enlisting our veterans in the work of rebuilding our Nation.

With the bipartisan support of this Congress, we're providing new tax credits to companies that hire vets. Michelle and Jill Biden have worked with American businesses to secure a pledge of 135,000 jobs for veterans and their families. And tonight I'm proposing a veterans jobs corps that will help our communities hire veterans as cops and firefighters, so that America is as strong as those who defend her.

Which brings me back to where I began. Those of us who've been sent here to serve can learn a thing or two from the service of our troops. When you put on that uniform, it doesn't matter if you're Black or White, Asian, Latino, Native American; conservative, liberal; rich, poor; gay, straight. When you're marching into battle, you look out for the person next to you

or the mission fails. When you're in the thick of the fight, you rise or fall as one unit, serving one nation, leaving no one behind.

You know, one of my proudest possessions is the flag that the SEAL team took with them on the mission to get bin Laden. On it are each of their names. Some may be Democrats, some may be Republicans, but that doesn't matter. Just like it didn't matter that day in the Situation Room, when I sat next to Bob Gates, a man who was George Bush's Defense Secretary, and Hillary Clinton, a woman who ran against me for President.

All that mattered that day was the mission. No one thought about politics. No one thought about themselves. One of the young men involved in the raid later told me that he didn't deserve credit for the mission. It only succeeded, he said, because every single member of that unit did their job: the pilot who landed the helicopter that spun out of control, the translator who kept others from entering the compound, the troops who separated the women and children from the fight, the SEALs who charged up the stairs. More than that, the mission only succeeded because every member of that unit trusted each other, because you can't charge up those stairs into darkness and danger unless you know that there's somebody behind you, watching your back.

So it is with America. Each time I look at that flag, I'm reminded that our destiny is stitched together like those 50 stars and those 13 stripes. No one built this country on their own. This Nation is great because we built it together. This Nation is great because we worked as a team. This Nation is great because we get each other's backs. And if we hold fast to that truth, in this moment of trial, there is no challenge too great, no mission too hard. As long as we are joined in common purpose, as long as we maintain our common resolve, our journey moves forward, and our future is hopeful, and the state of our Union will always be strong.

Thank you, God bless you, and God bless the United States of America.

Address Before a Joint Session of Congress on the State of the Union
Barack Obama
February 12, 2013

Please, everybody, have a seat. Mr. Speaker, Mr. Vice President, Members of Congress, fellow Americans: Fifty-one years ago, John F. Kennedy declared to this Chamber that "the Constitution makes us not rivals for power, but partners for progress." "It is my task," he said, "to report the state of the Union; to improve it is the task of us all."

Tonight, thanks to the grit and determination of the American people, there is much progress to report. After a decade of grinding war, our brave men and women in uniform are coming home. After years of grueling recession, our businesses have created over 6 million new jobs. We buy more American cars than we have in 5 years and less foreign oil than we have in 20. Our housing market is healing, our stock market is rebounding, and consumers, patients, and homeowners enjoy stronger protections than ever before.

So together, we have cleared away the rubble of crisis, and we can say with renewed confidence that the state of our Union is stronger.

But we gather here knowing that there are millions of Americans whose hard work and dedication have not yet been rewarded. Our economy is adding jobs, but too many people still can't find full-time employment. Corporate profits have skyrocketed to alltime highs, but for more than a decade, wages and incomes have barely budged.

It is our generation's task, then, to reignite the true engine of America's economic growth: a rising, thriving middle class.

It is our unfinished task to restore the basic bargain that built this country: the idea that if you work hard and meet your responsibilities, you

can get ahead, no matter where you come from, no matter what you look like or who you love.

It is our unfinished task to make sure that this Government works on behalf of the many, and not just the few; that it encourages free enterprise, rewards individual initiative, and opens the doors of opportunity to every child across this great Nation.

The American people don't expect government to solve every problem. They don't expect those of us in this Chamber to agree on every issue. But they do expect us to put the Nation's interests before party. They do expect us to forge reasonable compromise where we can. For they know that America moves forward only when we do so together and that the responsibility of improving this Union remains the task of us all.

Now, our work must begin by making some basic decisions about our budget, decisions that will have a huge impact on the strength of our recovery.

Over the last few years, both parties have worked together to reduce the deficit by more than \$2.5 trillion, mostly through spending cuts, but also by raising tax rates on the wealthiest 1 percent of Americans. As a result, we are more than halfway towards the goal of \$4 trillion in deficit reduction that economists say we need to stabilize our finances.

Now we need to finish the job. And the question is, how?

In 2011, Congress passed a law saying that if both parties couldn't agree on a plan to reach our deficit goal, about a trillion dollars' worth of budget cuts would automatically go into effect this year. These sudden, harsh, arbitrary cuts would jeopardize our military readiness. They'd devastate priorities like education and energy and medical research. They would certainly slow our recovery and cost us hundreds of thousands of jobs. And that's why Democrats, Republicans, business leaders, and economists have already said that these cuts-- known here in Washington as the sequester-- are a really bad idea.

Now, some in Congress have proposed preventing only the defense cuts by making even bigger cuts to things like education and job training, Medicare, and Social Security benefits. That idea is even worse.

Yes, the biggest driver of our long-term debt is the rising cost of health care for an aging population. And those of us who care deeply about programs like Medicare must embrace the need for modest reforms; otherwise, our retirement programs will crowd out the investments we need for our children and jeopardize the promise of a secure retirement for future generations.

But we can't ask senior citizens and working families to shoulder the entire burden of deficit reduction while asking nothing more from the wealthiest and the most powerful. We won't grow the middle class simply by shifting the cost of health care or college onto families that are already struggling or by forcing communities to lay off more teachers and more cops and more firefighters. Most Americans--Democrats, Republicans, and Independents--understand that we can't just cut our way to prosperity. They know that broad-based economic growth requires a balanced approach to deficit reduction, with spending cuts and revenue and with everybody doing their fair share. And that's the approach I offer tonight.

On Medicare, I'm prepared to enact reforms that will achieve the same amount of health care savings by the beginning of the next decade as the reforms proposed by the bipartisan Simpson-Bowles Commission.

Already, the Affordable Care Act is helping to slow the growth of health care costs. And the reforms I'm proposing go even further. We'll reduce taxpayer subsidies to prescription drug companies and ask more from the wealthiest seniors. We'll bring down costs by changing the way our Government pays for Medicare, because our medical bills shouldn't be based on the number of tests ordered or days spent in the hospital; they should be based on the quality of care that our seniors receive. And I am open to additional reforms from both parties, so long as they don't violate the guarantee of a secure retirement. Our Government shouldn't make promises we cannot keep, but we must keep the promises we've already made.

To hit the rest of our deficit reduction target, we should do what leaders in both parties have already suggested and save hundreds of billions of dollars by getting rid of tax loopholes and deductions for the well-off and the well-connected. After all, why would we choose to make deeper cuts to education and Medicare just to protect special interest tax breaks? How is that fair? Why is it that deficit reduction is a big emergency justifying making cuts in Social Security benefits, but not closing some loopholes? How does that promote growth?

Now is our best chance for bipartisan, comprehensive tax reform that encourages job creation and helps bring down the deficit. We can get this done. The American people deserve a Tax Code that helps small businesses spend less time filling out complicated forms and more time expanding and hiring; a Tax Code that ensures billionaires with high-powered accountants can't work the system and pay a lower rate than their hard-working secretaries; a Tax Code that lowers incentives to move jobs overseas and lowers tax rates for businesses and manufacturers that are creating jobs right here in the United States of America. That's what tax reform can deliver. That's what we can do together.

I realize that tax reform and entitlement reform will not be easy. The politics will be hard for both sides. None of us will get a hundred percent of what we want. But the alternative will cost us jobs, hurt our economy, visit hardship on millions of hard-working Americans. So let's set party interests aside and work to pass a budget that replaces reckless cuts with smart savings and wise investments in our future. And let's do it without the brinksmanship that stresses consumers and scares off investors. The greatest nation on Earth cannot keep conducting its business by drifting from one manufactured crisis to the next. We can't do it.

Let's agree right here, right now to keep the people's Government open and pay our bills on time and always uphold the full faith and credit of the United States of America. The American people have worked too hard, for too long, rebuilding from one crisis to see their elected officials cause another.

Now, most of us agree that a plan to reduce the deficit must be part of our agenda. But let's be clear: Deficit reduction alone is not an economic

plan. A growing economy that creates good, middle class jobs, that must be the north star that guides our efforts. Every day, we should ask ourselves three questions as a nation: How do we attract more jobs to our shores? How do we equip our people with the skills they need to get those jobs? And how do we make sure that hard work leads to a decent living?

Now, a year and a half ago, I put forward an American Jobs Act that independent economists said would create more than 1 million new jobs. And I thank the last Congress for passing some of that agenda. I urge this Congress to pass the rest. But tonight I'll lay out additional proposals that are fully paid for and fully consistent with the budget framework both parties agreed to just 18 months ago. Let me repeat: Nothing I'm proposing tonight should increase our deficit by a single dime. It is not a bigger Government we need, but a smarter Government that sets priorities and invests in broad-based growth. That's what we should be looking for.

Our first priority is making America a magnet for new jobs and manufacturing. After shedding jobs for more than 10 years, our manufacturers have added about 500,000 jobs over the past 3. Caterpillar is bringing jobs back from Japan. Ford is bringing jobs back from Mexico. And this year, Apple will start making Macs in America again.

There are things we can do right now to accelerate this trend. Last year, we created our first manufacturing innovation institute in Youngstown, Ohio. A once-shuttered warehouse is now a state-of-the-art lab where new workers are mastering the 3-D printing that has the potential to revolutionize the way we make almost everything. There's no reason this can't happen in other towns.

So tonight I'm announcing the launch of three more of these manufacturing hubs, where businesses will partner with the Department of Defense and Energy to turn regions left behind by globalization into global centers of high-tech jobs. And I ask this Congress to help create a network of 15 of these hubs and guarantee that the next revolution in manufacturing is made right here in America. We can get that done.

Now, if we want to make the best products, we also have to invest in the best ideas. Every dollar we invested to map the human genome returned

\$140 to our economy--every dollar. Today, our scientists are mapping the human brain to unlock the answers to Alzheimer's. They're developing drugs to regenerate damaged organs, devising new materials to make batteries 10 times more powerful. Now is not the time to gut these job-creating investments in science and innovation, now is the time to reach a level of research and development not seen since the height of the space race. We need to make those investments.

Today, no area holds more promise than our investments in American energy. After years of talking about it, we're finally poised to control our own energy future. We produce more oil at home than we have in 15 years. We have doubled the distance our cars will go on a gallon of gas and the amount of renewable energy we generate from sources like wind and solar, with tens of thousands of good American jobs to show for it. We produce more natural gas than ever before, and nearly everyone's energy bill is lower because of it. And over the last 4 years, our emissions of the dangerous carbon pollution that threatens our planet have actually fallen.

But for the sake of our children and our future, we must do more to combat climate change. Now, it's true that no single event makes a trend. But the fact is, the 12 hottest years on record have all come in the last 15. Heat waves, droughts, wildfires, floods--all are now more frequent and more intense. We can choose to believe that Superstorm Sandy and the most severe drought in decades and the worst wildfires some States have ever seen were all just a freak coincidence. Or we can choose to believe in the overwhelming judgment of science and act before it's too late.

Now, the good news is we can make meaningful progress on this issue while driving strong economic growth. I urge this Congress to get together, pursue a bipartisan, market-based solution to climate change, like the one John McCain and Joe Lieberman worked on together a few years ago. But if Congress won't act soon to protect future generations, I will. I will direct my Cabinet to come up with executive actions we can take, now and in the future, to reduce pollution, prepare our communities for the consequences of climate change, and speed the transition to more sustainable sources of energy.

And 4 years ago, other countries dominated the clean energy market and the jobs that came with it. And we've begun to change that. Last year, wind energy added nearly half of all new power capacity in America. So let's generate even more. Solar energy gets cheaper by the year; let's drive down costs even further. As long as countries like China keep going all in on clean energy, so must we.

Now, in the meantime, the natural gas boom has led to cleaner power and greater energy independence. We need to encourage that. And that's why my administration will keep cutting redtape and speeding up new oil and gas permits. That's got to be part of an all-of-the-above plan. But I also want to work with this Congress to encourage the research and technology that helps natural gas burn even cleaner and protects our air and our water.

In fact, much of our new-found energy is drawn from lands and waters that we, the public, own together. So tonight I propose we use some of our oil and gas revenues to fund an energy security trust that will drive new research and technology to shift our cars and trucks off oil for good. If a nonpartisan coalition of CEOs and retired generals and admirals can get behind this idea, then so can we. Let's take their advice and free our families and businesses from the painful spikes in gas prices we've put up with for far too long.

I'm also issuing a new goal for America: Let's cut in half the energy wasted by our homes and businesses over the next 20 years. We'll work with the States to do it. Those States with the best ideas to create jobs and lower energy bills by constructing more efficient buildings will receive Federal support to help make that happen.

America's energy sector is just one part of an aging infrastructure badly in need of repair. Ask any CEO where they'd rather locate and hire, a country with deteriorating roads and bridges or one with high-speed rail and Internet, high-tech schools, self-healing power grids. The CEO of Siemens America--a company that brought hundreds of new jobs to North Carolina--said that if we upgrade our infrastructure, they'll bring even more jobs. And that's the attitude of a lot of companies all around the world. And I know you want these job-creating projects in your district. I've seen all those ribbon-cuttings. [Laughter]

So tonight I propose a Fix-It-First program to put people to work as soon as possible on our most urgent repairs, like the nearly 70,000 structurally deficient bridges across the country. And to make sure taxpayers don't shoulder the whole burden, I'm also proposing a partnership to rebuild America that attracts private capital to upgrade what our businesses need most: modern ports to move our goods, modern pipelines to withstand a storm, modern schools worthy of our children. Let's prove there's no better place to do business than here in the United States of America, and let's start right away. We can get this done.

And part of our rebuilding effort must also involve our housing sector. The good news is, our housing market is finally healing from the collapse of 2007. Home prices are rising at the fastest pace in 6 years. Home purchases are up nearly 50 percent, and construction is expanding again.

But even with mortgage rates near a 50-year low, too many families with solid credit who want to buy a home are being rejected. Too many families who never missed a payment and want to refinance are being told no. That's holding our entire economy back. We need to fix it.

Right now there's a bill in this Congress that would give every responsible homeowner in America the chance to save \$3,000 a year by refinancing at today's rates. Democrats and Republicans have supported it before, so what are we waiting for? Take a vote and send me that bill. Why are--why would we be against that? Why would that be a partisan issue, helping folks refinance? Right now overlapping regulations keep responsible young families from buying their first home. What's holding us back? Let's streamline the process and help our economy grow.

These initiatives in manufacturing, energy, infrastructure, housing, all these things will help entrepreneurs and small-business owners expand and create new jobs. But none of it will matter unless we also equip our citizens with the skills and training to fill those jobs.

And that has to start at the earliest possible age. Study after study shows that the sooner a child begins learning, the better he or she does down the road. But today, fewer than 3 in 10 4-year-olds are enrolled in a high-quality preschool program. Most middle class parents can't afford a few

hundred bucks a week for a private preschool. And for poor kids who need help the most, this lack of access to preschool education can shadow them for the rest of their lives. So tonight I propose working with States to make high-quality preschool available to every single child in America. That's something we should be able to do.

Every dollar we invest in high-quality early childhood education can save more than 7 dollars later on: by boosting graduation rates, reducing teen pregnancy, even reducing violent crime. In States that make it a priority to educate our youngest children, like Georgia or Oklahoma, studies show students grow up more likely to read and do math at grade level, graduate high school, hold a job, form more stable families of their own. We know this works. So let's do what works and make sure none of our children start the race of life already behind. Let's give our kids that chance.

Let's also make sure that a high school diploma puts our kids on a path to a good job. Right now countries like Germany focus on graduating their high school students with the equivalent of a technical degree from one of our community colleges. So those German kids, they're ready for a job when they graduate high school. They've been trained for the jobs that are there. Now at schools like P-TECH in Brooklyn, a collaboration between New York Public Schools and City University of New York and IBM, students will graduate with a high school diploma and an associate's degree in computers or engineering. We need to give every American student opportunities like this.

And 4 years ago, we started Race to the Top, a competition that convinced almost every State to develop smarter curricula and higher standards, all for about 1 percent of what we spend on education each year. Tonight I'm announcing a new challenge to redesign America's high schools so they better equip graduates for the demands of a high-tech economy. And we'll reward schools that develop new partnerships with colleges and employers and create classes that focus on science, technology, engineering, and math: the skills today's employers are looking for to fill the jobs that are there right now and will be there in the future.

Now, even with better high schools, most young people will need some higher education. It's a simple fact: The more education you've got, the

more likely you are to have a good job and work your way into the middle class. But today, skyrocketing costs price too many young people out of a higher education or saddle them with unsustainable debt.

Through tax credits, grants, and better loans, we've made college more affordable for millions of students and families over the last few years. But taxpayers can't keep on subsidizing higher and higher and higher costs for higher education. Colleges must do their part to keep costs down, and it's our job to make sure that they do.

So tonight I ask Congress to change the Higher Education Act so that affordability and value are included in determining which colleges receive certain types of Federal aid. And tomorrow my administration will release a new college scorecard that parents and students can use to compare schools based on a simple criterion: where you can get the most bang for your educational buck.

Now, to grow our middle class, our citizens have to have access to the education and training that today's jobs require. But we also have to make sure that America remains a place where everyone who's willing to work--everybody who's willing to work hard--has the chance to get ahead.

Our economy is stronger when we harness the talents and ingenuity of striving, hopeful immigrants. And right now leaders from the business, labor, law enforcement, faith communities, they all agree that the time has come to pass comprehensive immigration reform. Now is the time to do it. Now is the time to get it done. [Applause] Now is the time to get it done.

Real reform means stronger border security, and we can build on the progress my administration has already made: putting more boots on the southern border than at any time in our history and reducing illegal crossings to their lowest levels in 40 years.

Real reform means establishing a responsible pathway to earned citizenship, a path that includes passing a background check, paying taxes and a meaningful penalty, learning English, and going to the back of the line behind the folks trying to come here legally.

And real reform means fixing the legal immigration system to cut waiting periods and attract the highly skilled entrepreneurs and engineers that will help create jobs and grow our economy.

In other words, we know what needs to be done. And as we speak, bipartisan groups in both Chambers are working diligently to draft a bill, and I applaud their efforts. So let's get this done. Send me a comprehensive immigration reform bill in the next few months, and I will sign it right away. And America will be better for it. Let's get it done. [Applause] Let's get it done.

But we can't stop there. We know our economy is stronger when our wives, our mothers, our daughters can live their lives free from discrimination in the workplace and free from the fear of domestic violence. Today the Senate passed the "Violence Against Women's Act" that Joe Biden originally wrote almost 20 years ago. And I now urge the House to do the same. Good job, Joe. And I ask this Congress to declare that women should earn a living equal to their efforts, and finally pass the "Paycheck Fairness Act" this year.

We know our economy is stronger when we reward an honest day's work with honest wages. But today, a full-time worker making the minimum wage earns \$14,500 a year. Even with the tax relief we put in place, a family with two kids that earns the minimum wage still lives below the poverty line. That's wrong. That's why, since the last time this Congress raised the minimum wage, 19 States have chosen to bump theirs even higher.

Tonight let's declare that in the wealthiest nation on Earth, no one who works full-time should have to live in poverty and raise the Federal minimum wage to \$9 an hour. We should be able to get that done.

This single step would raise the incomes of millions of working families. It could mean the difference between groceries or the food bank, rent or eviction, scraping by or finally getting ahead. For businesses across the country, it would mean customers with more money in their pockets. And a whole lot of folks out there would probably need less help from government. In fact, working folks shouldn't have to wait year after year for

the minimum wage to go up while CEO pay has never been higher. So here's an idea that Governor Romney and I actually agreed on last year: Let's tie the minimum wage to the cost of living so that it finally becomes a wage you can live on.

Tonight let's also recognize that there are communities in this country where no matter how hard you work, it is virtually impossible to get ahead: factory towns decimated from years of plants packing up; inescapable pockets of poverty, urban and rural, where young adults are still fighting for their first job. America is not a place where the chance of birth or circumstance should decide our destiny. And that's why we need to build new ladders of opportunity into the middle class for all who are willing to climb them.

Let's offer incentives to companies that hire Americans who've got what it takes to fill that job opening, but have been out of work so long that no one will give them a chance anymore. Let's put people back to work rebuilding vacant homes in rundown neighborhoods. And this year, my administration will begin to partner with 20 of the hardest hit towns in America to get these communities back on their feet. Now, we'll work with local leaders to target resources at public safety and education and housing.

We'll give new tax credits to businesses that hire and invest. And we'll work to strengthen families by removing the financial deterrents to marriage for low-income couples and do more to encourage fatherhood, because what makes you a man isn't the ability to conceive a child, it's having the courage to raise one. And we want to encourage that. We want to help that.

Stronger families. Stronger communities. A stronger America. It is this kind of prosperity--broad, shared, built on a thriving middle class--that has always been the source of our progress at home. It's also the foundation of our power and influence throughout the world.

Tonight we stand united in saluting the troops and civilians who sacrifice every day to protect us. Because of them, we can say with confidence that America will complete its mission in Afghanistan and achieve our objective of defeating the core of Al Qaida.

Already, we have brought home 33,000 of our brave service men and women. This spring, our forces will move into a support role, while Afghan security forces take the lead. Tonight I can announce that over the next year, another 34,000 American troops will come home from Afghanistan. This drawdown will continue, and by the end of next year, our war in Afghanistan will be over.

Beyond 2014, America's commitment to a unified and sovereign Afghanistan will endure, but the nature of our commitment will change. We're negotiating an agreement with the Afghan Government that focuses on two missions: training and equipping Afghan forces so that the country does not again slip into chaos and counterterrorism efforts that allow us to pursue the remnants of Al Qaida and their affiliates.

Today, the organization that attacked us on 9/11 is a shadow of its former self. It's true, different Al Qaida affiliates and extremist groups have emerged, from the Arabian Peninsula to Africa. The threat these groups pose is evolving. But to meet this threat, we don't need to send tens of thousands of our sons and daughters abroad or occupy other nations. Instead, we'll need to help countries like Yemen and Libya and Somalia provide for their own security and help allies who take the fight to terrorists, as we have in Mali. And where necessary, through a range of capabilities, we will continue to take direct action against those terrorists who pose the gravest threat to Americans.

Now, as we do, we must enlist our values in the fight. That's why my administration has worked tirelessly to forge a durable legal and policy framework to guide our counterterrorism efforts. Throughout, we have kept Congress fully informed of our efforts. I recognize that in our democracy, no one should just take my word for it that we're doing things the right way. So, in the months ahead, I will continue to engage Congress to ensure not only that our targeting, detention, and prosecution of terrorists remains consistent with our laws and system of checks and balances, but that our efforts are even more transparent to the American people and to the world.

Of course, our challenges don't end with Al Qaida. America will continue to lead the effort to prevent the spread of the world's most dangerous weapons. The regime in North Korea must know they will only

achieve security and prosperity by meeting their international obligations. Provocations of the sort we saw last night will only further isolate them, as we stand by our allies, strengthen our own missile defense, and lead the world in taking firm action in response to these threats.

Likewise, the leaders of Iran must recognize that now is the time for a diplomatic solution, because a coalition stands united in demanding that they meet their obligations, and we will do what is necessary to prevent them from getting a nuclear weapon.

At the same time, we'll engage Russia to seek further reductions in our nuclear arsenals and continue leading the global effort to secure nuclear materials that could fall into the wrong hands, because our ability to influence others depends on our willingness to lead and meet our obligations.

America must also face the rapidly growing threat from cyber attacks. Now, we know hackers steal people's identities and infiltrate private e-mails. We know foreign countries and companies swipe our corporate secrets. Now our enemies are also seeking the ability to sabotage our power grid, our financial institutions, our air traffic control systems. We cannot look back years from now and wonder why we did nothing in the face of real threats to our security and our economy.

And that's why, earlier today, I signed a new Executive order that will strengthen our cyber defenses by increasing information sharing and developing standards to protect our national security, our jobs, and our privacy.

But now Congress must act as well, by passing legislation to give our Government a greater capacity to secure our networks and deter attacks. This is something we should be able to get done on a bipartisan basis.

Now, even as we protect our people, we should remember that today's world presents not just dangers, not just threats, it presents opportunities. To boost American exports, support American jobs and level the playing field in the growing markets of Asia, we intend to complete negotiations on a Trans-Pacific Partnership. And tonight I'm announcing that we will launch

talks on a comprehensive transatlantic trade and investment partnership with the European Union, because trade that is fair and free across the Atlantic supports millions of good-paying American jobs.

We also know that progress in the most impoverished parts of our world enriches us all, not only because it creates new markets, more stable order in certain regions of the world, but also because it's the right thing to do. In many places, people live on little more than a dollar a day. So the United States will join with our allies to eradicate such extreme poverty in the next two decades by connecting more people to the global economy, by empowering women, by giving our young and brightest minds new opportunities to serve and helping communities to feed and power and educate themselves, by saving the world's children from preventable deaths, and by realizing the promise of an AIDS-free generation, which is within our reach.

You see, America must remain a beacon to all who seek freedom during this period of historic change. I saw the power of hope last year in Rangoon, in Burma, when Aung San Suu Kyi welcomed an American President into the home where she had been imprisoned for years; when thousands of Burmese lined the streets, waving American flags, including a man who said: "There is justice and law in the United States. I want our country to be like that."

In defense of freedom, we'll remain the anchor of strong alliances from the Americas to Africa, from Europe to Asia. In the Middle East, we will stand with citizens as they demand their universal rights and support stable transitions to democracy.

We know the process will be messy, and we cannot presume to dictate the course of change in countries like Egypt, but we can and will insist on respect for the fundamental rights of all people. We'll keep the pressure on a Syrian regime that has murdered its own people and support opposition leaders that respect the rights of every Syrian. And we will stand steadfast with Israel in pursuit of security and a lasting peace.

These are the messages I'll deliver when I travel to the Middle East next month. And all this work depends on the courage and sacrifice of those who

serve in dangerous places at great personal risk: our diplomats, our intelligence officers, and the men and women of the United States Armed Forces. As long as I'm Commander in Chief, we will do whatever we must to protect those who serve their country abroad, and we will maintain the best military the world has ever known.

We'll invest in new capabilities, even as we reduce waste and wartime spending. We will ensure equal treatment for all servicemembers and equal benefits for their families, gay and straight. We will draw upon the courage and skills of our sisters and daughters and moms, because women have proven under fire that they are ready for combat.

We will keep faith with our veterans, investing in world-class care--including mental health care--for our wounded warriors, supporting our military families, giving our veterans the benefits and education and job opportunities that they have earned. And I want to thank my wife Michelle and Dr. Jill Biden for their continued dedication to serving our military families as well as they have served us. Thank you, honey. Thank you, Jill.

Defending our freedom, though, is not just the job of our military alone. We must all do our part to make sure our God-given rights are protected here at home. That includes one of the most fundamental rights of a democracy: the right to vote. Now, when any American, no matter where they live or what their party, are denied that right because they can't afford to wait for 5 or 6 or 7 hours just to cast their ballot, we are betraying our ideals.

So tonight I'm announcing a nonpartisan commission to improve the voting experience in America. And it definitely needs improvement. I'm asking two long-time experts in the field--who, by the way, recently served as the top attorneys for my campaign and for Governor Romney's campaign--to lead it. We can fix this, and we will. The American people demand it, and so does our democracy.

Of course, what I've said tonight matters little if we don't come together to protect our most precious resource: our children. It has been 2 months since Newtown. I know this is not the first time this country has debated how to reduce gun violence. But this time is different. Overwhelming

majorities of Americans--Americans who believe in the Second Amendment--have come together around commonsense reform, like background checks that will make it harder for criminals to get their hands on a gun. Senators of both parties are working together on tough new laws to prevent anyone from buying guns for resale to criminals. Police chiefs are asking our help to get weapons of war and massive ammunition magazines off our streets, because these police chiefs, they're tired of seeing their guys and gals being outgunned.

Each of these proposals deserves a vote in Congress. Now, if you want to vote no, that's your choice. But these proposals deserve a vote. Because in the 2 months since Newtown, more than a thousand birthdays, graduations, anniversaries have been stolen from our lives by a bullet from a gun--more than a thousand.

One of those we lost was a young girl named Hadiya Pendleton. She was 15 years old. She loved Fig Newtons and lip gloss. She was a majorette. She was so good to her friends, they all thought they were her best friend. Just 3 weeks ago, she was here, in Washington, with her classmates, performing for her country at my Inauguration. And a week later, she was shot and killed in a Chicago park after school, just a mile away from my house.

Hadiya's parents, Nate and Cleo, are in this Chamber tonight, along with more than two dozen Americans whose lives have been torn apart by gun violence. They deserve a vote. They deserve a vote. [Applause] They deserve a vote. Gabby Giffords deserves a vote. The families of Newtown deserve a vote. The families of Aurora deserve a vote. The families of Oak Creek and Tucson and Blacksburg, and the countless other communities ripped open by gun violence, they deserve a simple vote. They deserve a simple vote.

Our actions will not prevent every senseless act of violence in this country. In fact, no laws, no initiatives, no administrative acts will perfectly solve all the challenges I've outlined tonight. But we were never sent here to be perfect. We were sent here to make what difference we can, to secure this Nation, expand opportunity, uphold our ideals through the hard, often frustrating, but absolutely necessary work of self-government.

We were sent here to look out for our fellow Americans the same way they look out for one another, every single day, usually without fanfare, all across this country. We should follow their example.

We should follow the example of a New York City nurse named Menchu Sanchez. When Hurricane Sandy plunged her hospital into darkness, she wasn't thinking about how her own home was faring. Her mind was on the 20 precious newborns in her care and the rescue plan she devised that kept them all safe.

We should follow the example of a North Miami woman named Desiline Victor. When Desiline arrived at her polling place, she was told the wait to vote might be 6 hours. And as time ticked by, her concern was not with her tired body or aching feet, but whether folks like her would get to have their say. And hour after hour, a throng of people stayed in line to support her, because Desiline is 102 years old. And they erupted in cheers when she finally put on a sticker that read, "I voted." [Applause] There's Desiline.

We should follow the example of a police officer named Brian Murphy. When a gunman opened fire on a Sikh temple in Wisconsin and Brian was the first to arrive--and he did not consider his own safety. He fought back until help arrived and ordered his fellow officers to protect the safety of the Americans worshiping inside, even as he lay bleeding from 12 bullet wounds. And when asked how he did that, Brian said, "That's just the way we're made."

That's just the way we're made. We may do different jobs and wear different uniforms and hold different views than the person beside us. But as Americans, we all share the same proud title: We are citizens. It's a word that doesn't just describe our nationality or legal status. It describes the way we're made. It describes what we believe. It captures the enduring idea that this country only works when we accept certain obligations to one another and to future generations; that our rights are wrapped up in the rights of others; and that well into our third century as a nation, it remains the task of us all, as citizens of these United States, to be the authors of the next great chapter of our American story.

Thank you. God bless you, and God bless these United States of America.

Address Before a Joint Session of the Congress on the State of the Union
Barack Obama
January 28, 2014

The President. Mr. Speaker, Mr. Vice President, Members of Congress, my fellow Americans: Today in America, a teacher spent extra time with a student who needed it and did her part to lift America's graduation rate to its highest levels in more than three decades. An entrepreneur flipped on the lights in her tech startup and did her part to add to the more than 8 million new jobs our businesses have created over the past 4 years. An autoworker fine-tuned some of the best, most fuel- efficient cars in the world and did his part to help America wean itself off foreign oil.

A farmer prepared for the spring after the strongest 5-year stretch of farm exports in our history. A rural doctor gave a young child the first prescription to treat asthma that his mother could afford. A man took the bus home from the graveyard shift, bone-tired, but dreaming big dreams for his son. And in tight-knit communities all across America, fathers and mothers will tuck in their kids, put an arm around their spouse, remember fallen comrades, and give thanks for being home from a war that after 12 long years is finally coming to an end.

Tonight this Chamber speaks with one voice to the people we represent: It is you, our citizens, who make the state of our Union strong.

And here are the results of your efforts: the lowest unemployment rate in over 5 years; a rebounding housing market; a manufacturing sector that's

adding jobs for the first time since the 1990s; more oil produced at home than we buy from the rest of the world, the first time that's happened in nearly 20 years; our deficits cut by more than half. And for the first time in over a decade, business leaders around the world have declared that China is no longer the world's number-one place to invest, America is.

That's why I believe this can be a breakthrough year for America. After 5 years of grit and determined effort, the United States is better positioned for the 21st century than any other nation on Earth.

The question for everyone in this Chamber, running through every decision we make this year, is whether we are going to help or hinder this progress. For several years now, this town has been consumed by a rancorous argument over the proper size of the Federal Government. It's an important debate, one that dates back to our very founding. But when that debate prevents us from carrying out even the most basic functions of our democracy--when our differences shut down Government or threaten the full faith and credit of the United States--then we are not doing right by the American people.

Now, as President, I'm committed to making Washington work better and rebuilding the trust of the people who sent us here. And I believe most of you are too. Last month, thanks to the work of Democrats and Republicans, Congress finally produced a budget that undoes some of last year's severe cuts to priorities like education. Nobody got everything they wanted, and we can still do more to invest in this country's future while bringing down our deficit in a balanced way, but the budget compromise should leave us freer to focus on creating new jobs, not creating new crises.

And in the coming months, let's see where else we can make progress together. Let's make this a year of action. That's what most Americans want: for all of us in this Chamber to focus on their lives, their hopes, their aspirations. And what I believe unites the people of this Nation--regardless of race or region or party, young or old, rich or poor--is the simple, profound belief in opportunity for all: the notion that if you work hard and take responsibility, you can get ahead in America.

Now, let's face it, that belief has suffered some serious blows. Over more than three decades, even before the great recession hit, massive shifts in technology and global competition had eliminated a lot of good, middle class jobs and weakened the economic foundations that families depend on.

Today, after 4 years of economic growth, corporate profits and stock prices have rarely been higher, and those at the top have never done better. But average wages have barely budged. Inequality has deepened. Upward mobility has stalled. The cold, hard fact is that even in the midst of recovery, too many Americans are working more than ever just to get by, let alone to get ahead. And too many still aren't working at all.

So our job is to reverse these trends. It won't happen right away, and we won't agree on everything. But what I offer tonight is a set of concrete, practical proposals to speed up growth, strengthen the middle class, and build new ladders of opportunity into the middle class. Some require congressional action, and I am eager to work with all of you. But America does not stand still, and neither will I. So wherever and whenever I can take steps without legislation to expand opportunity for more American families, that's what I'm going to do.

As usual, our First Lady sets a good example. [Applause] Well-- [applause]. Michelle's "Let's Move!" partnership with schools, businesses, local leaders has helped bring down childhood obesity rates for the first time in 30 years. And that's an achievement that will improve lives and reduce health care costs for decades to come. The Joining Forces alliance that Michelle and Jill Biden launched has already encouraged employers to hire or train nearly 400,000 veterans and military spouses.

Taking a page from that playbook, the White House just organized a College Opportunity Summit, where already, 150 universities, businesses, nonprofits have made concrete commitments to reduce inequality in access to higher education and to help every hard-working kid go to college and succeed when they get to campus. And across the country, we're partnering with mayors, Governors, and State legislatures on issues from homelessness to marriage equality.

The point is, there are millions of Americans outside of Washington who are tired of stale political arguments and are moving this country forward. They believe--and I believe--that here in America, our success should depend not on accident of birth, but the strength of our work ethic and the scope of our dreams. That's what drew our forebears here. That's how the daughter of a factory worker is CEO of America's largest automaker; how the son of a barkeep is Speaker of the House; how the son of a single mom can be President of the greatest nation on Earth.

Opportunity is who we are. And the defining project of our generation must be to restore that promise. We know where to start: The best measure of opportunity is access to a good job. With the economy picking up speed, companies say they intend to hire more people this year. And over half of big manufacturers say they're thinking of insourcing jobs from abroad.

So let's make that decision easier for more companies. Both Democrats and Republicans have argued that our Tax Code is riddled with wasteful, complicated loopholes that punish businesses investing here and reward companies that keep profits abroad. Let's flip that equation. Let's work together to close those loopholes, end those incentives to ship jobs overseas, and lower tax rates for businesses that create jobs right here at home.

Moreover, we can take the money we save from this transition to tax reform to create jobs rebuilding our roads, upgrading our ports, unclogging our commutes, because in today's global economy, first-class jobs gravitate to first-class infrastructure. We'll need Congress to protect more than 3 million jobs by finishing transportation and waterways bills this summer. That can happen. But I'll act on my own to slash bureaucracy and streamline the permitting process for key projects so we can get more construction workers on the job as fast as possible.

We also have the chance, right now, to beat other countries in the race for the next wave of high-tech manufacturing jobs. My administration has launched two hubs for high-tech manufacturing in Raleigh, North Carolina, and Youngstown, Ohio, where we've connected businesses to research universities that can help America lead the world in advanced technologies. Tonight I'm announcing, we'll launch six more this year. Bipartisan bills in

both Houses could double the number of these hubs and the jobs they create. So get those bills to my desk. Put more Americans back to work.

Let's do more to help the entrepreneurs and small-business owners who create most new jobs in America. Over the past 5 years, my administration has made more loans to small-business owners than any other. And when 98 percent of our exporters are small businesses, new trade partnerships with Europe and Asia--the Asia-Pacific will help them create more jobs. We need to work together on tools like bipartisan trade promotion authority to protect our workers, protect our environment, and open new markets to new goods stamped "Made in the U.S.A."

Listen, China and Europe aren't standing on the sidelines, and neither should we. We know that the nation that goes all-in on innovation today will own the global economy tomorrow. This is an edge America cannot surrender. Federally funded research helped lead to the ideas and inventions behind Google and smartphones. And that's why Congress should undo the damage done by last year's cuts to basic research so we can unleash the next great American discovery. There are entire industries to be built based on vaccines that stay ahead of drug-resistant bacteria or paper-thin material that's stronger than steel. And let's pass a patent reform bill that allows our businesses to stay focused on innovation, not costly and needless litigation.

Now, one of the biggest factors in bringing more jobs back is our commitment to American energy. The all-of-the-above energy strategy I announced a few years ago is working, and today, America is closer to energy independence than we have been in decades.

One of the reasons why is natural gas. If extracted safely, it's the bridge fuel that can power our economy with less of the carbon pollution that causes climate change. Businesses plan to invest almost \$100 billion in new factories that use natural gas. I'll cut redtape to help States get those factories built and put folks to work, and this Congress can help by putting people to work building fueling stations that shift more cars and trucks from foreign oil to American natural gas.

Meanwhile, my administration will keep working with the industry to sustain production and jobs growth while strengthening protection of our

air, our water, our communities. And while we're at it, I'll use my authority to protect more of our pristine Federal lands for future generations.

Well, it's not just oil and natural gas production that's booming, we're becoming a global leader in solar too. Every 4 minutes, another American home or business goes solar, every panel pounded into place by a worker whose job cannot be outsourced. Let's continue that progress with a smarter tax policy that stops giving \$4 billion a year to fossil fuel industries that don't need it so we can invest more in fuels of the future that do.

And even as we've increased energy production, we've partnered with businesses, builders, and local communities to reduce the energy we consume. When we rescued our automakers, for example, we worked with them to set higher fuel efficiency standards for our cars. In the coming months, I'll build on that success by setting new standards for our trucks so we can keep driving down oil imports and what we pay at the pump.

And taken together, our energy policy is creating jobs and leading to a cleaner, safer planet. Over the past 8 years, the United States has reduced our total carbon pollution more than any other nation on Earth. But we have to act with more urgency, because a changing climate is already harming Western communities struggling with drought and coastal cities dealing with floods. That's why I directed my administration to work with States, utilities, and others to set new standards on the amount of carbon pollution our power plants are allowed to dump into the air.

The shift to a cleaner energy economy won't happen overnight, and it will require some tough choices along the way. But the debate is settled. Climate change is a fact. And when our children's children look us in the eye and ask if we did all we could to leave them a safer, more stable world, with new sources of energy, I want us to be able to say, yes, we did.

Finally, if we're serious about economic growth, it is time to heed the call of business leaders, labor leaders, faith leaders, law enforcement and fix our broken immigration system. Republicans and Democrats in the Senate have acted, and I know that members of both parties in the House want to do the same. Independent economists say immigration reform will grow our economy and shrink our deficits by almost \$1 trillion in the next

two decades. And for good reason: When people come here to fulfill their dreams--to study, invent, contribute to our culture--they make our country a more attractive place for businesses to locate and create jobs for everybody. So let's get immigration reform done this year. [Applause] Let's get it done. It's time.

The ideas I've outlined so far can speed up growth and create more jobs. But in this rapidly changing economy, we have to make sure that every American has the skills to fill those jobs. The good news is, we know how to do it.

Two years ago, as the auto industry came roaring back, Andra Rush opened up a manufacturing firm in Detroit. She knew that Ford needed parts for the best selling truck in America, and she knew how to make those parts. She just needed the workforce. So she dialed up what we call an American Job Center, places where folks can walk in to get the help or training they need to find a new job or a better job. She was flooded with new workers. And today, Detroit Manufacturing Systems has more than 700 employees. And what Andra and her employees experienced is how it should be for every employer and every job seeker.

So tonight I've asked Vice President Biden to lead an across-the-board reform of America's training programs to make sure they have one mission: train Americans with the skills employers need and match them to good jobs that need to be filled right now. That means more on-the-job training and more apprenticeships that set a young worker on an upward trajectory for life. It means connecting companies to community colleges that can help design training to fill their specific needs. And if Congress wants to help, you can concentrate funding on proven programs that connect more ready-to-work Americans with ready-to-be-filled jobs.

I'm also convinced we can help Americans return to the workforce faster by reforming unemployment insurance so that it's more effective in today's economy. But first, this Congress needs to restore the unemployment insurance you just let expire for 1.6 million people.

Let me tell you why. Misty DeMars is a mother of two young boys. She'd been steadily employed since she was a teenager, put herself through

college. She'd never collected unemployment benefits, but she'd been paying taxes. In May, she and her husband used their life savings to buy their first home. A week later, budget cuts claimed the job she loved. Last month, when their unemployment insurance was cut off, she sat down and wrote me a letter, the kind I get every day. "We are the face of the unemployment crisis," she wrote. "I'm not dependent on the government. Our country depends on people like us who build careers, contribute to society, care about our neighbors. I'm confident that in time, I will find a job, I will pay my taxes, and we will raise our children in their own home in the community we love. Please give us this chance."

Congress, give these hard-working, responsible Americans that chance. Give them that chance. [Applause] Give them the chance. They need our help right now. But more important, this country needs them in the game. That's why I've been asking CEOs to give more long-term unemployed workers a fair shot at new jobs, a new chance to support their families. And in fact, this week, many will come to the White House to make that commitment real. Tonight I ask every business leader in America to join us and to do the same, because we are stronger when America fields a full team.

Of course, it's not enough to train today's workforce. We also have to prepare tomorrow's workforce, by guaranteeing every child access to a world-class education. Estiven Rodriguez couldn't speak a word of English when he moved to New York City at age 9. But last month, thanks to the support of great teachers and an innovative tutoring program, he led a march of his classmates through a crowd of cheering parents and neighbors from their high school to the post office, where they mailed off their college applications. And this son of a factory worker just found out, he's going to college this fall.

Five years ago, we set out to change the odds for all our kids. We worked with lenders to reform student loans, and today, more young people are earning college degrees than ever before. Race to the Top, with the help of Governors from both parties, has helped States raise expectations and performance. Teachers and principals in schools from Tennessee to Washington, DC, are making big strides in preparing students with the skills

for the new economy: problem solving, critical thinking, science, technology, engineering, math.

Now, some of this change is hard. It requires everything from more challenging curriculums and more demanding parents to better support for teachers and new ways to measure how well our kids think, not how well they can fill in a bubble on a test. But it is worth it, and it is working. The problem is, we're still not reaching enough kids, and we're not reaching them in time. And that has to change.

Research shows that one of the best investments we can make in a child's life is high-quality early education. Last year, I asked this Congress to help States make high-quality pre-K available to every 4- year-old. And as a parent as well as a President, I repeat that request tonight. But in the meantime, 30 States have raised pre-K funding on their own. They know we can't wait. So just as we worked with States to reform our schools, this year, we'll invest in new partnerships with States and communities across the country in a Race to the Top for our youngest children. And as Congress decides what it's going to do, I'm going to pull together a coalition of elected officials, business leaders, and philanthropists willing to help more kids access the high- quality pre-K that they need. It is right for America. We need to get this done.

Last year, I also pledged to connect 99 percent of our students to high-speed broadband over the next 4 years. Tonight I can announce that with the support of the FCC and companies like Apple, Microsoft, Sprint, and Verizon, we've got a down payment to start connecting more than 15,000 schools and 20 million students over the next 2 years, without adding a dime to the deficit.

We're working to redesign high schools and partner them with colleges and employers that offer the real-world education and hands-on training that can lead directly to a job and career. We're shaking up our system of higher education to give parents more information and colleges more incentive to offer better value so that no middle class kid is priced out of a college education.

We're offering millions the opportunity to cap their monthly student loan payments to 10 percent of their income, and I want to work with Congress to see how we can help even more Americans who feel trapped by student loan debt. And I'm reaching out to some of America's leading foundations and corporations on a new initiative to help more young men of color facing especially tough odds to stay on track and reach their full potential.

The bottom line is, Michelle and I want every child to have the same chance this country gave us. But we know our opportunity agenda won't be complete, and too many young people entering the workforce today will see the American Dream as an empty promise, unless we also do more to make sure our economy honors the dignity of work and hard work pays off for every single American.

Today, women make up about half our workforce, but they still make 77 cents for every dollar a man earns. That is wrong, and in 2014, it's an embarrassment. Women deserve equal pay for equal work. She deserves to have a baby without sacrificing her job. A mother deserves a day off to care for a sick child or a sick parent without running into hardship. And you know what, a father does too. It is time to do away with workplace policies that belong in a "Mad Men" episode. [Laughter] This year, let's all come together--Congress, the White House, businesses from Wall Street to Main Street--to give every woman the opportunity she deserves. Because I believe when women succeed, America succeeds.

Now, women hold a majority of lower wage jobs, but they're not the only ones stifled by stagnant wages. Americans understand that some people will earn more money than others, and we don't resent those who, by virtue of their efforts, achieve incredible success. That's what America is all about. But Americans overwhelmingly agree that no one who works full-time should ever have to raise a family in poverty.

In the year since I asked this Congress to raise the minimum wage, five States have passed laws to raise theirs. Many businesses have done it on their own. Nick Chute is here today with his boss, John Soranno. John's an owner of Punch Pizza in Minneapolis, and Nick helps make the dough. [Laughter] Only now he makes more of it. [Laughter] John just gave his employees a raise to 10 bucks an hour, and that's a decision that has eased their financial stress and boosted their morale.

Tonight I ask more of America's business leaders to follow John's lead: Do what you can to raise your employees' wages. It's good for the economy. It's good for America. To every mayor, Governor, State legislator in America, I say: You don't have to wait for Congress to act; Americans will support you if you take this on.

And as a chief executive, I intend to lead by example. Profitable corporations like Costco see higher wages as the smart way to boost productivity and reduce turnover. We should too. In the coming weeks, I will issue an Executive order requiring Federal contractors to pay their federally funded employees a fair wage of at least 10 dollars and 10 cents an hour. Because if you cook our troops' meals or wash their dishes, you should not have to live in poverty.

Of course, to reach millions more, Congress does need to get on board. Today, the Federal minimum wage is worth about 20 percent less than it was when Ronald Reagan first stood here. And Tom Harkin and George Miller have a bill to fix that by lifting the minimum wage to 10 dollars and 10 cents. It's easy to remember: 10-10. This will help families. It will give businesses customers with more money to spend. It does not involve any new bureaucratic program. So join the rest of the country. Say yes. Give America a raise. Give them a raise.

There are other steps we can take to help families make ends meet, and few are more effective at reducing inequality and helping families pull themselves up through hard work than the earned-income tax credit. Right now it helps about half of all parents at some point. Think about that: It helps about half of all parents in America at some point in their lives. But I agree with Republicans like Senator Rubio that it doesn't do enough for single workers who don't have kids. So let's work together to strengthen the credit, reward work, help more Americans get ahead.

Let's do more to help Americans save for retirement. Today, most workers don't have a pension. A Social Security check often isn't enough on its own. And while the stock market has doubled over the last 5 years, that doesn't help folks who don't have 401(k)s. That's why, tomorrow, I will direct the Treasury to create a new way for working Americans to start their own retirement savings: MyI--MyRA.

It's a new savings bond that encourages folks to build a nest egg. MyRA guarantees a decent return with no risk of losing what you put in. And if this Congress wants to help, work with me to fix an upside-down Tax Code that gives big tax breaks to help the wealthy save, but does little or nothing for middle class Americans. Offer every American access to an automatic IRA on the job so they can save at work just like everybody in this Chamber can.

And since the most important investment many families make is their home, send me legislation that protects taxpayers from footing the bill for a housing crisis ever again and keeps the dream of homeownership alive for future generations.

One last point on financial security: For decades, few things exposed hard-working families to economic hardship more than a broken health care system. And in case you haven't heard, we're in the process of fixing that. Now, a preexisting condition used to mean that someone like Amanda Shelley, a physician's assistant and single mom from Arizona, couldn't get health insurance. But on January 1, she got covered. On January 3, she felt a sharp pain. On January 6, she had emergency surgery. Just one week earlier, Amanda said, and that surgery would have meant bankruptcy.

That's what health insurance reform is all about: the peace of mind that if misfortune strikes, you don't have to lose everything. Already, because of the Affordable Care Act, more than 3 million Americans under age 26 have gained coverage under their parent's plan. More than 9 million Americans have signed up for private health insurance or Medicaid coverage. Nine million.

And here's another number: zero. Because of this law, no American--none, zero--can ever again be dropped or denied coverage for a preexisting condition like asthma or back pain or cancer. No woman can ever be charged more just because she's a woman. And we did all this while adding years to Medicare's finances, keeping Medicare premiums flat, and lowering prescription costs for millions of seniors.

Now, I do not expect to convince my Republican friends on the merits of this law. [Laughter] But I know that the American people are not interested in refighting old battles. So again, if you have specific plans to cut costs, cover more people, increase choice, tell America what you'd do differently. Let's see if the numbers add up. But let's not have another 40-something votes to repeal a law that's already helping millions of Americans like Amanda. The first 40 were plenty. [Laughter]

We all owe it to the American people to say what we're for, not just what we're against. And if you want to know the real impact this law is having, just talk to Governor Steve Beshear of Kentucky, who's here tonight. Now, Kentucky is not the most liberal part of the country. That's not where I got my highest vote totals. [Laughter] But he's like a man possessed when it comes to covering his Commonwealth's families. They're our neighbors and our friends, he said: "They're people we shop and go to church with, farmers out on the tractor, grocery clerks. They're people who go to work every morning praying they don't get sick. No one deserves to live that way."

Steve's right. That's why tonight I ask every American who knows someone without health insurance to help them get covered by March 31. [Applause] Help them get covered. Moms, get on your kids to sign up. Kids, call your mom and walk her through the application. It will give her

some peace of mind, and plus, she'll appreciate hearing from you.
[Laughter]

After all, that's the spirit that has always moved this Nation forward. It's the spirit of citizenship, the recognition that through hard work and responsibility, we can pursue our individual dreams, but still come together as one American family to make sure the next generation can pursue its dreams as well.

Citizenship means standing up for everyone's right to vote. Last year, part of the Voting Rights Act was weakened, but conservative Republicans and liberal Democrats are working together to strengthen it. And the bipartisan Commission I appointed, chaired by my campaign lawyer and Governor Romney's campaign lawyer, came together and have offered reforms so that no one has to wait more than a half hour to vote. Let's support these efforts. It should be the power of our vote, not the size of our bank accounts, that drives our democracy.

Citizenship means standing up for the lives that gun violence steals from us each day. I've seen the courage of parents, students, pastors, police officers all over this country who say, "We are not afraid." And I intend to keep trying, with or without Congress, to help stop more tragedies from visiting innocent Americans in our movie theaters, in our shopping malls, or schools like Sandy Hook.

Citizenship demands a sense of common purpose, participation in the hard work of self-government, an obligation to serve our communities. And I know this Chamber agrees that few Americans give more to their country than our diplomats and the men and women of the United States Armed Forces. Thank you. Tonight, because of the extraordinary troops and civilians who risk and lay down their lives to keep us free, the United States is more secure. When I took office, nearly 180,000 Americans were serving in Iraq and Afghanistan. Today, all our troops are out of Iraq. More than 60,000 of our troops have already come home from Afghanistan. With Afghan forces now in the lead for their own security, our troops have moved to a support role. Together with our allies, we will complete our mission there by the end of this year, and America's longest war will finally be over.

After 2014, we will support a unified Afghanistan as it takes responsibility for its own future. If the Afghan Government signs a security agreement that we have negotiated, a small force of Americans could remain in Afghanistan with NATO allies to carry out two narrow missions: training and assisting Afghan forces and counterterrorism operations to pursue any remnants of Al Qaida. For while our relationship with Afghanistan will change, one thing will not: our resolve that terrorists do not launch attacks against our country.

The fact is, that danger remains. While we've put Al Qaida's core leadership on a path to defeat, the threat has evolved as Al Qaida affiliates and other extremists take root in different parts of the world. In Yemen, Somalia, Iraq, Mali, we have to keep working with partners to disrupt and disable those networks. In Syria, we'll support the opposition that rejects the agenda of terrorist networks. Here at home, we'll keep strengthening our defenses and combat new threats like cyber attacks. And as we reform our defense budget, we will have to keep faith with our men and women in uniform and invest in the capabilities they need to succeed in future missions.

We have to remain vigilant. But I strongly believe our leadership and our security cannot depend on our outstanding military alone. As Commander in Chief, I have used force when needed to protect the American people, and I will never hesitate to do so as long as I hold this office. But I will not send our troops into harm's way unless it is truly necessary, nor will I allow our sons and daughters to be mired in open-ended conflicts. We must fight the battles that need to be fought, not those that terrorists prefer from us: large-scale deployments that drain our strength and may ultimately feed extremism.

So even as we actively and aggressively pursue terrorist networks through more targeted efforts and by building the capacity of our foreign partners, America must move off a permanent war footing. That's why I've imposed prudent limits on the use of drones. For we will not be safer if people abroad believe we strike within their countries without regard for the consequence.

That's why, working with this Congress, I will reform our surveillance programs, because the vital work of our intelligence community depends on public confidence, here and abroad, that privacy of ordinary people is not being violated.

And with the Afghan war ending, this needs to be the year Congress lifts the remaining restrictions on detainee transfers and we close the prison at Guantanamo Bay. Because we counter terrorism not just through intelligence and military actions, but by remaining true to our constitutional ideals and setting an example for the rest of the world.

You see, in a world of complex threats, our security, our leadership, depends on all elements of our power, including strong and principled diplomacy. American diplomacy has rallied more than 50 countries to prevent nuclear materials from falling into the wrong hands and allowed us to reduce our own reliance on cold war stockpiles. American diplomacy, backed by the threat of force, is why Syria's chemical weapons are being eliminated.

And we will continue to work with the international community to usher in the future the Syrian people deserve, a future free of dictatorship, terror, and fear. As we speak, American diplomacy is supporting Israelis and Palestinians as they engage in the difficult but necessary talks to end the conflict there, to achieve dignity and an independent state for Palestinians and lasting peace and security for the State of Israel, a Jewish state that knows America will always be at their side.

And it is American diplomacy, backed by pressure, that has halted the progress of Iran's nuclear program and rolled back parts of that program for the very first time in a decade. As we gather here tonight, Iran has begun to eliminate its stockpile of higher levels of enriched uranium. It's not installing advanced centrifuges. Unprecedented inspections help the world verify every day that Iran is not building a bomb. And with our allies and partners, we're engaged in negotiations to see if we can peacefully achieve a goal we all share: preventing Iran from obtaining a nuclear weapon.

These negotiations will be difficult. They may not succeed. We are clear eyed about Iran's support for terrorist organizations like Hizballah, which

threatens our allies. And we're clear about the mistrust between our nations, mistrust that cannot be wished away. But these negotiations don't rely on trust. Any long-term deal we agree to must be based on verifiable action that convinces us and the international community that Iran is not building a nuclear bomb. If John F. Kennedy and Ronald Reagan could negotiate with the Soviet Union, then surely a strong and confident America can negotiate with less powerful adversaries today.

The sanctions that we put in place helped make this opportunity possible. But let me be clear: If this Congress sends me a new sanctions bill now that threatens to derail these talks, I will veto it. For the sake of our national security, we must give diplomacy a chance to succeed. If Iran's leaders do not seize this opportunity, then I will be the first to call for more sanctions and stand ready to exercise all options to make sure Iran does not build a nuclear weapon. But if Iran's leaders do seize the chance--and we'll know soon enough-- then Iran could take an important step to rejoin the community of nations, and we will have resolved one of the leading security challenges of our time without the risks of war.

Now, finally, let's remember that our leadership is defined not just by our defense against threats, but by the enormous opportunities to do good and promote understanding around the globe: to forge greater cooperation, to expand new markets, to free people from fear and want. And no one is better positioned to take advantage of those opportunities than America.

Our alliance with Europe remains the strongest the world has ever known. From Tunisia to Burma, we're supporting those who are willing to do the hard work of building democracy. In Ukraine, we stand for the principle that all people have the right to express themselves freely and peacefully and to have a say in their country's future. Across Africa, we're bringing together businesses and governments to double access to electricity and help end extreme poverty. In the Americas, we're building new ties of commerce, but we're also expanding cultural and educational exchanges among young people. And we will continue to focus on the Asia-Pacific, where we support our allies, shape a future of greater security and prosperity, and extend a hand to those devastated by disaster, as we did in the Philippines, when our Marines and civilians rushed to aid those battered

by a typhoon, and who were greeted with words like, "We will never forget your kindness" and "God bless America."

We do these things because they help promote our long-term security, and we do them because we believe in the inherent dignity and equality of every human being, regardless of race or religion, creed or sexual orientation. And next week, the world will see one expression of that commitment, when Team U.S.A. marches the red, white, and blue into the Olympic Stadium and brings home the gold. [Laughter]

Audience members. U.S.A.! U.S.A.! U.S.A.!

The President. My fellow Americans, no other country in the world does what we do. On every issue, the world turns to us, not simply because of the size of our economy or our military might, but because of the ideals we stand for and the burdens we bear to advance them. No one knows this better than those who serve in uniform.

As this time of war draws to a close, a new generation of heroes returns to civilian life. We'll keep slashing that backlog so our veterans receive the benefits they've earned and our wounded warriors receive the health care--including the mental health care--that they need. We'll keep working to help all our veterans translate their skills and leadership into jobs here at home. And we will all continue to join forces to honor and support our remarkable military families.

Let me tell you about one of those families I've come to know. I first met Cory Remsburg, a proud Army Ranger, at Omaha Beach on the 65th anniversary of D-day. Along with some of his fellow Rangers, he walked me through the program and the ceremony. He was a strong, impressive young man, had an easy manner, he was sharp as a tack. And we joked around and took pictures, and I told him to stay in touch.

A few months later, on his 10th deployment, Cory was nearly killed by a massive roadside bomb in Afghanistan. His comrades found him in a canal, face down, underwater, shrapnel in his brain. For months, he lay in a coma. And the next time I met him, in the hospital, he couldn't speak, could barely

move. Over the years, he's endured dozens of surgeries and procedures, hours of grueling rehab every day.

Even now, Cory is still blind in one eye, still struggles on his left side. But slowly, steadily, with the support of caregivers like his dad Craig and the community around him, Cory has grown stronger. And day by day, he's learned to speak again and stand again and walk again. And he's working toward the day when he can serve his country again. "My recovery has not been easy," he says. "Nothing in life that's worth anything is easy." Cory is here tonight. And like the Army he loves, like the America he serves, Sergeant First Class Cory Remsburg never gives up, and he does not quit. Cory.

My fellow Americans, men and women like Cory remind us that America has never come easy. Our freedom, our democracy, has never been easy. Sometimes, we stumble, we make mistakes; we get frustrated or discouraged. But for more than 200 years, we have put those things aside and placed our collective shoulder to the wheel of progress: to create and build and expand the possibilities of individual achievement, to free other nations from tyranny and fear, to promote justice and fairness and equality under the law so that the words set to paper by our Founders are made real for every citizen. The America we want for our kids--a rising America where honest work is plentiful and communities are strong, where prosperity is widely shared and opportunity for all lets us go as far as our dreams and toil will take us--none of it is easy. But if we work together--if we summon what is best in us, the way Cory summoned what is best in him--with our feet planted firmly in today, but our eyes cast toward tomorrow, I know it is within our reach. Believe it.

God bless you, and God bless the United States of America.

Address Before a Joint Session of the Congress on the State of the Union
Barack Obama
January 20, 2015

The President. Mr. Speaker, Mr. Vice President, Members of Congress, my fellow Americans: We are 15 years into this new century. Fifteen years that dawned with terror touching our shores, that unfolded with a new generation fighting two long and costly wars, that saw a vicious recession spread across our Nation and the world. It has been and still is a hard time for many.

But tonight we turn the page. Tonight, after a breakthrough year for America, our economy is growing and creating jobs at the fastest pace since 1999. Our unemployment rate is now lower than it was before the financial crisis. More of our kids are graduating than ever before. More of our people are insured than ever before. And we are as free from the grip of foreign oil as we've been in almost 30 years.

Tonight, for the first time since 9/11, our combat mission in Afghanistan is over. Six years ago, nearly 180,000 American troops served in Iraq and Afghanistan. Today, fewer than 15,000 remain. And we salute the courage and sacrifice of every man and woman in this 9/11 generation who has served to keep us safe. We are humbled and grateful for your service.

America, for all that we have endured, for all the grit and hard work required to come back, for all the tasks that lie ahead, know this: The shadow of crisis has passed, and the State of the Union is strong.

At this moment--with a growing economy, shrinking deficits, bustling industry, booming energy production--we have risen from recession freer to write our own future than any other nation on Earth. It's now up to us to choose who we want to be over the next 15 years and for decades to come.

Will we accept an economy where only a few of us do spectacularly well? Or will we commit ourselves to an economy that generates rising incomes and chances for everyone who makes the effort?

Will we approach the world fearful and reactive, dragged into costly conflicts that strain our military and set back our standing? Or will we lead wisely, using all elements of our power to defeat new threats and protect our planet?

Will we allow ourselves to be sorted into factions and turned against one another? Or will we recapture the sense of common purpose that has always propelled America forward?

In 2 weeks, I will send this Congress a budget filled with ideas that are practical, not partisan. And in the months ahead, I'll crisscross the country making a case for those ideas. So tonight I want to focus less on a checklist of proposals and focus more on the values at stake in the choices before us.

It begins with our economy. Seven years ago, Rebekah and Ben Erler of Minneapolis were newlyweds. [Laughter] She waited tables. He worked construction. Their first child Jack was on the way. They were young and in love in America. And it doesn't get much better than that. "If only we had known," Rebekah wrote to me last spring, "what was about to happen to the housing and construction market." As the crisis worsened, Ben's business dried up, so he took what jobs he could find, even if they kept him on the road for long stretches of time. Rebekah took out student loans and enrolled in community college and retrained for a new career. They sacrificed for each other. And slowly, it paid off. They bought their first home. They had a second son Henry. Rebekah got a better job and then a raise. Ben is back in construction and home for dinner every night.

"It is amazing," Rebekah wrote, "what you can bounce back from when you have to. . . . We are a strong, tight-knit family who has made it through some very, very hard times." We are a strong, tight-knit family who has made it through some very, very hard times.

America, Rebekah and Ben's story is our story. They represent the millions who have worked hard and scrimped and sacrificed and retooled. You are the reason that I ran for this office. You are the people I was thinking of 6 years ago today, in the darkest months of the crisis, when I stood on the steps of this Capitol and promised we would rebuild our

economy on a new foundation. And it has been your resilience, your effort that has made it possible for our country to emerge stronger.

We believed we could reverse the tide of outsourcing and draw new jobs to our shores. And over the past 5 years, our businesses have created more than 11 million new jobs.

We believed we could reduce our dependence on foreign oil and protect our planet. And today, America is number one in oil and gas. America is number one in wind power. Every 3 weeks, we bring online as much solar power as we did in all of 2008. And thanks to lower gas prices and higher fuel standards, the typical family this year should save about \$750 at the pump.

We believed we could prepare our kids for a more competitive world. And today, our younger students have earned the highest math and reading scores on record. Our high school graduation rate has hit an alltime high. More Americans finish college than ever before.

We believed that sensible regulations could prevent another crisis, shield families from ruin, and encourage fair competition. Today, we have new tools to stop taxpayer-funded bailouts and a new consumer watchdog to protect us from predatory lending and abusive credit card practices. And in the past year alone, about 10 million uninsured Americans finally gained the security of health coverage.

At every step, we were told our goals were misguided or too ambitious, that we would crush jobs and explode deficits. Instead, we've seen the fastest economic growth in over a decade, our deficits cut by two-thirds, a stock market that has doubled, and health care inflation at its lowest rate in 50 years. This is good news, people. [Laughter]

So the verdict is clear. Middle class economics works. Expanding opportunity works. And these policies will continue to work as long as politics don't get in the way. We can't slow down businesses or put our economy at risk with Government shutdowns or fiscal showdowns. We can't put the security of families at risk by taking away their health insurance or unraveling the new rules on Wall Street or refighting past

battles on immigration when we've got to fix a broken system. And if a bill comes to my desk that tries to do any of these things, I will veto it. It will have earned my veto.

Today, thanks to a growing economy, the recovery is touching more and more lives. Wages are finally starting to rise again. We know that more small-business owners plan to raise their employees' pay than at any time since 2007. But here's the thing: Those of us here tonight, we need to set our sights higher than just making sure Government doesn't screw things up--[laughter]--that Government doesn't halt the progress we're making. We need to do more than just do no harm. Tonight, together, let's do more to restore the link between hard work and growing opportunity for every American.

Because families like Rebekah's still need our help. She and Ben are working as hard as ever, but they've had to forego vacations and a new car so that they can pay off student loans and save for retirement. Friday night pizza, that's a big splurge. Basic childcare for Jack and Henry costs more than their mortgage and almost as much as a year at the University of Minnesota. Like millions of hard-working Americans, Rebekah isn't asking for a handout, but she is asking that we look for more ways to help families get ahead.

And in fact, at every moment of economic change throughout our history, this country has taken bold action to adapt to new circumstances and to make sure everyone gets a fair shot. We set up worker protections, Social Security, Medicare, Medicaid to protect ourselves from the harshest adversity. We gave our citizens schools and colleges, infrastructure and the Internet, tools they needed to go as far as their efforts and their dreams will take them.

That's what middle class economics is: the idea that this country does best when everyone gets their fair shot, everyone does their fair share, everyone plays by the same set of rules. We don't just want everyone to share in America's success, we want everyone to contribute to our success.

So what does middle class economics require in our time? First, middle class economics means helping working families feel more secure in a

world of constant change. That means helping folks afford childcare, college, health care, a home, retirement. And my budget will address each of these issues, lowering the taxes of working families and putting thousands of dollars back into their pockets each year.

Here's one example. During World War II, when men like my grandfather went off to war, having women like my grandmother in the workforce was a national security priority, so this country provided universal childcare. In today's economy, when having both parents in the workforce is an economic necessity for many families, we need affordable, high-quality childcare more than ever.

It's not a nice-to-have, it's a must-have. So it's time we stop treating childcare as a side issue, or as a women's issue, and treat it like the national economic priority that it is for all of us. And that's why my plan will make quality childcare more available and more affordable for every middle class and low-income family with young children in America, by creating more slots and a new tax cut of up to \$3,000 per child, per year.

Here's another example. Today, we are the only advanced country on Earth that doesn't guarantee paid sick leave or paid maternity leave to our workers. Forty-three million workers have no paid sick leave--43 million. Think about that. And that forces too many parents to make the gut-wrenching choice between a paycheck and a sick kid at home. So I'll be taking new action to help States adopt paid leave laws of their own. And since paid sick leave won where it was on the ballot last November, let's put it to a vote right here in Washington. Send me a bill that gives every worker in America the opportunity to earn 7 days of paid sick leave. It's the right thing to do. [Applause] It's the right thing to do.

Of course, nothing helps families make ends meet like higher wages. That's why this Congress still needs to pass a law that makes sure a woman is paid the same as a man for doing the same work. I mean, it's 2015. [Laughter] It's time. We still need to make sure employees get the overtime they've earned. And to everyone in this Congress who still refuses to raise the minimum wage, I say this: If you truly believe you could work full time and support a family on less than \$15,000 a year, try it. If not, vote to give millions of the hardest working people in America a raise.

Now, these ideas won't make everybody rich, won't relieve every hardship. That's not the job of government. To give working families a fair shot, we still need more employers to see beyond next quarter's earnings and recognize that investing in their workforce is in their company's long-term interest. We still need laws that strengthen rather than weaken unions, and give American workers a voice.

But you know, things like childcare and sick leave and equal pay, things like lower mortgage premiums and a higher minimum wage--these ideas will make a meaningful difference in the lives of millions of families. That's a fact. And that's what all of us, Republicans and Democrats alike, were sent here to do.

Now, second, to make sure folks keep earning higher wages down the road, we have to do more to help Americans upgrade their skills. America thrived in the 20th century because we made high school free, sent a generation of GIs to college, trained the best workforce in the world. We were ahead of the curve. But other countries caught on. And in a 21st-century economy that rewards knowledge like never before, we need to up our game. We need to do more.

By the end of this decade, two in three job openings will require some higher education--two in three. And yet we still live in a country where too many bright, striving Americans are priced out of the education they need. It's not fair to them, and it's sure not smart for our future. And that's why I'm sending this Congress a bold new plan to lower the cost of community college to zero.

Keep in mind, 40 percent of our college students choose community college. Some are young and starting out. Some are older and looking for a better job. Some are veterans and single parents trying to transition back into the job market. Whoever you are, this plan is your chance to graduate ready for the new economy without a load of debt. Understand, you've got to earn it. You've got to keep your grades up and graduate on time.

Tennessee, a State with Republican leadership, and Chicago, a city with Democratic leadership, are showing that free community college is possible. I want to spread that idea all across America so that 2 years of

college becomes as free and universal in America as high school is today. Let's stay ahead of the curve. And I want to work with this Congress to make sure those already burdened with student loans can reduce their monthly payments so that student debt doesn't derail anyone's dreams.

Thanks to Vice President Biden's great work to update our job training system, we're connecting community colleges with local employers to train workers to fill high-paying jobs like coding and nursing and robotics. Tonight I'm also asking more businesses to follow the lead of companies like CVS and UPS and offer more educational benefits and paid apprenticeships, opportunities that give workers the chance to earn higher paying jobs even if they don't have a higher education.

And as a new generation of veterans comes home, we owe them every opportunity to live the American Dream they helped defend. Already, we've made strides towards ensuring that every veteran has access to the highest quality care. We're slashing the backlog that had too many veterans waiting years to get the benefits they need. And we're making it easier for vets to translate their training and experience into civilian jobs. And Joining Forces, the national campaign launched by Michelle and Jill Biden-- [applause]--thank you, Michelle; thank you, Jill--has helped nearly 700,000 veterans and military spouses get a new job. So to every CEO in America, let me repeat: If you want somebody who's going to get the job done and done right, hire a veteran.

Finally, as we better train our workers, we need the new economy to keep churning out high-wage jobs for our workers to fill. Since 2010, America has put more people back to work than Europe, Japan, and all advanced economies combined.

Our manufacturers have added almost 800,000 new jobs. Some of our bedrock sectors, like our auto industry, are booming. But there are also millions of Americans who work in jobs that didn't even exist 10 or 20 years ago, jobs at companies like Google and eBay and Tesla.

So no one knows for certain which industries will generate the jobs of the future. But we do know we want them here in America. We know that. And that's why the third part of middle class economics is all about building

the most competitive economy anywhere, the place where businesses want to locate and hire.

Twenty-first century businesses need 21st-century infrastructure: modern ports and stronger bridges, faster trains and the fastest Internet. Democrats and Republicans used to agree on this. So let's set our sights higher than a single oil pipeline. Let's pass a bipartisan infrastructure plan that could create more than 30 times as many jobs per year and make this country stronger for decades to come. Let's do it. Let's get it done. [Applause] Let's get it done.

Twenty-first century businesses, including small businesses, need to sell more American products overseas. Today, our businesses export more than ever, and exporters tend to pay their workers higher wages. But as we speak, China wants to write the rules for the world's fastest growing region. That would put our workers and our businesses at a disadvantage. Why would we let that happen? We should write those rules. We should level the playing field. And that's why I'm asking both parties to give me trade promotion authority to protect American workers, with strong new trade deals from Asia to Europe that aren't just free, but are also fair. It's the right thing to do.

Look, I'm the first one to admit that past trade deals haven't always lived up to the hype, and that's why we've gone after countries that break the rules at our expense. But 95 percent of the world's customers live outside our borders. We can't close ourselves off from those opportunities. More than half of manufacturing executives have said they're actively looking to bring jobs back from China. So let's give them one more reason to get it done.

Twenty-first century businesses will rely on American science and technology, research and development. I want the country that eliminated polio and mapped the human genome to lead a new era of medicine, one that delivers the right treatment at the right time.

In some patients with cystic fibrosis, this approach has reversed a disease once thought unstoppable. So tonight I'm launching a new precision medicine initiative to bring us closer to curing diseases like cancer and

diabetes and to give all of us access to the personalized information we need to keep ourselves and our families healthier. We can do this.

I intend to protect a free and open Internet, extend its reach to every classroom and every community and help folks build the fastest networks so that the next generation of digital innovators and entrepreneurs have the platform to keep reshaping our world. I want Americans to win the race for the kinds of discoveries that unleash new jobs: converting sunlight into liquid fuel; creating revolutionary prosthetics so that a veteran who gave his arms for his country can play catch with his kids again; pushing out into the solar system not just to visit, but to stay. Last month, we launched a new spacecraft as part of a reenergized space program that will send American astronauts to Mars. And in 2 months, to prepare us for those missions, Scott Kelly will begin a year-long stay in space. So good luck, Captain. Make sure to Instagram it. We're proud of you.

Now, the truth is, when it comes to issues like infrastructure and basic research, I know there's bipartisan support in this Chamber. Members of both parties have told me so. Where we too often run onto the rocks is how to pay for these investments. As Americans, we don't mind paying our fair share of taxes as long as everybody else does too. But for far too long, lobbyists have rigged the Tax Code with loopholes that let some corporations pay nothing while others pay full freight. They've riddled it with giveaways that the super-rich don't need, while denying a break to middle class families who do.

This year, we have an opportunity to change that. Let's close loopholes so we stop rewarding companies that keep profits abroad and reward those that invest here in America. Let's use those savings to rebuild our infrastructure and to make it more attractive for companies to bring jobs home. Let's simplify the system and let a small-business owner file based on her actual bank statement, instead of the number of accountants she can afford. And let's close the loopholes that lead to inequality by allowing the top 1 percent to avoid paying taxes on their accumulated wealth. We can use that money to help more families pay for childcare and send their kids to college. We need a Tax Code that truly helps working Americans trying

to get a leg up in the new economy, and we can achieve that together. [Applause] We can achieve it together.

Helping hard-working families make ends meet, giving them the tools they need for good-paying jobs in this new economy, maintaining the conditions of growth and competitiveness--this is where America needs to go. I believe it's where the American people want to go. It will make our economy stronger a year from now, 15 years from now, and deep into the century ahead.

Of course, if there's one thing this new century has taught us, it's that we cannot separate our work here at home from challenges beyond our shores. My first duty as Commander in Chief is to defend the United States of America. In doing so, the question is not whether America leads in the world, but how. When we make rash decisions, reacting to the headlines instead of using our heads, when the first response to a challenge is to send in our military, then we risk getting drawn into unnecessary conflicts and neglect the broader strategy we need for a safer, more prosperous world. That's what our enemies want us to do.

I believe in a smarter kind of American leadership. We lead best when we combine military power with strong diplomacy, when we leverage our power with coalition building, when we don't let our fears blind us to the opportunities that this new century presents. That's exactly what we're doing right now. And around the globe, it is making a difference.

First, we stand united with people around the world who have been targeted by terrorists, from a school in Pakistan to the streets of Paris. We will continue to hunt down terrorists and dismantle their networks, and we reserve the right to act unilaterally, as we have done relentlessly since I took office, to take out terrorists who pose a direct threat to us and our allies. At the same time, we've learned some costly lessons over the last 13 years. Instead of Americans patrolling the valleys of Afghanistan, we've trained their security forces, who have now taken the lead, and we've honored our troops' sacrifice by supporting that country's first democratic transition. Instead of sending large ground forces overseas, we're partnering with nations from South Asia to North Africa to deny safe haven to terrorists who threaten America.

In Iraq and Syria, American leadership--including our military power--is stopping ISIL's advance. Instead of getting dragged into another ground war in the Middle East, we are leading a broad coalition, including Arab nations, to degrade and ultimately destroy this terrorist group. We're also supporting a moderate opposition in Syria that can help us in this effort and assisting people everywhere who stand up to the bankrupt ideology of violent extremism.

Now, this effort will take time. It will require focus. But we will succeed. And tonight I call on this Congress to show the world that we are united in this mission by passing a resolution to authorize the use of force against ISIL. We need that authority.

Second, we're demonstrating the power of American strength and diplomacy. We're upholding the principle that bigger nations can't bully the small, by opposing Russian aggression and supporting Ukraine's democracy and reassuring our NATO allies.

Last year, as we were doing the hard work of imposing sanctions along with our allies, as we were reinforcing our presence with frontline states, Mr. Putin's aggression, it was suggested, was a masterful display of strategy and strength. That's what I heard from some folks. [Laughter] Well, today, it is America that stands strong and united with our allies, while Russia is isolated with its economy in tatters. That's how America leads: not with bluster, but with persistent, steady resolve.

In Cuba, we are ending a policy that was long past its expiration date. When what you're doing doesn't work for 50 years, it's time to try something new. [Laughter] And our shift in Cuba policy has the potential to end a legacy of mistrust in our hemisphere. It removes a phony excuse for restrictions in Cuba. It stands up for democratic values and extends the hand of friendship to the Cuban people. And this year, Congress should begin the work of ending the embargo.

As His Holiness Pope Francis has said, diplomacy is the work of "small steps." And these small steps have added up to new hope for the future in Cuba. And after years in prison, we are overjoyed that Alan Gross is back where he belongs. Welcome home, Alan. We're glad you're here.

Our diplomacy is at work with respect to Iran, where, for the first time in a decade, we've halted the progress of its nuclear program and reduced its stockpile of nuclear material. Between now and this spring, we have a chance to negotiate a comprehensive agreement that prevents a nuclear-armed Iran, secures America and our allies, including Israel, while avoiding yet another Middle East conflict. There are no guarantees that negotiations will succeed, and I keep all options on the table to prevent a nuclear Iran.

But new sanctions passed by this Congress, at this moment in time, will all but guarantee that diplomacy fails: alienating America from its allies, making it harder to maintain sanctions, and ensuring that Iran starts up its nuclear program again. It doesn't make sense. And that's why I will veto any new sanctions bill that threatens to undo this progress. The American people expect us only to go to war as a last resort, and I intend to stay true to that wisdom. Third, we're looking beyond the issues that have consumed us in the past to shape the coming century. No foreign nation, no hacker, should be able to shut down our networks, steal our trade secrets, or invade the privacy of American families, especially our kids. So we're making sure our Government integrates intelligence to combat cyber threats, just as we have done to combat terrorism.

And tonight I urge this Congress to finally pass the legislation we need to better meet the evolving threat of cyber attacks, combat identity theft, and protect our children's information. That should be a bipartisan effort. If we don't act, we'll leave our Nation and our economy vulnerable. If we do, we can continue to protect the technologies that have unleashed untold opportunities for people around the globe.

In West Africa, our troops, our scientists, our doctors, our nurses, our health care workers are rolling back Ebola, saving countless lives and stopping the spread of disease. I could not be prouder of them, and I thank this Congress for your bipartisan support of their efforts. But the job is not yet done, and the world needs to use this lesson to build a more effective global effort to prevent the spread of future pandemics, invest in smart development, and eradicate extreme poverty.

In the Asia-Pacific, we are modernizing alliances while making sure that other nations play by the rules: in how they trade, how they resolve

maritime disputes, how they participate in meeting common international challenges like nonproliferation and disaster relief. And no challenge--no challenge--poses a greater threat to future generations than climate change.

Two thousand fourteen was the planet's warmest year on record. Now, 1 year doesn't make a trend, but this does: 14 of the 15 warmest years on record have all fallen in the first 15 years of this century.

Now, I've heard some folks try to dodge the evidence by saying they're not scientists, that we don't have enough information to act. Well, I'm not a scientist, either. But you know what, I know a lot of really good scientists--[laughter]--at NASA and at NOAA and at our major universities. And the best scientists in the world are all telling us that our activities are changing the climate, and if we don't act forcefully, we'll continue to see rising oceans, longer, hotter heat waves, dangerous droughts and floods, and massive disruptions that can trigger greater migration and conflict and hunger around the globe. The Pentagon says that climate change poses immediate risks to our national security. We should act like it.

And that's why, over the past 6 years, we've done more than ever to combat climate change, from the way we produce energy to the way we use it. That's why we've set aside more public lands and waters than any administration in history. And that's why I will not let this Congress endanger the health of our children by turning back the clock on our efforts. I am determined to make sure that American leadership drives international action.

In Beijing, we made a historic announcement: The United States will double the pace at which we cut carbon pollution. And China committed, for the first time, to limiting their emissions. And because the world's two largest economies came together, other nations are now stepping up and offering hope that this year the world will finally reach an agreement to protect the one planet we've got.

And there's one last pillar of our leadership, and that's the example of our values. As Americans, we respect human dignity, even when we're threatened, which is why I have prohibited torture and worked to make sure our use of new technology like drones is properly constrained. It's why we

speak out against the deplorable anti-Semitism that has resurfaced in certain parts of the world. It's why we continue to reject offensive stereotypes of Muslims, the vast majority of whom share our commitment to peace. That's why we defend free speech and advocate for political prisoners and condemn the persecution of women or religious minorities or people who are lesbian, gay, bisexual, or transgender. We do these things not only because they are the right thing to do, but because ultimately, they will make us safer.

As Americans, we have a profound commitment to justice. So it makes no sense to spend \$3 million per prisoner to keep open a prison that the world condemns and terrorists use to recruit. Since I've been President, we've worked responsibly to cut the population of Gitmo in half. Now it is time to finish the job. And I will not relent in my determination to shut it down. It is not who we are. It's time to close Gitmo.

As Americans, we cherish our civil liberties, and we need to uphold that commitment if we want maximum cooperation from other countries and industry in our fight against terrorist networks. So while some have moved on from the debates over our surveillance programs, I have not. As promised, our intelligence agencies have worked hard, with the recommendations of privacy advocates, to increase transparency and build more safeguards against potential abuse. And next month, we'll issue a report on how we're keeping our promise to keep our country safe while strengthening privacy.

Looking to the future instead of the past, making sure we match our power with diplomacy and use force wisely, building coalitions to meet new challenges and opportunities, leading always with the example of our values--that's what makes us exceptional. That's what keeps us strong. That's why we have to keep striving to hold ourselves to the highest of standards: our own.

You know, just over a decade ago, I gave a speech in Boston where I said there wasn't a liberal America or a conservative America, a Black America or a White America, but a United States of America. I said this because I had seen it in my own life, in a nation that gave someone like me a chance; because I grew up in Hawaii, a melting pot of races and customs; because I

made Illinois my home, a State of small towns, rich farmland, one of the world's great cities, a microcosm of the country where Democrats and Republicans and Independents, good people of every ethnicity and every faith, share certain bedrock values.

Over the past 6 years, the pundits have pointed out more than once that my Presidency hasn't delivered on this vision. How ironic, they say, that our politics seems more divided than ever. It's held up as proof not just of my own flaws--of which there are many--but also as proof that the vision itself is misguided, naive, that there are too many people in this town who actually benefit from partisanship and gridlock for us to ever do anything about it.

I know how tempting such cynicism may be. But I still think the cynics are wrong. I still believe that we are one people. I still believe that together, we can do great things, even when the odds are long.

I believe this because over and over in my 6 years in office, I have seen America at its best. I've seen the hopeful faces of young graduates from New York to California and our newest officers at West Point, Annapolis, Colorado Springs, New London. I've mourned with grieving families in Tucson and Newtown, in Boston, in West, Texas, and West Virginia. I've watched Americans beat back adversity from the Gulf Coast to the Great Plains, from Midwest assembly lines to the Mid- Atlantic seaboard. I've seen something like gay marriage go from a wedge issue used to drive us apart to a story of freedom across our country, a civil right now legal in States that 7 in 10 Americans call home. So I know the good and optimistic and big-hearted generosity of the American people who every day live the idea that we are our brother's keeper and our sister's keeper. And I know they expect those of us who serve here to set a better example.

So the question for those of us here tonight is how we, all of us, can better reflect America's hopes. I've served in Congress with many of you. I know many of you well. There are a lot of good people here on both sides of the aisle. And many of you have told me that this isn't what you signed up for: arguing past each other on cable shows, the constant fundraising, always looking over your shoulder at how the base will react to every decision.

Imagine if we broke out of these tired old patterns. Imagine if we did something different. Understand, a better politics isn't one where Democrats abandon their agenda or Republicans simply embrace mine. A better politics is one where we appeal to each other's basic decency instead of our basest fears. A better politics is one where we debate without demonizing each other, where we talk issues and values and principles and facts rather than "gotcha" moments or trivial gaffes or fake controversies that have nothing to do with people's daily lives.

A politics--a better politics is one where we spend less time drowning in dark money for ads that pull us into the gutter and spend more time lifting young people up with a sense of purpose and possibility, asking them to join in the great mission of building America.

If we're going to have arguments, let's have arguments, but let's make them debates worthy of this body and worthy of this country. We still may not agree on a woman's right to choose, but surely we can agree it's a good thing that teen pregnancies and abortions are nearing alltime lows and that every woman should have access to the health care that she needs.

Yes, passions still fly on immigration, but surely we can all see something of ourselves in the striving young student and agree that no one benefits when a hard-working mom is snatched from her child and that it's possible to shape a law that upholds our tradition as a nation of laws and a nation of immigrants. I've talked to Republicans and Democrats about that. That's something that we can share.

We may go at it in campaign season, but surely we can agree that the right to vote is sacred, that it's being denied to too many, and that on this 50th anniversary of the great march from Selma to Montgomery and the passage of the Voting Rights Act, we can come together, Democrats and Republicans, to make voting easier for every single American.

We may have different takes on the events of Ferguson and New York. But surely we can understand a father who fears his son can't walk home without being harassed. And surely we can understand the wife who won't rest until the police officer she married walks through the front door at the end of his shift. And surely we can agree that it's a good thing that for the

first time in 40 years, the crime rate and the incarceration rate have come down together, and use that as a starting point for Democrats and Republicans, community leaders and law enforcement, to reform America's criminal justice system so that it protects and serves all of us.

That's a better politics. That's how we start rebuilding trust. That's how we move this country forward. That's what the American people want. And that's what they deserve.

I have no more campaigns to run.

[At this point, some audience members applauded.]

My only agenda--[laughter]. Audience member. [Inaudible]

The President. I know because I won both of them. [Laughter] My only agenda for the next 2 years is the same as the one I've had since the day I swore an oath on the steps of this Capitol: to do what I believe is best for America. If you share the broad vision I outlined tonight, I ask you to join me in the work at hand. If you disagree with parts of it, I hope you'll at least work with me where you do agree. And I commit to every Republican here tonight that I will not only seek out your ideas, I will seek to work with you to make this country stronger.

Because I want this Chamber, I want this city to reflect the truth: that for all our blind spots and shortcomings, we are a people with the strength and generosity of spirit to bridge divides, to unite in common effort, to help our neighbors, whether down the street or on the other side of the world.

I want our actions to tell every child in every neighborhood, your life matters, and we are committed to improving your life chances, as committed as we are to working on behalf of our own kids. I want future generations to know that we are a people who see our differences as a great gift, that we're a people who value the dignity and worth of every citizen: man and woman, young and old, Black and White, Latino, Asian, immigrant, Native American, gay, straight, Americans with mental illness or physical disability. Everybody matters. I want them to grow up in a country that shows the world what we still know to be true: that we are still more

than a collection of red States and blue States, that we are the United States of America.

I want them to grow up in a country where a young mom can sit down and write a letter to her President with a story that sums up these past 6 years: "It's amazing what you can bounce back from when you have to. . . . We are a strong, tight-knit family who's made it through some very, very hard times."

My fellow Americans, we too are a strong, tight-knit family. We too have made it through some hard times. Fifteen years into this new century, we have picked ourselves up, dusted ourselves off, and begun again the work of remaking America. We have laid a new foundation. A brighter future is ours to write. Let's begin this new chapter together, and let's start the work right now.

Thank you. God bless you. God bless this country we love. Thank you.

Address Before a Joint Session of the Congress on the State of the Union
Barack Obama
January 12, 2016

Thank you. Mr. Speaker, Mr. Vice President, Members of Congress, my fellow Americans: Tonight marks the eighth year that I've come here to report on the State of the Union. And for this final one, I'm going to try to make it a little shorter. I know some of you are antsy to get back to Iowa. [Laughter] I've been there. I'll be shaking hands afterwards if you want some tips. [Laughter]

Now, I understand that because it's an election season, expectations for what we will achieve this year are low. But, Mr. Speaker, I appreciate the constructive approach that you and other leaders took at the end of last year to pass a budget and make tax cuts permanent for working families. So I hope we can work together this year on some bipartisan priorities like criminal justice reform and helping people who are battling prescription drug abuse and heroin abuse. So, who knows, we might surprise the cynics again.

But tonight I want to go easy on the traditional list of proposals for the year ahead. Don't worry, I've got plenty--[laughter]--from helping students learn to write computer code to personalizing medical treatments for patients. And I will keep pushing for progress on the work that I believe still needs to be done: fixing a broken immigration system, protecting our kids from gun violence, equal pay for equal work, paid leave, raising the minimum wage. All these things still matter to hard-working families. They're still the right thing to do. And I won't let up until they get done.

But for my final address to this Chamber, I don't want to just talk about next year. I want to focus on the next 5 years, the next 10 years, and beyond. I want to focus on our future.

We live in a time of extraordinary change, change that's reshaping the way we live, the way we work, our planet, our place in the world. It's change that promises amazing medical breakthroughs, but also economic disruptions that strain working families. It promises this education for girls in the most remote villages, but also connects terrorists plotting an ocean away. It's change that can broaden opportunity or widen inequality. And whether we like it or not, the pace of this change will only accelerate.

America has been through big changes before: wars and depression, the influx of new immigrants, workers fighting for a fair deal, movements to expand civil rights. Each time, there have been those who told us to fear the future; who claimed we could slam the brakes on change; who promised to restore past glory if we just got some group or idea that was threatening America under control. And each time, we overcame those fears. We did not, in the words of Lincoln, adhere to the "dogmas of the quiet past." Instead, we thought anew and acted anew. We made change work for us,

always extending America's promise outward, to the next frontier, to more people. And because we did, because we saw opportunity with a--where others saw peril, we emerged stronger and better than before.

What was true then can be true now. Our unique strengths as a nation--our optimism and work ethic, our spirit of discovery, our diversity, our commitment to rule of law--these things give us everything we need to ensure prosperity and security for generations to come.

In fact, it's in that spirit that we have made progress these past 7 years. That's how we recovered from the worst economic crisis in generations. That's how we reformed our health care system and reinvented our energy sector. That's how we delivered more care and benefits to our troops coming home and our veterans. That's how we secured the freedom in every State to marry the person we love.

But such progress is not inevitable. It's the result of choices we make together. And we face such choices right now. Will we respond to the changes of our time with fear, turning inward as a nation, turning against each other as a people? Or will we face the future with confidence in who we are, in what we stand for, in the incredible things that we can do together?

So let's talk about the future and four big questions that I believe we as a country have to answer, regardless of who the next President is or who controls the next Congress. First, how do we give everyone a fair shot at opportunity and security in this new economy? Second, how do we make technology work for us and not against us, especially when it comes to solving urgent challenges like climate change? Third, how do we keep America safe and lead the world without becoming its policeman? And finally, how can we make our politics reflect what's best in us and not what's worst?

Let me start with the economy and a basic fact: The United States of America right now has the strongest, most durable economy in the world. We're in the middle of the longest streak of private sector job creation in history. More than 14 million new jobs, the strongest 2 years of job growth since the 1990s, an unemployment rate cut in half. Our auto industry just

had its best year ever. That's just part of a manufacturing surge that's created nearly 900,000 new jobs in the past 6 years. And we've done all this while cutting our deficits by almost three-quarters.

Anyone claiming that America's economy is in decline is peddling fiction. Now, what is true--and the reason that a lot of Americans feel anxious--is that the economy has been changing in profound ways, changes that started long before the great recession hit, changes that have not let up.

Today, technology doesn't just replace jobs on the assembly line, but any job where work can be automated. Companies in a global economy can locate anywhere, and they face tougher competition. As a result, workers have less leverage for a raise. Companies have less loyalty to their communities. And more and more wealth and income is concentrated at the very top.

All these trends have squeezed workers, even when they have jobs, even when the economy is growing. It's made it harder for a hard-working family to pull itself out of poverty, harder for young people to start their careers, tougher for workers to retire when they want to. And although none of these trends are unique to America, they do offend our uniquely American belief that everybody who works hard should get a fair shot.

For the past 7 years, our goal has been a growing economy that also works better for everybody. We've made progress, but we need to make more. And despite all the political arguments that we've had these past few years, there are actually some areas where Americans broadly agree.

We agree that real opportunity requires every American to get the education and training they need to land a good-paying job. The bipartisan reform of No Child Left Behind was an important start, and together, we've increased early childhood education, lifted high school graduation rates to new highs, boosted graduates in fields like engineering. In the coming years, we should build on that progress, by providing pre-K for all and offering every student the hands-on computer science and math classes that make them job-ready on day one. We should recruit and support more great teachers for our kids.

And we have to make college affordable for every American. No hard-working student should be stuck in the red. We've already reduced student loan payments by--to 10 percent of a borrower's income. And that's good. But now we've actually got to cut the cost of college. Providing 2 years of community college at no cost for every responsible student is one of the best ways to do that, and I'm going to keep fighting to get that started this year. It's the right thing to do.

But a great education isn't all we need in this new economy. We also need benefits and protections that provide a basic measure of security. It's not too much of a stretch to say that some of the only people in America who are going to work the same job, in the same place, with a health and retirement package for 30 years are sitting in this Chamber. [Laughter] For everyone else, especially folks in their forties and fifties, saving for retirement or bouncing back from job loss has gotten a lot tougher. Americans understand that at some point in their careers, in this new economy, they may have to retool, they may have to retrain. But they shouldn't lose what they've already worked so hard to build in the process.

That's why Social Security and Medicare are more important than ever. We shouldn't weaken them, we should strengthen them. And for Americans short of retirement, basic benefits should be just as mobile as everything else is today. That, by the way, is what the Affordable Care Act is all about. It's about filling the gaps in employer-based care so that when you lose a job or you go back to school or you strike out and launch that new business, you'll still have coverage. Nearly 18 million people have gained coverage so far. And in the process, health care inflation has slowed. And our businesses have created jobs every single month since it became law.

Now, I'm guessing we won't agree on health care anytime soon, but--[laughter]--a little applause back there. [Laughter] Just a guess. But there should be other ways parties can work together to improve economic security. Say a hard-working American loses his job. We shouldn't just make sure that he can get unemployment insurance, we should make sure that program encourages him to retrain for a business that's ready to hire him. If that new job doesn't pay as much, there should be a system of wage insurance in place so that he can still pay his bills. And even if he's going

from job to job, he should still be able to save for retirement and take his savings with him. That's the way we make the new economy work better for everybody.

I also know Speaker Ryan has talked about his interest in tackling poverty. America is about giving everybody willing to work a chance, a hand up. And I'd welcome a serious discussion about strategies we can all support, like expanding tax cuts for low-income workers who don't have children.

But there are some areas where--we just have to be honest--it has been difficult to find agreement over the last 7 years. And a lot of them fall under the category of what role the Government should play in making sure the system's not rigged in favor of the wealthiest and biggest corporations. And it's an honest disagreement, and the American people have a choice to make.

I believe a thriving private sector is the lifeblood of our economy. I think there are outdated regulations that need to be changed. There is redtape that needs to be cut. [Applause] There you go! Yes! See? But after years now of record corporate profits, working families won't get more opportunity or bigger paychecks just by letting big banks or big oil or hedge funds make their own rules at everybody else's expense. Middle class families are not going to feel more secure because we allowed attacks on collective bargaining to go unanswered. Food stamp recipients did not cause the financial crisis; recklessness on Wall Street did. Immigrants aren't the principal reason wages haven't gone up; those decisions are made in the boardrooms that all too often put quarterly earnings over long-term returns. It's sure not the average family watching tonight that avoids paying taxes through offshore accounts. [Laughter]

The point is, I believe that in this new economy, workers and startups and small businesses need more of a voice, not less. The rules should work for them. And I'm not alone in this. This year, I plan to lift up the many businesses who have figured out that doing right by their workers or their customers or their communities ends up being good for their shareholders. And I want to spread those best practices across America. That's part of a brighter future.

In fact, it turns out many of our best corporate citizens are also our most creative. And this brings me to the second big question we as a country have to answer: How do we reignite that spirit of innovation to meet our biggest challenges?

Sixty years ago, when the Russians beat us into space, we didn't deny Sputnik was up there. [Laughter] We didn't argue about the science or shrink our research and development budget. We built a space program almost overnight. And 12 years later, we were walking on the Moon.

Now, that spirit of discovery is in our DNA. America is Thomas Edison and the Wright Brothers and George Washington Carver. America is Grace Hopper and Katherine Johnson and Sally Ride. America is every immigrant and entrepreneur from Boston to Austin to Silicon Valley, racing to shape a better future. That's who we are.

And over the past 7 years, we've nurtured that spirit. We've protected an open Internet and taken bold new steps to get more students and low-income Americans online. We've launched next-generation manufacturing hubs and online tools that give an entrepreneur everything he or she needs to start a business in a single day. But we can do so much more.

Last year, Vice President Biden said that with a new moonshot, America can cure cancer. Last month, he worked with this Congress to give scientists at the National Institutes of Health the strongest resources that they've had in over a decade. Well--so tonight I'm announcing a new national effort to get it done. And because he's gone to the mat for all of us on so many issues over the past 40 years, I'm putting Joe in charge of mission control. For the loved ones we've all lost, for the families that we can still save, let's make America the country that cures cancer once and for all. What do you say, Joe? Let's make it happen.

Now, medical research is critical. We need the same level of commitment when it comes to developing clean energy sources. Look, if anybody still wants to dispute the science around climate change, have at it. [Laughter] You will be pretty lonely, because you'll be debating our military, most of America's business leaders, the majority of the American people, almost the entire scientific community, and 200 nations around the

world who agree it's a problem and intend to solve it. But even if the planet wasn't at stake, even if 2014 wasn't the warmest year on record--until 2015 turned out to be even hotter--why would we want to pass up the chance for American businesses to produce and sell the energy of the future? Listen, 7 years ago, we made the single biggest investment in clean energy in our history. Here are the results. In fields from Iowa to Texas, wind power is now cheaper than dirtier, conventional power. On rooftops from Arizona to New York, solar is saving Americans tens of millions of dollars a year on their energy bills and employs more Americans than coal in jobs that pay better than average. We're taking steps to give homeowners the freedom to generate and store their own energy, something, by the way, that environmentalists and Tea Partiers have teamed up to support. And meanwhile, we've cut our imports of foreign oil by nearly 60 percent and cut carbon pollution more than any other country on Earth. Gas under 2 bucks a gallon ain't bad either. [Laughter]

Now we've got to accelerate the transition away from old, dirtier energy sources. Rather than subsidize the past, we should invest in the future, especially in communities that rely on fossil fuels. We do them no favor when we don't show them where the trends are going. And that's why I'm going to push to change the way we manage our oil and coal resources so that they better reflect the costs they impose on taxpayers and our planet. And that way, we put money back into those communities and put tens of thousands of Americans to work building a 21st-century transportation system.

Now, none of this is going to happen overnight. And yes, there are plenty of entrenched interests who want to protect the status quo. But the jobs we'll create, the money we'll save, the planet we'll preserve-- that is the kind of future our kids and our grandkids deserve. And it's within our grasp.

Now, climate change is just one of many issues where our security is linked to the rest of the world. And that's why the third big question that we have to answer together is how to keep America safe and strong without either isolating ourselves or trying to nation-build everywhere there's a problem.

Now, I told you earlier all the talk of America's economic decline is political hot air. Well, so is all the rhetoric you hear about our enemies getting stronger and America getting weaker. Let me tell you something: The United States of America is the most powerful nation on Earth. Period. [Applause] Period. It's not even close. [Applause] It's not even close. It's not even close. We spend more on our military than the next eight nations combined. Our troops are the finest fighting force in the history of the world. [Applause] All right. No nation attacks us directly, or our allies, because they know that's the path to ruin. Surveys show our standing around the world is higher than when I was elected to this office, and when it comes to every important international issue, people of the world do not look to Beijing or Moscow to lead. They call us. So I think it's useful to level set here, because when we don't, we don't make good decisions.

Now, as someone who begins every day with an intelligence briefing, I know this is a dangerous time. But that's not primarily because of some looming superpower out there, and it's certainly not because of diminished American strength. In today's world, we're threatened less by evil empires and more by failing states.

The Middle East is going through a transformation that will play out for a generation, rooted in conflicts that date back millennia. Economic headwinds are blowing in from a Chinese economy that is in significant transition. Even as their economy severely contracts, Russia is pouring resources in to prop up Ukraine and Syria, client states that they saw slipping away from their orbit. And the international system we built after World War II is now struggling to keep pace with this new reality. It's up to us, the United States of America, to help remake that system. And to do that well, it means that we've got to set priorities. Priority number one is protecting the American people and going after terrorist networks. Both Al Qaida and now ISIL pose a direct threat to our people, because in today's world, even a handful of terrorists who place no value on human life, including their own, can do a lot of damage. They use the Internet to poison the minds of individuals inside our country. Their actions undermine and destabilize our allies. We have to take them out.

But as we focus on destroying ISIL, over-the-top claims that this is world war III just play into their hands. Masses of fighters on the back of pickup trucks, twisted souls plotting in apartments or garages, they pose an enormous danger to civilians; they have to be stopped. But they do not threaten our national existence. That is the story ISIL wants to tell. That's the kind of propaganda they use to recruit. We don't need to build them up to show that we're serious, and we sure don't need to push away vital allies in this fight by echoing the lie that ISIL is somehow representative of one of the world's largest religions. We just need to call them what they are: killers and fanatics who have to be rooted out, hunted down, and destroyed.

And that's exactly what we're doing. For more than a year, America has led a coalition of more than 60 countries to cut off ISIL's financing, disrupt their plots, stop the flow of terrorist fighters, and stamp out their vicious ideology. With nearly 10,000 airstrikes, we're taking out their leadership, their oil, their training camps, their weapons. We're training, arming, and supporting forces who are steadily reclaiming territory in Iraq and Syria.

If this Congress is serious about winning this war and wants to send a message to our troops and the world, authorize the use of military force against ISIL. Take a vote. [Applause] Take a vote. But the American people should know that with or without congressional action, ISIL will learn the same lessons as terrorists before them. If you doubt America's commitment--or mine--to see that justice is done, just ask Usama bin Laden. Ask the leader of Al Qaida in Yemen, who was taken out last year, or the perpetrator of the Benghazi attacks, who sits in a prison cell. When you come after Americans, we go after you. And it may take time, but we have long memories, and our reach has no limits.

Our foreign policy has to be focused on the threat from ISIL and Al Qaida, but it can't stop there. For even without ISIL, even without Al Qaida, instability will continue for decades in many parts of the world: in the Middle East, in Afghanistan and parts of Pakistan, in parts of Central America, in Africa and Asia. Some of these places may become safe havens for new terrorist networks. Others will just fall victim to ethnic conflict or famine, feeding the next wave of refugees. The world will look to us to help solve these problems, and our answer needs to be more than tough talk or

calls to carpet-bomb civilians. That may work as a TV sound bite, but it doesn't pass muster on the world stage.

We also can't try to take over and rebuild every country that falls into crisis, even if it's done with the best of intentions. That's not leadership; that's a recipe for quagmire, spilling American blood and treasure that ultimately will weaken us. It's the lesson of Vietnam; it's the lesson of Iraq. And we should have learned it by now.

Now, fortunately there is a smarter approach: a patient and disciplined strategy that uses every element of our national power. It says America will always act, alone if necessary, to protect our people and our allies, but on issues of global concern, we will mobilize the world to work with us and make sure other countries pull their own weight. That's our approach to conflicts like Syria, where we're partnering with local forces and leading international efforts to help that broken society pursue a lasting peace. That's why we built a global coalition, with sanctions and principled diplomacy, to prevent a nuclear-armed Iran. And as we speak, Iran has rolled back its nuclear program, shipped out its uranium stockpile, and the world has avoided another war.

That's how we stopped the spread of Ebola in West Africa. Our military, our doctors, our development workers--they were heroic; they set up the platform that then allowed other countries to join in behind us and stamp out that epidemic. Hundreds of thousands, maybe a couple million, lives were saved.

That's how we forged a Trans-Pacific Partnership to open markets and protect workers and the environment and advance American leadership in Asia. It cuts 18,000 taxes on products made in America, which will then support more good jobs here in America. With TPP, China does not set the rules in that region, we do. You want to show our strength in this new century? Approve this agreement. Give us the tools to enforce it. It's the right thing to do.

Let me give you another example. Fifty years of isolating Cuba had failed to promote democracy. It set us back in Latin America. That's why we restored diplomatic relations, opened the door to travel and commerce,

positioned ourselves to improve the lives of the Cuban people. So if you want to consolidate our leadership and credibility in the hemisphere, recognize that the cold war is over. Lift the embargo.

The point is, American leadership in the 21st century is not a choice between ignoring the rest of the world--except when we kill terrorists-- or occupying and rebuilding whatever society is unraveling. Leadership means a wise application of military power and rallying the world behind causes that are right. It means seeing our foreign assistance as a part of our national security, not something separate, not charity.

When we lead nearly 200 nations to the most ambitious agreement in history to fight climate change, yes, that helps vulnerable countries, but it also protects our kids. When we help Ukraine defend its democracy or Colombia resolve a decades-long war, that strengthens the international order we depend on. When we help African countries feed their people and care for the sick, it's the right thing to do, and it prevents the next pandemic from reaching our shores. Right now we're on track to end the scourge of HIV/AIDS. That's within our grasp. And we have the chance to accomplish the same thing with malaria, something I'll be pushing this Congress to fund this year.

That's American strength. That's American leadership. And that kind of leadership depends on the power of our example. That's why I will keep working to shut down the prison at Guantanamo. It is expensive, it is unnecessary, and it only serves as a recruitment brochure for our enemies. There's a better way.

And that's why we need to reject any politics--any politics--that targets people because of race or religion. Let me just say this. This is not a matter of political correctness, this is a matter of understanding just what it is that makes us strong. The world respects us not just for our arsenal, it respects us for our diversity and our openness and the way we respect every faith.

His Holiness Pope Francis told this body from the very spot that I'm standing on tonight that "to imitate the hatred and violence of tyrants and murderers is the best way to take their place." When politicians insult Muslims, whether abroad or our fellow citizens, when a mosque is

vandalized or a kid is called names, that doesn't make us safer. That's not telling it what--telling it like it is. It's just wrong. It diminishes us in the eyes of the world. It makes it harder to achieve our goals. It betrays who we are as a country. "We the People." Our Constitution begins with those three simple words, words we've come to recognize mean all the people, not just some; words that insist we rise and fall together, that that's how we might perfect our Union. And that brings me to the fourth and maybe most important thing that I want to say tonight.

The future we want--all of us want--opportunity and security for our families, a rising standard of living, a sustainable, peaceful planet for our kids--all that is within our reach. But it will only happen if we work together. It will only happen if we can have rational, constructive debates. It will only happen if we fix our politics.

A better politics doesn't mean we have to agree on everything. This is a big country: different regions, different attitudes, different interests. That's one of our strengths too. Our Founders distributed power between States and branches of government and expected us to argue, just as they did, fiercely, over the size and shape of government, over commerce and foreign relations, over the meaning of liberty and the imperatives of security.

But democracy does require basic bonds of trust between its citizens. It doesn't work if we think the people who disagree with us are all motivated by malice. It doesn't work if we think that our political opponents are unpatriotic or trying to weaken America. Democracy grinds to a halt without a willingness to compromise or when even basic facts are contested or when we listen only to those who agree with us. Our public life withers when only the most extreme voices get all the attention. And most of all, democracy breaks down when the average person feels their voice doesn't matter, that the system is rigged in favor of the rich or the powerful or some special interest.

Too many Americans feel that way right now. It's one of the few regrets of my Presidency: that the rancor and suspicion between the parties has gotten worse instead of better. I have no doubt, a President with the gifts of Lincoln or Roosevelt might have better bridged the divide, and I guarantee, I'll keep trying to be better so long as I hold this office.

But, my fellow Americans, this cannot be my task--or any President's--alone. There are a whole lot of folks in this Chamber, good people, who would like to see more cooperation, would like to see a more elevated debate in Washington, but feel trapped by the imperatives of getting elected, by the noise coming out of your base. I know; you've told me. It's the worst kept secret in Washington. And a lot of you aren't enjoying being trapped in that kind of rancor.

But that means if we want a better politics--and I'm addressing the American people now--if we want a better politics, it's not enough just to change a Congressman or change a Senator or even change a President. We have to change the system to reflect our better selves.

I think we've got to end the practice of drawing our congressional districts so that politicians can pick their voters and not the other way around. Let a bipartisan group do it.

I believe we've got to reduce the influence of money in our politics so that a handful of families or hidden interests can't bankroll our elections. And if our existing approach to campaign finance reform can't pass muster in the courts, we need to work together to find a real solution. Because it's a problem. And most of you don't like raising money. [Laughter] I know. I've done it.

We've got to make it easier to vote, not harder. We need to modernize it for the way we live now. This is America: We want to make it easier for people to participate. And over the course of this year, I intend to travel the country to push for reforms that do just that. But I can't do these things on my own. Changes in our political process--in not just who gets elected, but how they get elected--that will only happen when the American people demand it. It depends on you. That's what's meant by a government of, by, and for the people.

What I'm suggesting is hard. It's a lot easier to be cynical; to accept that change is not possible and politics is hopeless and the problem is, all the folks who are elected don't care; and to believe that our voices and our actions don't matter. But if we give up now, then we forsake a better future. Those with money and power will gain greater control over the decisions

that could send a young soldier to war or allow another economic disaster or roll back the equal rights and voting rights that generations of Americans have fought, even died, to secure. And then, as frustration grows, there will be voices urging us to fall back into our respective tribes, to scapegoat fellow citizens who don't look like us or pray like us or vote like we do or share the same background.

We can't afford to go down that path. It won't deliver the economy we want. It will not produce the security we want. But most of all, it contradicts everything that makes us the envy of the world.

So, my fellow Americans, whatever you may believe, whether you prefer one party or no party, whether you supported my agenda or fought as hard as you could against it, our collective futures depends on your willingness to uphold your duties as a citizen. To vote. To speak out. To stand up for others, especially the weak, especially the vulnerable, knowing that each of us is only here because somebody, somewhere, stood up for us. We need every American to stay active in our public life--and not just during election time--so that our public life reflects the goodness and the decency that I see in the American people every single day.

It is not easy. Our brand of democracy is hard. But I can promise that a little over a year from now, when I no longer hold this office, I will be right there with you as a citizen, inspired by those voices of fairness and vision, of grit and good humor and kindness, that have helped America travel so far. Voices that help us see ourselves not, first and foremost, as Black or White or Asian or Latino, not as gay or straight, immigrant or native born, not Democrat or Republican, but as Americans first, bound by a common creed. Voices Dr. King believed would have the final word: voices of "unarmed truth and unconditional love."

And they're out there, those voices. They don't get a lot of attention; they don't seek a lot of fanfare; but they're busy doing the work this country needs doing. I see them everywhere I travel in this incredible country of ours. I see you, the American people. And in your daily acts of citizenship, I see our future unfolding.

I see it in the worker on the assembly line who clocked extra shifts to keep his company open and the boss who pays him higher wages instead of laying him off. I see it in the dreamer who stays up late at night to finish her science project and the teacher who comes in early, maybe with some extra supplies that she bought because she knows that that young girl might someday cure a disease.

I see it in the American who served his time, made bad mistakes as a child, but now is dreaming of starting over. And I see it in the business owner who gives him that second chance. The protester determined to prove that justice matters and the young cop walking the beat, treating everybody with respect, doing the brave, quiet work of keeping us safe.

I see it in the soldier who gives almost everything to save his brothers, the nurse who tends to him till he can run a marathon, the community that lines up to cheer him on. It's the son who finds the courage to come out as who he is and the father whose love for that son overrides everything he's been taught.

I see it in the elderly woman who will wait in line to cast her vote as long as she has to, the new citizen who casts his vote for the first time, the volunteers at the polls who believe every vote should count. Because each of them, in different ways, know how much that precious right is worth.

That's the America I know. That's the country we love: clear eyed, big hearted, undaunted by challenge. Optimistic that unarmed truth and unconditional love will have the final word. That's what makes me so hopeful about our future. I believe in change because I believe in you, the American people. And that's why I stand here as confident as I have ever been that the state of our Union is strong.

Thank you. God bless you. God bless the United States of America. Thank you.

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